



Annual Comprehensive Financial Report

For the fiscal years ended
September 30, 2021 and 2020

**Teachers' Retirement Fund and
Police Officers and Fire Fighters'
Retirement Fund
of the
District of Columbia Government
as managed by
The District of Columbia
Retirement Board**



Annual Comprehensive Financial Report

For the fiscal years ended September 30, 2021 and 2020

District of Columbia Retirement Board

a Pension Trust Fund of the District of Columbia Government

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Washington, D.C. 20001
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Letter of Transmittal

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March 25, 2022

Board of Trustees
District of Columbia Retirement Board
900 7th Street NW Washington, DC
20001

Dear Board Members:

It is my pleasure to submit the Annual Comprehensive Financial Report (ACFR or Report) of the District of Columbia Retirement Board (DCRB or Agency) for the fiscal year (FY) ended September 30, 2021. This ACFR is a presentation of the financial results that are intended to provide useful information related to DCRB's management of the assets in the District of Columbia Police Officers and Fire Fighters' Retirement Fund, and the District of Columbia Teachers' Retirement Fund (collectively referred to as the Fund), which are held in trust for our members.

The District is responsible for members covered under the District Replacement Plans for Police Officers, Firefighters, and Teachers (the District Plans), which were adopted on July 1, 1997. Fund assets, which are pooled for investment purposes, may only be used to pay benefits and expenses necessary to administer the retirement program. DCRB also serves as the third-party administrator for benefits earned through June 30, 1997, under the frozen, federally funded plans (the Frozen Plans), which are the responsibility of the U.S. Department of the Treasury (U.S. Treasury). U.S. Treasury reimburses DCRB for costs incurred for these third-party administrator services. Any reimbursement of administrative expenses from U.S. Treasury offsets the amount required from the Fund each year.

For the District Plans, the District Government, as the employer, is the Plan Sponsor, and is responsible for the design of the Plans, for certain benefits administration activities, and for paying the required employer contributions into the Fund. In addition to employer contributions, Fund income includes employee contributions, which are a fixed percentage of their pay, and investment earnings.

DCRB's mission is to 'lead by serving others' and includes two overarching goals: (1) *to prudently invest and manage the assets of the Fund for the exclusive benefit of its members*, and (2) *to provide Plan members with accurate and timely annuity payments and excellent services*. DCRB's priority is to invest and manage the Fund, which is held in trust for the exclusive benefit of all Plan members and their eligible survivors and beneficiaries. Agency operations are managed in accordance with DCRB's fiduciary responsibilities and relevant legal authorities. The projects and initiatives in progress, as well as those planned, are undertaken to support this mission.

Letter of Transmittal

Prudently Invest and Manage Fund Assets

One of DCRB's major, ongoing responsibilities is to prudently invest Fund assets, with the goal of earning a return that meets or exceeds the long-term actuarial return target of 6.25 percent. This target is intended to sustain the Fund's viability over the long-term investment horizon. I am pleased to report that DCRB continues to be a fully funded retirement system, with the Plans' aggregate funding status level at 112.3 percent as of September 30, 2021. Additionally, as of September 30, 2021, the Fund generated an annualized gross return of 8.83 percent since its inception in October 1982. For fiscal year 2021, the Fund earned a net return of 20.78 percent driven by a strong economic recovery and increasing investor optimism following the Covid-19 related market downturn during the prior year. To achieve long-term, sustainable risk-adjusted net return, we continue to review investment manager performance against benchmark returns, rebalance the portfolio to maintain compliance with asset allocation targets and ranges, as well as monitor and evaluate investment manager fees.

In FY 2022, as part of DCRB's monitoring of prospective and current investment managers, we will devote substantial time and attention to evaluating investment managers' commitment and willingness to embrace diversity and inclusion in their hiring decisions, investment decision-making processes, and their ownership and corporate governance structures. In collaboration with our investment consultant and other industry partners, we will continue to identify promising emerging diverse fund managers and engage our existing partners to evaluate their efforts to promote diversity and inclusion.

More broadly, DCRB will continue providing ongoing education to Board members and staff on a wide range of topics including fiduciary principles; ethics; risk management and mitigation strategies; cybersecurity awareness; and actuarial principles. From a risk-management perspective, we believe that the integration of a strong governance, risk-mitigation, and compliance program is critical to sustaining longer-term investment returns and maintaining high quality operations.

Provide Members with Accurate and Timely Payments and Excellent Customer Service

The other of DCRB's major ongoing responsibilities is to provide plan administration services. Among the Agency's primary tasks is to ensure the accurate calculation and timely payment of benefits to retired Plan participants and their survivors and beneficiaries, and to provide them with excellent customer service. These services also include providing information about the Plans, responding to questions, providing required notices, and communicating changes and issues related to the benefits.

The unexpected transition to work away from the office due to the continued global pandemic created both obstacles and opportunities for the Agency to improve processes. In FY 2021, the Agency was able to implement technical solutions to support the continuing of work through the year online. In FY 2022, DCRB will continue to provide Estimated Benefits Statements to active members of the Plans and will fully launch a self-service portal, so that annuitants may access and change certain elements related to their pensions and other benefits. DCRB is also working to update the Summary Plan Descriptions (SPDs) for each of the Plans. The Benefits department is also working to appropriately staff key positions to improve customer service and retirement processing due to the increase in active retirements received from other District departments.

Letter of Transmittal

Strategic Planning and Initiatives

In 2005, when DCRB began its responsibilities as Plan Administrator for the District's Plans, most of the benefits being paid to retirees and survivors were the responsibility of the Federal Government and, consequently, the U.S. Treasury developed an automated System to Administer Retirement (STAR), to make the then paper-based plan administration process more efficient. Over the ensuing fifteen years, although the U.S. Treasury continues to pay out a larger amount of the benefits payable under the District Plans, the District Government now has a larger number of annuitants and survivors who are being paid by the Funds. Since no further Federal Government service is being earned by District employees, the District's number of participants, and the amount of its payments, will continue to increase over time. As the composition of the participants population changes, DCRB must develop independent solutions that will manage the entire participant life cycle and the pension calculation and claims processing. DCRB is committed to an IT investment in Customer Relationship Management, Case Management, Records Management, and Member Services Communication systems, and we are beginning to explore future system options, including partnering with the District's Office of Chief Technology Officer.

Management Responsibility for Financial Reporting

The responsibility for both the accuracy of the data and the completeness and fairness of the presentation of financial information, including all disclosures, rests with DCRB management. We believe the data, as presented, is accurate in all material respects; is presented in a manner designed to fairly set forth the Plan Fiduciary Net Position and the Changes in Fiduciary Net Position; and includes all disclosures necessary to enable the reader to gain the maximum understanding of the financial activities of the Fund.

The accounting records of DCRB are maintained by DCRB staff. Pension payment information is contained within STAR, which is managed by the U.S. Treasury. DCRB's employee payroll is processed through the District of Columbia's PeopleSoft System.

The Management Discussion and Analysis area of the Financial Section provides an introduction and overview of DCRB's financial statements. It supplements the Introductory Section of this ACFR, as well as the financial statements, notes, and supplementary information within the Financial Section.

The independent auditor's report was issued by the public accounting firm of BCA Watson Rice, LLP, whose selection was approved by DCRB's Board Members. This report on the Plans is presented in the Financial Section of this ACFR. DCRB's financial statements are audited annually. DCRB received an unmodified, or "clean," opinion for FY 2021, which is reflected in the opinion letter of the Financial Section herein. DCRB will strive to obtain clean audit opinions annually and will continue to report our financial activities according to accounting principles generally accepted in the United States of America.

Letter of Transmittal

The Agency's independent actuary performs an actuarial valuation each year. The actuarial study was performed as of October 1, 2021 for FY 2023 by the firm, Bolton. The actuarial certification letter provided by Bolton expressly states that the assumptions and methods used for funding purposes meet the parameters set by the Actuarial Standards of Practice (ASOP). The certification and related schedules included in the ACFR were provided by Bolton, whose selection was approved by DCRB's Board of Trustees. The actuarial valuation results are presented in the Actuarial Section of this ACFR.

Northern Trust, the custodian as of September 30, 2021, records and reports all investment and cash management transactions, and the DCRB staff responsible for review and controls over those records and transactions with prudent oversight by the Trustees.

DCRB management is responsible for maintaining internal accounting controls to provide reasonable assurance that transactions are properly authorized and recorded on an accrual basis in accordance with U.S. Generally Accepted Accounting Principles (GAAP), and that the financial statements conform with Governmental Accounting Standards Board (GASB) and American Institute of Certified Public Accountants (AICPA) reporting standards and Government Finance Officers Association (GFOA) guidelines. Consideration is given to the adequacy of internal accounting controls for systems under the authority of DCRB, as well as to the systems shared with other governmental offices or service providers. These controls are designed to provide reasonable assurance regarding the safekeeping of assets and the reliability of financial records. It should be noted that because the cost of a control should not exceed the benefits to be derived, the objective is to provide reasonable, rather than absolute assurance, that the financial statements are free of any material misstatements. Additional disclosures that are specifically required by statute also are included in this ACFR.

Recognition

For the thirteenth consecutive year, DCRB was awarded on February 3rd, 2022, the Government Finance Officers Association's (GFOA) Certificate of Achievement for Excellence in Financial Reporting for its Fiscal Year ended 2020 Annual Comprehensive Financial Report (ACFR), the highest form of recognition in governmental accounting and financial reporting. To be awarded a Certificate of Achievement, an organization must publish an easily readable and efficiently organized ACFR. This Report must satisfy both GAAP and other applicable regulatory requirements. A Certificate of Achievement is valid for a period of one year. We believe that DCRB's ACFR continues to meet the Certificate of Achievement Program's requirements, and we are submitting it to GFOA to determine its eligibility for continuing certification.

DCRB also was among a select number of public retirement systems that received the Public Pension Coordinating Council's (PPCC) Public Pension Standards 2020 Award in recognition of meeting professional standards for Plan design funding and administration. The PPCC is a national confederation of state retirement associations whose standards are widely recognized benchmarks for public pension systems in the areas of plan design, funding, actuarial and financial audits, benefits administration, and member communications.

Letter of Transmittal

Conclusion

In summary, I am pleased to report that the Fund is in sound financial condition, and that we continue striving to pay our Plan members accurately and timely. Further, the Trustees are fully engaged and committed to our mission, and we have a knowledgeable and experienced senior management team leading the Agency's strategic initiatives. Together, we continue to move forward in creating a comprehensive retirement system to serve the needs of Plan participants over the long-term.

I would like to express my appreciation to the U.S. Treasury's Office of D.C. Pensions, the District of Columbia City Council, the D.C. Office of Financial and Operations Systems, the D.C. Office of Budget and Planning, and all other D.C. Government Offices that support DCRB's Trustees, DCRB staff, consultants, and service providers for their tireless efforts to assure the financial soundness and successful operation of the District of Columbia Retirement Board.

If you have any questions regarding this ACFR of the District of Columbia Retirement Board for the fiscal year ended September 30, 2021, please direct them to my office at any time.

Respectfully submitted,



Gianpiero (JP) Balestrieri, Executive Director
District of Columbia Retirement Board

About DCRB

History

DCRB is an independent agency of the District of Columbia government that was created by Congress in 1979 under the Retirement Reform Act (the Reform Act). Prior to the Reform Act, eligibility and benefit rules and financing arrangements for the Plans were authorized by acts of Congress and administered by the Federal Government. Benefits were paid monthly from the general revenues of the U.S. Treasury on a “pay-as-you-go” basis when workers retired, not on a prefunded basis using actuarial assumptions and methods.

In 1997, with the passage of the National Capital Revitalization and Self-Government Improvement Act (the Revitalization Act), the Federal Government assumed responsibility for the unfunded pension liabilities for retirement benefits earned by District Teachers, Police Officers, and Firefighters as of June 30, 1997.

In 1998, the District of Columbia passed the Police Officers, Firefighters and Teachers Retirement Benefit Replacement Plan Act (the Replacement Plan Act), which established retirement plans for pension benefits accrued after June 30, 1997, and the method for calculating the employer’s (District of Columbia) annual contribution to the retirement Fund. DCRB’s independent actuary determines the level of covered payroll and calculates the employer’s annual contribution, which is expressed as a percentage of payroll (the normal contribution rate) for each participant group.

With the passage of the District’s Office of Financial Operations and Systems Reorganization Act of 2004, DCRB assumed certain benefits administration responsibilities for the Plans from the District’s Office of Pay and Retirement Services. Those responsibilities included recordkeeping, related administrative tasks, and the payment of benefits for participants hired on or after July 1, 1997, who earned benefits under the District Plans. Under a memorandum of understanding signed in 2005, DCRB assumed recordkeeping and administrative tasks for participants hired prior to July 1, 1997, and whose benefit costs are the responsibility of the U.S. Treasury.

About DCRB

Profile of the Plans

The District of Columbia Police Officers and Firefighters' Retirement Plan provides retirement, service-related disability, non-service-related disability, and death benefits. All police officers and firefighters of the District of Columbia automatically become members on their date of employment. Police cadets are not eligible.

The District of Columbia Teachers' Retirement Plan provides retirement, disability, and death benefits. Permanent, temporary, and probationary teachers for the District of Columbia public day schools become members automatically on their date of employment. Other employees covered include school librarians, principals, and counselors. Former District of Columbia teachers working at District of Columbia public charter schools may be eligible to remain in the Plan.

In order to minimize administrative expenses, while providing a broad range of investment options that are economically feasible, the assets of the Plans are comingled for investment purposes. The investment returns of the Fund are calculated based on the fair value of the assets. The Board seeks long-term investment returns in excess of the actuarial investment rate of return assumption at a level of risk commensurate with the expected levels of returns and consistent with sound and responsible investment practices. The Board, working closely with investment consultants and with input from its actuary, selects the optimal asset allocation policy which best reflects the risk tolerance and investment goals of the Fund.

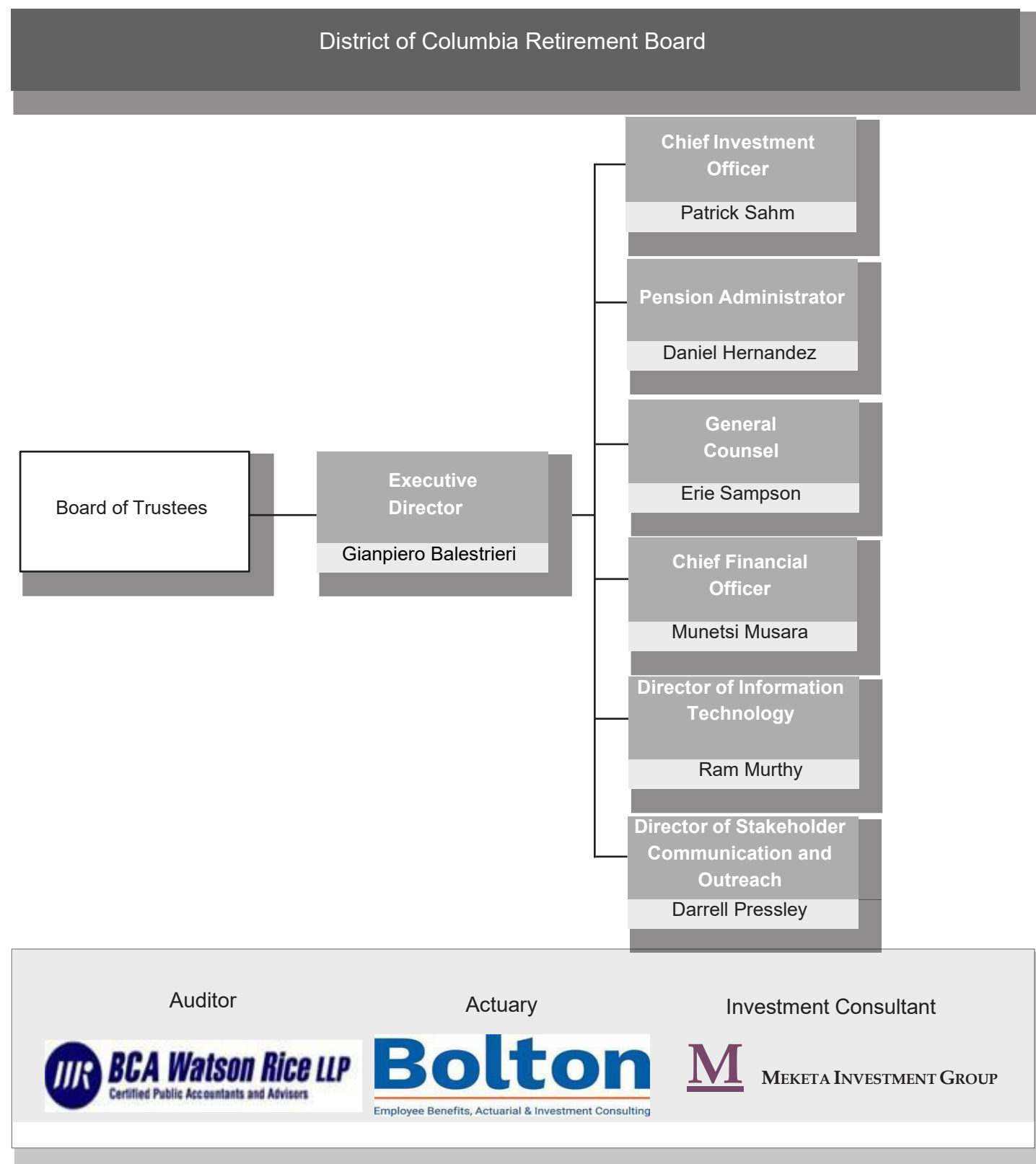
The asset allocation policy is implemented through the careful screening and selection of investment managers that have an audited, favorable, long-term track record, a disciplined investment process, and reasonable investment management fees. The Fund also seeks to outperform the Policy Benchmark, computed as the weighted average index return of the strategic asset allocation as described in the Investments Section.

Upon assuming responsibility for administering the District Plans in September 2005, DCRB established a Benefits Department that is available to all Plan participants and their survivors and beneficiaries. The Benefits Department calculates benefit payments and works closely with the U.S. Treasury's Office of D.C. Pensions (ODCP) to implement system changes resulting from software upgrades or legislation affecting Plan provisions. DCRB produces Plan communications that include periodic newsletters and required communications such as Summary Plan Descriptions, as prescribed by statute. ODCP maintains the retirement information system used to calculate benefits, issue benefit payments and handle all payment-related activities, including tax withholdings and premiums for health and life insurance coverage.

By statute, the Board of Trustees is responsible for establishing DCRB's annual budget. The budget relies on monies derived from the Fund's investment earnings and employer and employee contributions. In addition, DCRB receives reimbursements as the third-party administrator for the Frozen Plans covering members whose pension benefits are financed by the U.S. Treasury. The District Council provides oversight of the budget process and, pursuant to Section 1-711 (f) of the District of Columbia Code, "may establish the amount of funds which will be allocated by the Board for administrative expenses but may not specify the purposes for which such funds may be expended or the amounts which may be expended for the various activities."

Organizational Structure

As of September 30, 2021



Board of Trustees

As of September 30, 2021

DCRB's Board (the Board) has 12 Trustees, six (6) of whom are elected by the participant groups, three (3) who are appointed by the Mayor, and three (3) who are appointed by the District Council. In addition, the DC Treasurer (representing the District's Chief Financial Officer), serves on the Board as an ex-officio (non-voting) member. The Trustees, who are fiduciaries, must act solely in the interest of all Plan members.



Janice Adams
Mayoral Appointee
Current Term:
2020 - 2021



Lyle Blanchard
Council Appointee
Current Term:
2021 - 2025



Joseph Bress
Council appointee
Current Term:
2020 - 2024



Joseph Clark
Mayoral Appointee
Chair
Current Term:
2018 - 2022



Mary Collins
Elected Retired Teacher
Current Term:
2018 - 2022



Geoffrey Grambo
Elected Retired
Firefighter
Current Term:
2021- 2025



Danny Gregg
Elected Retired Police
Officer
Current Term:
2021 - 2025



Tracy Harris
Mayoral Appointee
Treasurer
Current Term:
2019 - 2023

Board of Trustees

As of September 30, 2021



Gregory Pemberton
Elected Active Police
Officer
Current Term:
2019-2023



Nathan Saunders
Elected Active Teacher
Current Term:
2021 - 2025



Edward Smith
Elected Active
Firefighter
Vice Chair/Secretary
Current Term:
2021 - 2025



Vacant
Council Appointee

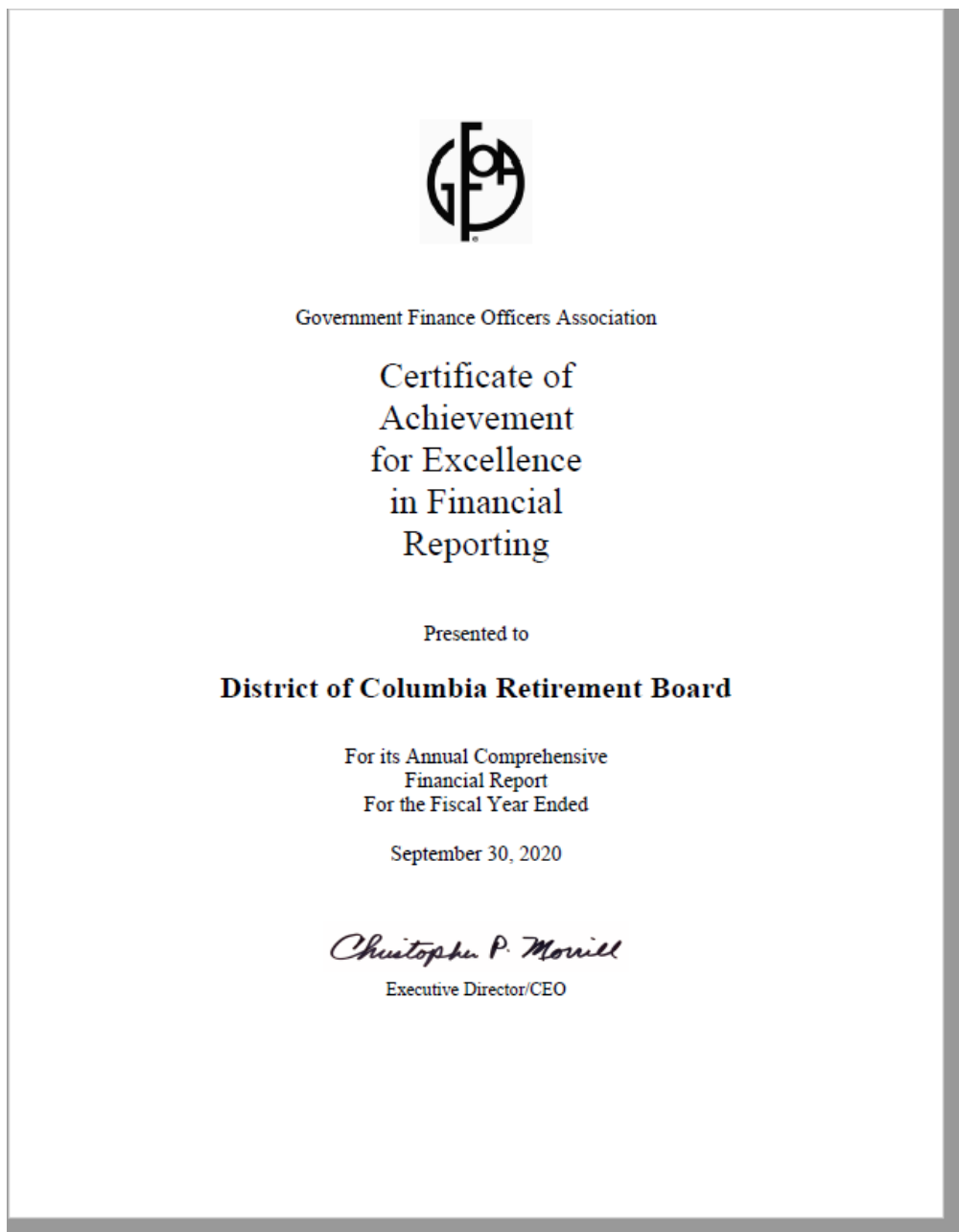


Carmen Pigler
Designee of the D.C. CFO
D.C. Deputy CFO/
Treasurer

Awards

Certificate of Achievement for Excellence in Financial Reporting

The Government Finance Officers Association of the United States and Canada (GFOA) awarded a Certificate of Achievement for Excellence in Financial Reporting to DCRB for our Annual Comprehensive Financial Report for the Fiscal Year ended September 30, 2020. The Certificate of Achievement is awarded to a government entity for publishing an easily readable and efficiently organized annual comprehensive financial report that satisfies both generally accepted accounting principles and applicable legal requirements. DCRB's Finance Department has won this award for the past thirteen years. We believe our current annual comprehensive report continues to meet the Certificate of Achievement Program's requirements.



Awards

Public Pension Standards Award

The Public Pension Coordinating Council (PPCC) awarded a Public Pension Standards Award for Funding to DCRB for the Fiscal Year ended September 30, 2020. To be awarded a Public Pension Standards Award, a public pension program must meet professional standards for plan funding as set forth in the Public Pension Standards. A Public Pension Standards Award is valid for a period of one year.



Public Pension Coordinating Council

***Public Pension Standards Award
For Funding and Administration
2020***

Presented to

District of Columbia Retirement Board

In recognition of meeting professional standards for
plan funding and administration as
set forth in the Public Pension Standards.

Presented by the Public Pension Coordinating Council, a confederation of

National Association of State Retirement Administrators (NASRA)
National Conference on Public Employee Retirement Systems (NCPERS)
National Council on Teacher Retirement (NCTR)

Alan H. Winkle
Program Administrator

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INDEPENDENT AUDITOR'S REPORT

To the Board of Trustees, District of Columbia Retirement Board for
District of Columbia Teachers' Retirement Fund and
District of Columbia Police Officers and Fire Fighters' Retirement Fund

Report on the Funds' Financial Statements

We have audited the accompanying combining financial statements of District of Columbia Teachers' Retirement Fund and District of Columbia Police Officers and Fire Fighters' Retirement Fund (the Funds), Pension Trust Funds of the Government of the District of Columbia (the District), which comprise the Combining Statements of Fiduciary Net Position as of September 30, 2021 and 2020, and the related Combining Statements of Changes in Fiduciary Net Position for the years then ended, and the related notes to the Funds combining financial statements, which collectively comprise the Funds' basic financial statements.

Management's Responsibility for the Funds' Basic Financial Statements

The Funds' management is responsible for the preparation and fair presentation of the Funds' basic financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of the Funds' basic financial statements that are free from material misstatement, whether due to fraud or error

Auditor's Responsibility

Our responsibility is to express an opinion on the Funds' basic financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America, and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audits to obtain reasonable assurance about whether the Funds' basic financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the basic financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the basic financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the Funds' preparation and fair presentation of the basic financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Funds' internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the basic financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinions

In our opinion, the Funds' basic financial statements referred to above present fairly, in all material respects, the respective financial position of the Funds, as of September 30, 2021 and 2020, and the respective changes in financial position for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Emphasis of Matter

As discussed in Note 1, these financial statements are intended to present the financial position and changes in financial position of the Funds, and do not purport to, and do not present fairly the financial position of the District of Columbia, as of September 30, 2021, and the changes in its financial position for the year then ended in accordance with accounting principles generally accepted in the United States of America. Our opinion is not modified with respect to this matter.

Other Matters

Required Supplementary Information

U.S. GAAP require that the management's discussion and analysis, schedule of changes in net pension liability and related ratios, schedule of employer contributions, and schedule of investment returns, as listed in the table of contents, be presented to supplement the Funds' basic financial statements. Such information, although not a part of the Funds' basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the Funds' basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the Funds' basic financial statements, and other knowledge we obtained during our audit of the Funds' basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming an opinion on the Funds' basic financial statements. The supplementary information, such as schedules of administrative expenses, schedules of investment expenses and schedules of payments to consultants, as listed in the table of contents, are presented for purposes of additional analysis and are not a required part of the Funds' basic financial statements.

The supplementary information, as listed in the table of contents, is the responsibility of the Funds' management and was derived from and relate directly to the underlying accounting and other records used to prepare the Funds' basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the Funds' basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the Funds' basic financial statements or to the Funds' basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the schedules of administrative expenses, schedules of investment expenses and schedules of payments to consultants are fairly stated, in all material respects, in relation to the Funds' basic financial statements as a whole.

The introductory, investment, actuarial, statistical, and additional disclosures sections, as listed in the table of contents, have not been subjected to the auditing procedures applied in the audit of the Funds' basic financial statements, and accordingly, we do not express an opinion, or provide any assurance on it.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated December 17, 2021 on our consideration of the Funds' internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the Funds' internal control over financial reporting and compliance.

Washington, D.C. *BCA Watson Rre LLP*
December 17, 2021

Management's Discussion and Analysis

INTRODUCTION

This discussion and analysis provide an overview of the financial activities of the District of Columbia Teachers' Retirement Fund (TRF) and Police Officers and Fire Fighters' Retirement Fund (POFRF), for the years ended September 30, 2021, 2020, and 2019, which collectively will be referred to as the "District Retirement Funds" or the "Fund." This discussion and analysis should be read in conjunction with the financial statements, the notes to the financial statements, the required supplementary information and the supplementary information provided in this Report.

The District of Columbia Retirement Board (the Board or DCRB) is an independent agency of the District of Columbia (the District or D.C.) Government. The Board is responsible for managing the assets of the District Retirement Funds. As authorized by D.C. Code, the Board pools the assets of the TRF and the POFRF into a single investment portfolio. The Board allocates the investment returns and expenses, and the administrative expenses of the Board, between the two District Retirement Funds in proportion to their respective net position. The Board maintains financial records of contributions, purchases of service, benefit payments, refunds, investment earnings, investment expenses, and administrative expenses.

Effective September 26, 2005, the Board entered a Memorandum of Understanding (MOU) with the District of Columbia and the United States Department of the Treasury (the U.S. Treasury) to administer the pension benefits under the TRF and the POFRF for all retirees, survivors and beneficiaries that are the financial responsibility of the District of Columbia (service earned on and after July 1, 1997) and the Federal Government (service through June 30, 1997). In addition to the Board's administrative duties, the U.S. Treasury also provides certain administrative services related to the administration of pension benefits under the District of Columbia Teachers' Retirement Plan and the District of Columbia Police Officers and Firefighters' Retirement Plan (the Plans). The administrative costs incurred while administering the pension benefits are shared by DCRB and the U.S. Treasury in accordance with an MOU that is agreed to annually between the two parties.

OVERVIEW OF THE FINANCIAL STATEMENTS AND SCHEDULES

The following discussion and analysis are intended to serve as an introduction to DCRB's financial statements. The basic financial statements include:

The Combining Statements of Fiduciary Net Position are a point-in-time snapshot of plan fund balances at fiscal year-end. It reports the assets available to pay future benefits to retirees, and any liabilities that are owed as of the statement date. The resulting Net Position (Assets – Liabilities = Net Position) represents the value of assets restricted for pensions net of liabilities owed as of the financial statement date.

The Combining Statements of Changes in Fiduciary Net Position display the effect of financial transactions that occurred during the fiscal year, where Additions – Deductions = Change in Net Position. This increase (or decrease) in Net Position reflects the change in the value of Net Position Restricted for Pensions.

The Notes to Financial Statements contain disclosures and discussions which support the data presented in the financial statements. The notes present information about the creation and administration of the Fund, significant accounting policies, and investments. The notes are an integral part of the financial statements and should be considered in conjunction with any review of the financial statements.

The Required Supplementary Information consists of schedules of changes of employers' net pension liability and related ratios, employer contributions, and the money-weighted rate of investment returns.

The Supplementary Information includes additional information on the District Retirement Funds including schedules of administrative expenses, investment expenses, and payments to consultants. These schedules include more detailed information pertaining to the Plans.

FINANCIAL HIGHLIGHTS

- DCRB's combined total net position increased by \$1.9 billion, or 21.1% during fiscal year 2021.

Management's Discussion and Analysis

- DCRB's rate of return on investments during fiscal year 2021 was 20.9% compared with 2020 rate of return of 5.3%. This was due to the high levels of market performance in 2021.
- DCRB had a net pension asset of \$246.3 million for TRF and \$1,810.4 million for POFRF, and the Net Pension Asset as a percentage of covered payroll was 45.7% for TRF and 350.3% for POFRF as of September 30, 2021.
- The Funding status for TRF and POFRF were 109.1% and 129.3%, respectively.

ANALYSIS OF FINANCIAL INFORMATION

DCRB's funding objective is to meet long-term benefit obligations with net investment income and employer and member contributions. The discussion below provides an analysis of the current year's financial activities in relation to the current member population and relevant economic conditions for the combined Funds.

The following Condensed and Combining Statements of Fiduciary Net Position present financial information for the combined Funds and compare fiscal years 2021, 2020, and 2019.

(Dollars in thousands)

	2021	2020	2019	2021 Percent Change	2020 Percent Change
Assets					
Cash and Short-Term Investments	\$ 87,331	\$ 33,041	\$ 76,434	164.3 %	(56.8) %
Receivables	10,087	51,495	8,620	(80.4)	497.4
Prepaid Expenses	294	157	151	87.3	4.0
Investments at Fair Value	10,876,794	8,986,818	8,453,602	21.0	6.3
Net Capital Assets	75	75	-	-	100.0
Total Assets	10,974,581	9,071,586	8,538,807	21.0	6.2
Liabilities					
Accounts Payable and Other Liabilities	9,916	7,011	6,437	41.4	8.9
Due to Federal Government	624	1,198	540	(47.9)	121.9
Due to District of Columbia Government	-	174	-	(100.0)	100.0
Investment Payables	27,163	31,623	10,985	(14.1)	187.9
Total Liabilities	37,703	40,006	17,962	(5.8)	122.7
Net Position Restricted for Pensions	\$ 10,936,878	\$ 9,031,580	\$ 8,520,845	21.1 %	6.0 %

Assets

Cash and short-term investments increased by \$54.3 million (164.3%) while receivables decreased by \$41.4 million (80.4%) over fiscal year 2020. The investment cash pool in 2021 was higher than the past two years due to greater investment transaction demands.

Prepaid expenses include payments for insurance premiums and IT related licenses and increased by \$0.14 million (87.3%) compared to fiscal year 2020. The higher prepaid expenses in 2021 are due to higher insurance premiums paid during the year.

Investment assets grew \$1,890.0 million (21.0%) over fiscal year 2020. The highest growth was from private equity (58.4%) followed by real assets (43.7%). Private equity was also the highest growth asset class in 2020, with a 28.0% increase over 2019. Private equity steadily grew over the past three years and was 8.7% of total investments at fair value in 2021 compared to 6.6% in 2020 and 5.5% in 2019.

Management's Discussion and Analysis

DCRB purchased additional IT equipment during the fiscal year 2021 that was capitalized based on DCRB's capitalization policy. The net capital assets in 2021 remained the same as in 2020 after deducting depreciation expenses on existing capital assets. DCRB did not purchase any capital assets in fiscal year 2019.

Liabilities

Accounts payable and other liabilities include accrued investment manager fees, accrued payroll, deferred rent, and other accrued administrative expenses. In fiscal year 2021, accounts payable and other liabilities increased by \$2.9 million (41.4%) and 70.4% of it was for accrued investment manager fees of \$7.0 million. It was \$4.5 million, or 64.8%, in 2020 and \$4.3 million, or 66.8% in 2019. 72.0% of total liability was from investments payable, which was 14.1% lower than fiscal year 2020. Like receivables, the Plans' payables are all short-term. Since most of the assets are from investments, most of the liabilities were investment related regardless of the year. Non-investment related payables were administrative expenses payables. The largest share of administrative expenses is deferred rent; \$1.2 million in 2021 and \$1.1 million each for 2020 and 2019. Majority of other administrative expenses are payroll related and fluctuate year by year depending on when the pay period ends.

Investment and administrative assets and liabilities are commingled and allocated between TRF and POFRF funds based on their proportionate net position in the pool. Please see "Allocation" on page 33 of Notes to Financial Statements for details.

The following Condensed and Combining Statements of Changes in Fiduciary Net Position present financial information for the combined Funds and compare fiscal years 2021, 2020, and 2019.

(Dollars in thousands)

	2021	2020	2019	2021 Percent Change	2020 Percent Change
Additions					
Contributions:					
District Government	\$ 180,411	\$ 151,949	\$ 144,627	18.7 %	5.1 %
Plan Members	83,122	80,236	78,675	3.6	2.0
Net Investment Income	1,905,258	520,531	318,034	266.0	63.7
Other Income	3,538	3,010	3,318	17.5	(9.3)
Total Additions	2,172,329	755,726	544,654	187.4	38.8
Deductions					
Annuitant Benefit Payments	245,859	225,723	202,813	8.9	11.3
Refunds	5,837	6,109	7,951	(4.5)	(23.2)
Administrative Expenses	15,335	13,159	12,921	16.5	1.8
Total Deductions	267,031	244,991	223,685	9.0	9.5
Change in Fiduciary Net Position	<u>\$ 1,905,298</u>	<u>\$ 510,735</u>	<u>\$ 320,969</u>	273.1 %	59.1 %

Additions

Additions in net position are comprised of employer contributions, employee contributions, net investment income, and other income. For fiscal year 2021, these additions totaled \$2,172.3 million, an increase of \$1,416.6 million (187.4%) from the fiscal year 2020 amount of \$755.7 million. The increase was due to the stronger investment returns experienced in fiscal year 2021. Net investment income makes up 87.7% of total the additions to the net position figure in 2021, up from 68.9% in 2020, and 58.4% in 2019. As a result, the higher net investment income has a significant impact.

Management's Discussion and Analysis

Employer contributions in fiscal year 2021 totaled \$180.4 million, an increase of \$28.5 million (18.7%) from the fiscal year 2020 amount of \$151.9 million. The employer contributions were determined for TRF and POFRF separately by the actuarial valuations based on the experience study completed in 2017 for 2021, 2020, and 2019. 39.1% of employer contribution was for TRF and 60.9% was for POFRF in 2021. The employer contributions for TRF and POFRF were 38.8% and 61.2% in 2020, and 36.9% and 63.1% in 2019 respectively. A new experience study was completed in 2021.

Plan member contributions in fiscal year 2021 totaled \$83.1 million, an increase of \$2.9 million (3.6%) over the fiscal year 2020 amount of \$80.2 million. Member contributions consist of amounts paid by members for future retirement benefits and increased for three reasons: salary increases, purchases of service (POS), and an increase in active, contributing participants. The increase for member contributions in fiscal year 2021 was a result increases in salaries and number of active members. According to the October 1, 2021 actuarial valuation report, the total number of active participants (post June 30, 1997 participants) increased by 384, (3.5%) and all were teachers. As a result of the increase in number of active participants, TRF had an 7.9% increase in member contribution in fiscal year 2021 and 4.8% in fiscal year 2020. On the other hand, member contributions for POFRF stayed at the same level in fiscal year 2021 due to no changes in the number of active members. POS was \$1.3 million, \$1.8 million, and \$1.2 million in fiscal years 2021, 2020 and 2019 respectively. POFRF generally has higher POS contributions than TRF. 65.4% and 66.2% of the POS balance came from the POFRF in fiscal years 2021 and 2020, respectively.

Investment income, net of investment fees, for fiscal year 2021 totaled \$1,905.3 million, an increase of 266.0%. Net investment income for fiscal year 2020 totaled \$520.5 million. The investment returns net of fees were 20.9% in 2021, 5.3% in fiscal year 2020, and 3.8% in fiscal year 2019. Other income in fiscal year 2021 totaled \$3.5 million, which was a 17.5% increase from the fiscal year 2020 amount of \$3.0 million. Other income consists mainly of reimbursements of administrative expenses from the U.S. Treasury, which do not fluctuate significantly from year to year.

Deductions

The statutory mandate of DCRB is to provide retirement, survivor, and disability benefits to eligible members and their survivors. The costs of such programs include recurring benefit payments, elective refunds of contributions to employees who terminate employment, and the cost of administering the District Retirement Plans.

Deductions from net position are comprised of benefit payments, refunds, and administrative expenses. During fiscal year 2021, these deductions totaled \$267.0 million, an increase of \$22.0 million (9.0%) over the fiscal year 2020 amount of \$245.0 million.

Benefit payments for 2021 totaled \$245.9 million, an increase of \$20.1 million (8.9%) over the fiscal year 2020 amount of \$225.7 million. This increase is due to the demographic change of retirees and survivors receiving benefits. The benefit payments for members who retired after June 30, 1997 are paid by the District only and the number of these post 1997 retirees increased by 187 members in fiscal year 2021, 242 members in fiscal year 2020, and 327 members in fiscal year 2019. The increase in number of retirees were from POFRF. Benefit payments made on behalf of retirees, disabled, and other beneficiaries comprised approximately 92.1% of the funds' expenses for both fiscal years 2021 and 2020.

Refunds of member contributions in fiscal year 2021 totaled \$5.8 million, a decrease of \$0.3 million (4.5%) over the fiscal year 2020 amount of \$6.1 million. Refunds are typically higher in the TRF than in the POFRF because the annual turnover for teachers is higher than for public safety employees. These refunds of member contributions are at the discretion of the member and vary from year to year.

Administrative expenses in fiscal year 2021 totaled \$15.3 million, an increase of \$2.2 million (16.5%) from the fiscal year 2020 amount of \$13.2 million. Administrative expenses consist of administrative personnel costs, payments to the U.S. Treasury for processing monthly retiree benefit payment services, professional fees, rent expenses, and other miscellaneous operational expenses. The primary drivers of the administrative expense increase were personnel services and professional fees.

Management's Discussion and Analysis

Funding Status

As of September 30, 2021 (the date of the most recent actuarial valuation), the funding status was 109.1% for TRF and 129.3% for POFRF. The most recent Experience Study was completed in fiscal year 2021, covering the years 2015 through 2020. As the results of this study, the discount rate was decreased to 6.25% from 6.50% and some other assumptions were changed and reflected to the valuation.

DCRB is a well-funded yet immature system as a result of the 1999 asset split with U.S. Treasury, in which U.S. Treasury assumed responsibility for all benefit obligations prior to July 1, 1997. As the system continues to mature, investment income is beginning to provide a greater percentage of the funds necessary to pay retirement benefits. Therefore, the long-term rate of investment return is critical to DCRB's long-term funding status.

As of September 30, 2021, the actuarial determined liability was \$2.7 billion for the TRF and about \$7.3 billion for the POFRF for a total of \$10.0 billion. The fair value of these assets as of September 30, 2021, included on the financial statements of DCRB, was \$2.9 billion for the TRF and \$8.0 billion for the POFRF for a total of \$10.9 billion. Therefore, when viewing the actuarial funding status, the fair value of assets is sufficient to cover the liability on September 30, 2021.

ADDITIONAL INFORMATION

These financial statements of the District Retirement Funds are presented in accordance with accounting principles generally accepted in the United States of America. Questions about these financial statements or other inquiries should be addressed to the Executive Director, District of Columbia Retirement Board, 900 7th Street, NW, 2nd Floor, Washington, D.C. 20001.

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Combining Statements of Fiduciary Net Position

As of September 30, 2021 and 2020

(Dollars in thousands)

	Teachers' Retirement Fund	2021 Police Officers and Fire Fighters' Retirement Fund	Total	Teachers' Retirement Fund	2020 Police Officers and Fire Fighters' Retirement Fund	Total
ASSETS						
Cash and Short-Term Investments	\$ 23,513	\$ 63,818	\$ 87,331	\$ 8,814	\$ 24,227	\$ 33,041
Receivables:						
Federal Government	491	1,334	1,825	789	2,168	2,957
Investment Receivables	1,031	2,802	3,833	11,039	30,341	41,380
Employee Contributions	2,482	1,947	4,429	3,951	3,204	7,155
Other Receivables	-	-	-	1	2	3
Total Receivables	4,004	6,083	10,087	15,780	35,715	51,495
Prepaid Expenses	79	215	294	42	115	157
Investments at Fair Value:						
Domestic Equity	712,790	1,935,591	2,648,381	629,553	1,730,373	2,359,926
International Equity	863,837	2,345,761	3,209,598	646,113	1,775,890	2,422,003
Fixed Income	827,171	2,246,197	3,073,368	776,837	2,135,197	2,912,034
Real Assets	269,777	732,581	1,002,358	186,075	511,441	697,516
Private Equity	253,826	689,263	943,089	158,817	436,522	595,339
Total Investments at Fair Value	2,927,401	7,949,393	10,876,794	2,397,395	6,589,423	8,986,818
Capital Assets	26	71	97	23	64	87
Less Depreciation	6	16	22	3	9	12
Net Capital Assets	20	55	75	20	55	75
Total Assets	2,955,017	8,019,564	10,974,581	2,422,051	6,649,535	9,071,586
LIABILITIES						
Account Payables and Other Liabilities	2,654	7,262	9,916	1,859	5,152	7,011
Due to Federal Government	168	456	624	320	878	1,198
Due to District of Columbia Government	-	-	-	46	128	174
Investment Payables	7,311	19,852	27,163	8,436	23,187	31,623
Total Liabilities	10,133	27,570	37,703	10,661	29,345	40,006
Net Position Restricted for Pensions	\$2,944,884	\$7,991,994	\$ 10,936,878	\$2,411,390	\$6,620,190	\$9,031,580

See accompanying Notes to Combining Financial Statements.

Combining Statements of Changes in Fiduciary Net Position

For the Years Ended September 30, 2021 and 2020

(Dollars in thousands)

	Teachers' Retirement Fund	2021 Police Officers and Fire Fighters' Retirement Fund	Total	Teachers' Retirement Fund	2020 Police Officers and Fire Fighters' Retirement Fund	Total
Additions						
Contributions:						
District Government	\$ 70,478	\$ 109,933	\$ 180,411	\$ 58,888	\$ 93,061	\$ 151,949
Plan Members	45,689	37,433	83,122	42,356	37,880	80,236
Total Contributions	116,167	147,366	263,533	101,244	130,941	232,185
Investment Income:						
Net Appreciation in Fair						
Value of Investments	503,073	1,364,095	1,867,168	130,757	359,227	489,984
Interest	7,535	20,480	28,015	8,281	22,710	30,991
Dividends	6,594	17,906	24,500	3,634	9,968	13,602
Other Investment Income	3,623	9,829	13,452	1,208	3,279	4,487
Total Gross Investment Income	520,825	1,412,310	1,933,135	143,880	395,184	539,064
Less:						
Investment Expenses	7,503	20,374	27,877	4,944	13,589	18,533
Net Investment Income	513,322	1,391,936	1,905,258	138,936	381,595	520,531
Other Income	953	2,585	3,538	803	2,207	3,010
Total Additions	630,442	1,541,887	2,172,329	240,983	514,743	755,726
Deductions						
Annuitant Benefit Payments	89,404	156,455	245,859	85,679	140,044	225,723
Refunds	3,417	2,420	5,837	4,873	1,236	6,109
Administrative Expenses	4,127	11,208	15,335	3,511	9,648	13,159
Total Deductions	96,948	170,083	267,031	94,063	150,928	244,991
Change in Net Position	533,494	1,371,804	1,905,298	146,920	363,815	510,735
Allocation Adjustments	-	-	-	(12)	12	-
Net Position Restricted for Pensions:						
Beginning of Year	2,411,390	6,620,190	9,031,580	2,264,482	6,256,363	8,520,845
End of Year	<u>\$ 2,944,884</u>	<u>\$7,991,994</u>	<u>\$10,936,878</u>	<u>\$2,411,390</u>	<u>\$6,620,190</u>	<u>\$9,031,580</u>

See accompanying Notes to Combining Financial Statements.

Notes to Financial Statements

NOTE 1: ORGANIZATION

The District of Columbia Teachers' Retirement Fund (TRF) and the District of Columbia Police Officers and Fire Fighters Retirement Fund (POFRF), collectively referred to as the Fund or the District Retirement Funds, are two separate single-employer defined benefit pension plans that were established in 1979 by the District of Columbia Retirement Reform Act (the Reform Act, Pub. L. 96- 122, D.C. Code § 1-701 et seq.). The Fund holds in trust the assets available to pay pension benefits to teachers, police officers, and firefighters of the District of Columbia Government. The Reform Act also established the District of Columbia Retirement Board.

The National Capital Revitalization and Self-Government Improvement Act of 1997 (the Revitalization Act, Title XI of the Balanced Budget Act of 1997, Pub. L. 105-33) transferred significant assets and liabilities of the District Retirement Funds to the Federal Government. The Revitalization Act transferred to the Federal Government the liability for retirement benefits for employee service credit earned prior to July 1, 1997, by participants of the District Retirement Funds. The assets transferred to the Federal Government were intended to partially fund this liability.

On September 18, 1998, the Council of the District of Columbia (the Council) enacted the Police Officers, Fire Fighters, and Teachers Retirement Benefit Replacement Plan Act of 1998 (the Replacement Act). The Replacement Act established the District Retirement Plans for employee service earned after June 30, 1997 and provided for full funding of these benefits on an actuarially sound basis.

The Board is an independent agency of the District of Columbia government that is responsible for managing the assets of the TRF and the POFRF. Although the assets of these funds are commingled for investment purposes, each fund's assets may only be used for the payment of benefits to the participants of that fund and certain administrative expenses.

The District Retirement Funds are included in the District's Annual Comprehensive Financial Report as a pension trust fund.

NOTE 2: FUND ADMINISTRATION AND DESCRIPTION

District of Columbia Retirement Board

The Board consists of 12 trustees, three appointed by the Mayor of the District, three appointed by the Council of the District, and six elected by the active and retired participants. Included are one active and one retired representative each, from the police officers, firefighters, and teachers. Each of the six representatives of the Plans' participants is elected by the respective groups of active and retired employees. In addition, the District's Chief Financial Officer or his designee serves as a nonvoting, ex-officio trustee.

Since its inception, the Board has operated under a committee system which provides a two-tiered process for fiduciary review and analysis. In this manner, the Board, consistent with its fiduciary duties, reviews all issues brought before it. The Board has six standing committees: Benefits, Audit, Fiduciary, Investments, Legislative, and Operations. To implement its policies, the Board retains an Executive Director and other staff who are responsible for the day-to-day management of the District Retirement Funds and the administration of the benefits paid from the Funds.

Teachers' Retirement Fund

Other Entities involved in Plan Administration – The District of Columbia Public School's (DCPS) Office of Human Resources makes decisions regarding voluntary and involuntary retirement, disability retirement, and annual medical and income reviews.

Notes to Financial Statements

Teachers' Retirement Fund (Continued)

Benefits Calculation – DCRB's Benefits Department receives the approved retirement applications and supporting documentation for all active Plan members found eligible for retirement by the DCPS Office of Human Resources and carries out the day-to-day processing of retirement benefits. DCRB also processes employee requests for refunds of contributions and purchases of service.

Eligibility – Permanent, temporary, part-time, and probationary teachers and certain other employees of the District of Columbia public day schools are automatically enrolled in the Teachers' Retirement Plan on their date of employment. Certain conditions apply for part-time teachers. Substitute teachers and employees of the Department of School Attendance and Work Permits are not covered.

Certain former DCPS Teachers Retirement plan members employed by D.C. Public Charter School are also eligible to be participants if they elect to continue Plan participation within 90 days of last day of service with DCPS.

Title 38, Chapter 20 of the D.C. Official Code (D.C. Code § 38-2021.01 et seq. (2001 Ed.)) establishes benefit provisions which may be amended by the District Council. For employees hired before November 1, 1996, the annual retirement benefit is the average salary, as defined, multiplied by 1.5% for each of the first five years of service, plus 1.75% for each of the second five years; plus 2% for each additional year over 10 years. For employees hired on or after November 1, 1996, the annual retirement benefit is the average salary, as defined, multiplied by 2% for each year of service. The average salary is the highest average consecutive 36 months of pay.

The annuity may be further increased by crediting unused sick leave as of the date of retirement. Participants receiving retirement benefits receive an annual benefit increase proportional to changes in the Consumer Price Index; however, the annual increase may not exceed 3% for participants hired on or after November 1, 1996. Participants may select from among several survivor options.

Participants who have 5 years of school service (by working for the District of Columbia public school system), and who become disabled and can no longer perform their jobs satisfactorily, may be eligible for disability retirement. Such disability retirement benefits are calculated in the same manner as a retirement benefit; however, a minimum disability benefit applies.

Voluntary retirement is available for teachers who have a minimum of 5 years of school service and who achieve the following age and length of service requirements:

- at age 62 with 5 years of service;
- at age 60 with 20 years of service; and
- at age 55 with 30 years of service; if hired before November 1, 1996; or
- at any age with 30 years of service, if hired by the school system on or after November 1, 1996.

Employees who are involuntarily separated other than for cause and who have 5 years of school service, may be eligible for retirement at any age with 25 years of service or at age 50 with 20 years of service.

An involuntary retirement benefit is reduced if, at the time of its commencement, the participant is under the age of 55.

Police Officers and Fire Fighters' Retirement Fund

Other Entities involved in Plan Administration – The District of Columbia Police Officers and Firefighters' Retirement and Relief Board makes findings of fact, conclusions of law, and decisions regarding eligibility for retirement and survivor benefits, determines the extent of disability, and conducts annual medical reviews. The Police and Fire Clinic determines medical eligibility for disability retirement.

Notes to Financial Statements

Police Officers and Fire Fighters' Retirement Fund (Continued)

Benefits Calculation – DCRB's Benefits Department receives the retirement orders for retirement benefit calculations for all active Plan members found eligible for retirement by the District of Columbia Police Officers and Firefighters' Retirement and Relief Board and carries out the day-to-day processing of retirement benefits. DCRB also processes employee requests for refunds of contributions and purchases of service. Effective 2013, DCRB began conducting annual disability income reviews.

Eligibility – A participant becomes a member when he/she begins work as a police officer or firefighter in the District. Cadets are not eligible to join the Plan.

Retirement and disability benefit provisions for District of Columbia police officers and firefighters are established by the "Policemen and Firemen's Retirement and Disability Act" (D.C. Code § 5 701 et seq. (2001 Ed.)).

Members Hired Before February 15, 1980 – Members are eligible for optional retirement with full benefits at any age after 20 years of departmental service, or for deferred retirement at age 55 after five years of departmental service. The annual basic retirement benefit equals 2.5% of average base pay, which is defined as the highest average consecutive 12 months of base pay, multiplied by departmental service through 20 years; plus 3% of average base pay multiplied by average base pay times departmental service over 20 years; plus 2.5% of average base pay multiplied by years of other creditable service; however, the aggregate annual basic retirement benefit may not exceed 80% of the member's average base pay. Members terminated after five years of police or fire service are entitled to a deferred pension beginning at age 55. Benefits are also provided to certain survivors of active, retired, or terminated vested members. Retirement benefits are increased by the same percentage in base pay granted to active participants.

Members with a service-related disability receive a disability retirement benefit of 2.5% of average base pay multiplied by the number of years of creditable service. A minimum annual disability retirement benefit of 66⅔% of average base pay and a maximum annual disability retirement benefit of 70% of average base pay apply.

Members with a nonservice related disability and at least five years of departmental service receive a disability retirement benefit of 2% of average base pay multiplied by the number of years of creditable service. A minimum annual disability retirement benefit of 40% of average base pay and a maximum annual disability retirement benefit of 70% of average base pay apply.

Members Hired on or After February 15, 1980 and Before November 10, 1996 – Members are eligible for optional retirement with full benefits at age 50 with at least 25 years of departmental service, or after age 55 with five years of departmental service. The annual basic retirement benefit equals 2.5% of average base pay, which is defined as the highest average consecutive 36 months of base pay, multiplied by the number of years of creditable service through 25 years; plus 3% of average base pay multiplied by the number of years of departmental service over 25 years; plus 2.5% of average base pay multiplied by the number of years of other creditable service; however, the aggregate annual basic retirement benefit may not exceed 80% of the member's average base pay. Members separated from the Police or Fire Department after five years of departmental service are entitled to a deferred pension beginning at age 55.

Members with a service-related disability receive a disability retirement benefit of 70% of base pay multiplied by the percentage of disability. A minimum annual disability retirement benefit of 40% of base pay applies.

Members with a nonservice related disability and at least five years of departmental service receive a disability retirement benefit of 70% of base pay multiplied by the percentage of disability. A minimum annual disability retirement benefit of 30% of base pay applies.

Benefits are also provided to certain survivors of active, retired, or terminated vested members. Members who retired after February 15, 1980 receive annual benefit increases proportional to changes in the Consumer Price Index.

Notes to Financial Statements

Police Officers and Fire Fighters' Retirement Fund (Continued)

Members Hired on or After November 10, 1996 – Members are eligible for retirement at any age, with at least 25 years of departmental service or after age 55 with five years of departmental service. The annual basic retirement benefit equals 2.5% of average base pay, which is defined as the highest average consecutive 36 months of base pay, multiplied by creditable service; however, the aggregate annual basic retirement benefit may not exceed 80% of the average base pay. Members separated after five years of departmental service are entitled to a deferred pension beginning at age 55. Benefits are also provided to certain survivors of active, retired, or terminated vested members. Members receive annual benefit increases proportional to changes in the Consumer Price Index, however, the increase is capped at 3%.

Members with a service-related disability receive a disability retirement benefit of 70% of base pay multiplied by the percentage of disability. A minimum annual disability retirement benefit of 40% of base pay applies.

Members with a nonservice related disability and at least five years of departmental service receive a disability retirement benefit of 70% of base pay multiplied by the percentage of disability. A minimum annual disability retirement benefit of 30% of base pay applies.

Prior to reaching age 50, a disability retirement benefit will be reduced or terminated if outside earnings exceed a certain limit.

Participant Data

The number of participants used in the actuarial valuation as of September 30 was as follows:

Teachers' Retirement Fund	2021	2020
Service Retired, Disabled and Beneficiaries (Post June 30, 1997)	4,072	4,071
Active Plan Members	6,050	5,531
Vested Terminations	1,514	1,510
Total Participants	<u>11,636</u>	<u>11,112</u>

Police Officers and Fire Fighters' Retirement Fund	2021	2020
Service Retired, Disabled and Beneficiaries (Post June 30, 1997)	4,115	3,929
Active Plan Members	5,242	5,377
Vested Terminations	342	303
Total Participants	<u>9,699</u>	<u>9,609</u>

Total	2021	2020
Service Retired, Disabled and Beneficiaries (Post June 30, 1997)	8,187	8,000
Active Plan Members	11,292	10,908
Vested Terminations	1,856	1,813
Total Participants	<u>21,335</u>	<u>20,721</u>

Notes to Financial Statements

Contributions

As a condition of participation, members are required to contribute certain percentages of salaries as authorized by statute. Plan members contribute by salary deductions at rates established by D.C. Code § 5-706 (2001 Ed.). Members contribute 7% (or 8% for Teachers and Police Officers and Firefighters hired on or after November 1, 1996 and November 10, 1996, respectively) of annual gross salary, including any differential for special assignment and longevity, but excluding overtime, holiday, or military pay.

The District is required to contribute the amounts necessary to finance the Plan benefits of its members through annual contributions at actuarially determined amounts in accordance with the provisions of the Replacement Act. The amount of the District contributions for fiscal years 2021 and 2020 were equal to the amounts computed, if any, by the Board's independent actuary.

Contribution requirements of members are established by D.C. Code §5-706 and requirements for District of Columbia Government contributions to the Fund are established at D.C. Code §1-907.02 (2001 Ed.), which may be amended by the City Council.

NOTE 3: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Basis of Accounting

DCRB's financial statements were prepared in accordance with accounting principles generally accepted in the United States (GAAP) using the accrual basis of accounting. The Governmental Accounting Standards Board (GASB) is the accepted standard-setting body for establishing governmental accounting and reporting principles. Employee contributions are recognized at the time compensation is paid to Plan members. Employer contributions are recognized when due and the employer has made a formal commitment to provide the contributions. Benefits and refunds are recognized when due and payable in accordance with the terms of the retirement Plan's commitment.

Method Used to Value Investments

Investments are reported at fair value. Securities traded on a national or international exchange are valued at the last reported sales price at current exchange rates. The fair value of private investment funds, including private equity and private real assets, is determined using unit values supplied by the fund managers, which are based upon the fund managers' appraisals of the funds' underlying holdings. Such values involve subjective judgement and may differ from amounts which would be realized if such holdings were sold. The fair value of limited partnership investments is based on valuations of the underlying assets of the limited partnerships as reported by the general partner. A significant number of investment managers provide account valuations net of management expenses. Those expenses are netted against investment income.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires the Board to make estimates and assumptions that affect the reported amounts of assets, liabilities, at the date of the financial statements and additions and deductions during the reporting period. Significant estimates include the pension obligations and useful lives of capital assets. Actual results could differ from those estimates.

Reclassification

Certain accounts in the prior-year financial statements have been reclassified for comparative purposes to conform to the presentation in the current-year financial statements.

Notes to Financial Statements

Allocation

District and employee contributions are deposited in the respective Retirement Fund for which the contribution was made, and benefit payments and employee contribution refunds are withdrawn from the Fund of the Plan in which the recipient participates. Investment performance and administrative expenditures are allocated between the two Funds based upon their proportionate net position in the pool.

The allocation percentages fluctuate slightly between the TRF and POFRF every month. Annualized allocation percentages were 26.91% for TRF and 73.09% for POFRF as of September 30, 2021.

Capital Assets

During the fiscal year 2021, DCRB purchased additional IT equipment that was depreciated using a straight-line method over five years based on DCRB's capitalization policy.

Recent Accounting Pronouncements

GASB 87, *Leases*, was postponed by eighteen months and requires adoption for all fiscal years that begin subsequent to June 15, 2021. DCRB will evaluate the impact of the Statement and will adopt it, if applicable.

GASB Statement No. 96, *Subscription-based Information Technology Arrangements*, was issued in May 2020. The Statement provides guidance on the accounting and financial reporting for subscription-based information technology arrangements. The requirements of this Statement are effective for reporting periods beginning after June 15, 2022. DCRB will evaluate the impact of the Statement and will adopt it, if applicable.

GASB Statement No. 97, *Certain Component Unit Criteria, and Accounting and Financial Reporting for Internal Revenue Code Section 457 Deferred Compensation Plans*, was issued in June 2020. The Statement provides guidance on reporting of 1) fiduciary activities, certain defined contribution pension plans, 2) defined contribution other postemployment benefit (OPEB) plans, and employee benefit plans other than pension plans or OPEB plans, and 3) Internal Revenue Code Section 457 deferred compensation plans. The requirements of this Statement are effective immediately for 1) and 2). The requirements of 1) and 2) of this Statement required no changes in the financial reporting. The requirements of 3) of this Statement are effective for reporting periods beginning after June 15, 2021. DCRB will evaluate the impact of the Statement and will adopt it, if applicable.

GASB Statement 98, *The Annual Comprehensive Financial Report*, was issued in October 2021. The Statement establishes the term *annual comprehensive financial report* and its acronym ACFR. The new term and acronym replace instances of *comprehensive annual financial report* and its acronym. The requirements of this Statement are effective for fiscal years ending after December 15, 2021, and the Statement was early adopted during the year ended September 30, 2021.

Federal Income Tax Status

The District Retirement Funds are qualified plans under section 401(a) of the Internal Revenue Code and are exempt from federal income taxes under section 501(a).

NOTE 4: INVESTMENTS

The Board is authorized to manage and control the investment of the District Retirement Funds' assets. The Board broadly diversifies the investments of the District Retirement Funds to minimize the risk of large losses, unless under the circumstances it is clearly prudent not to do so, as required by D.C. Code § 1-741(a)(2)(C), (2001 Ed.).

Notes to Financial Statements

Master Trust – The Board has pooled all assets under its management (the Investment Pool), as is authorized by D.C. Code § 1-903(b), (2001 Ed.), with a master custodian under a master trust arrangement (the Master Trust). Using an investment pool, each Fund owns an undivided proportionate share of the pool.

The following is the Board's approved asset allocation policy.

Asset Class	Target Allocation		Allowable Ranges	
	2021	2020	2021	2020
<i>Public Equities</i>	46 %	46 %	34 -56 %	34 -56 %
U.S. Equities	20	20	15 -25	15 -25
International Developed Market Equities	16	16	12 - 20	12 - 20
Emerging Market Equities	10	10	7 - 13	7 - 13
<i>Fixed Income</i>	24	30	11 - 37	17 - 43
U.S. Core Fixed Income	7	11	3 - 11	7 - 15
U.S. Long Term Government Bonds	3	-	0 - 10	-
Treasury Inflation-Protected Securities	4	6	0 - 10	4 - 8
Bank Loans	2	3	0 - 4	1 - 5
Emerging Market Debt	4	4	0 - 8	2 - 6
High Yield Bonds	2	4	0 - 4	2 - 6
Foreign Bonds	2	2	0 - 4	1 - 3
<i>Alternatives</i>	29	24	19 - 39	14 - 36
Absolute Return	2	4	0 - 5	4 - 6
Private Equity	9	9	4 - 14	4 - 14
Private Credit	3	-	0 - 8	-
<i>Real Assets</i>	15	11	10 - 20	6 - 16
Real Estate	7	6	4 - 10	4 - 8
Infrastructure/Opportunistic	6	3	4 - 8	1 - 5
Natural Resources	2	2	1 - 3	1 - 3
<i>Cash</i>	1	-	0 - 5	0 - 5

Custodial Credit Risk – Custodial credit risk is the risk that, in the event of the failure of the counterparty, DCRB will not be able to recover the value of its investments that are in the possession of an outside party. Investments held by the custodian on behalf of DCRB are held in an account in the name of DCRB. Funds not invested at the end of a given day are placed in overnight instruments in the name of DCRB.

Interest Rate Risk – Interest rate risk is the risk that changes in market interest rates will adversely affect the fair value of an investment. Generally, an investment with a longer maturity will have a greater sensitivity to fair value changes that are related to market interest rates. The Board monitors the interest rate risk inherent in its portfolio by measuring the weighted average duration of its portfolio. Duration is a measure of a debt investment's exposure to fair value changes arising from changing interest rates. It uses the present value of cash flows, weighted for those cash flows as a percentage of the investment's full price. Generally, the risk and return of the Board's fixed income segment of the portfolio is compared to the Barclays Capital U.S. Universal Index. To mitigate interest rate risk, the fixed income segment is expected to maintain a weighted average duration (sensitivity to interest rate changes) within +/-2 years of the duration of this Index.

Credit Risk – Generally, credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. This is measured by the assignment of a rating by a nationally recognized statistical rating organization. Unless specifically authorized otherwise in writing by the Board, fixed income managers invest in investment grade instruments rated in the top four rating categories by a recognized statistical rating service.

Notes to Financial Statements

NOTE 4: INVESTMENTS (continued)

Debt Instruments – As of September 30, 2021, the Investment Pool held the following debt instruments: (Dollars in thousands)

Investment Type	Rating*	Fair Value	Duration (Years)	Percentage of Portfolio
Bank Loans	B+	\$ 3,281	0.11	0.11 %
	B	8,199	0.11	0.27
	B-	15,679	0.18	0.51
	CCC+	13,846	0.13	0.45
	CCC	10,463	0.06	0.34
	CCC-	8,098	0.07	0.26
	NR	66,111	0.67	2.15
Corporate Bonds - US (including convertible bonds)	BB+	11,396	0.39	0.37
	BB	1,038	0.05	0.03
	BB-	331	0.01	0.01
	B+	15,553	0.32	0.51
	B	38,637	0.76	1.26
	B-	7,987	0.13	0.26
	CCC+	41,675	0.83	1.36
	CCC	25,637	0.53	0.83
	CCC-	8,397	0.18	0.27
	D	5,776	0.09	0.19
	NR	25,255	0.02	0.82
Corporate Bonds - Foreign	B+	5,789	0.05	0.19
	B-	13,581	0.13	0.44
	CCC	6,979	0.05	0.23
U.S. Treasury	AA+	743,563	0.04	24.19
Fixed Income Pooled Funds	NR	1,996,097	N/A	64.95
Total Fixed Income		<u>\$ 3,073,368</u>		<u>100.00 %</u>

* Using quality ratings provided by Standard & Poor's

Notes to Financial Statements

NOTE 4: INVESTMENTS (continued)

Debt Instruments – As of September 30, 2020, the Investment Pool held the following debt instruments: (Dollars in thousands)

Investment Type	Rating*	Fair Value	Duration (Years)	Percentage of Portfolio
Bank Loans	B+	\$ 3,985	0.06	0.14 %
	B	17,498	0.19	0.60
	B-	24,537	0.26	0.84
	CCC+	27,092	0.34	0.93
	CCC	7,749	0.11	0.27
	CCC-	3,906	0.05	0.13
	CC	6,421	0.07	0.22
	NR	54,268	(0.07)	1.86
Corporate Bonds - US (including convertible bonds)	BB+	9,172	0.29	0.31
	BB	1,547	0.01	0.05
	BB-	3,053	0.07	0.11
	B+	1,513	0.02	0.05
	B	34,590	0.75	1.19
	B-	30,346	0.48	1.04
	CCC+	44,280	0.78	1.52
	CCC	14,114	0.20	0.49
	CCC-	8,483	0.09	0.29
	CC	5,699	0.11	0.20
	NR	36,328	1.30	1.25
Corporate Bonds - Foreign	B+	2,032	0.59	0.07
	B	1,302	0.56	0.05
	B-	7,947	1.92	0.27
	CCC	3,597	0.87	0.12
U.S. Treasury	AA+	711,837	7.88	24.44
Fixed Income Pooled Funds	NR	1,850,738	N/A	63.56
Total Fixed Income		<u>\$ 2,912,034</u>		<u>100.00 %</u>

* Using quality ratings provided by Standard & Poor's

Notes to Financial Statements

NOTE 4: INVESTMENTS (continued)

Foreign Currency Risk – Foreign currency risk is the risk that changes in exchange rates will adversely impact the fair value of an investment. As a general policy, investment managers with authority to invest in issuers denominated in a foreign currency may reduce exposure to currency risk by systematically hedging foreign currency positions back to U.S. dollars through the forward currency markets. Since the forward exchange rate is seldom equal to the spot exchange rate, forward hedging gains and losses may arise. For the years ended September 30, 2021 and 2020, total investments in foreign currencies were approximately \$219 million and \$137 million, respectively.

As of September 30, 2021, the investments that were in a currency other than the United States Dollar, as summarized below:

(Dollars in thousands)

International Securities	Equity	Fixed Income	Private Equity	Real Assets	Short-term and Other	Total Non-U.S. Dollar
Euro	\$ -	\$ -	\$ 89,350	\$ 51,014	\$ 69	\$ 140,433
Canadian Dollar	-	-	50,951	-	-	50,951
British Pound Sterling	-	-	27,207	-	-	27,207
	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 167,508</u>	<u>\$ 51,014</u>	<u>\$ 69</u>	<u>\$ 218,591</u>

As of September 30, 2020, the investments that were denominated in a currency other than the United States Dollar, as summarized below:

(Dollars in thousands)

International Securities	Equity	Fixed Income	Private Equity	Real Assets	Short-term and Other	Total Non-U.S. Dollar
Euro	\$ -	\$ -	\$ 54,245	\$ 38,885	\$ 711	\$ 93,841
Canadian Dollar	-	-	28,216	-	-	28,216
British Pound Sterling	-	-	14,620	-	-	14,620
Swiss Franc	-	-	-	-	116	116
Japanese Yen	-	-	-	-	2	2
	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 97,081</u>	<u>\$ 38,885</u>	<u>\$ 829</u>	<u>\$ 136,795</u>

Securities Lending Transactions – The Board's policies permit the District Retirement Funds to participate in securities lending transactions by relying on a Securities Lending Authorization Agreement, which authorizes the master custodian to lend the Board's securities to qualified broker-dealers and banks pursuant to a form of loan agreement.

The Board may participate in securities lending through its custodian in the future; however, it did not do so in fiscal years 2021 and 2020.

Notes to Financial Statements

NOTE 4: INVESTMENTS (continued)

Derivative Investments – Derivatives are generally defined as contracts in which the value depends on, or derives from, the value of an underlying asset, reference rate, or index. Derivative investments generally contain exposure to credit risk, market risk, and/or legal risk. Credit risk is the exposure to the default of another party to the transaction (counterparty). Market risk is the exposure to changes in the market, such as a change in interest rates, currency exchange rates, or a change in the price or principal value of a security. The Board believes that all contracts are legally permissible in accordance with approved investment policies.

In accordance with the aforementioned investment policies of the Board, the Funds' investment managers used various derivative instruments to increase potential earnings and/or to hedge against potential losses during fiscal year 2021.

TBAs ("to-be-announced", sometimes referred to as "dollar rolls") are used by the Funds' investment managers as an alternative to hold mortgage-backed securities outright to raise the potential yield and to reduce transaction costs. TBAs are used because they are expected to behave similarly to mortgage-backed securities with identical credit, coupon, and maturity features. Credit risk is managed by limiting these transactions to primary dealers. Market risk for TBAs is not significantly different from the market risk for mortgage-backed securities.

Foreign currency forwards, futures, and options are generally used for defensive purposes. These contracts can reduce the Funds' exposure to particular currencies when adverse movements in exchange rates are expected. Foreign currency forwards and futures can introduce market risk when the maximum potential loss on a particular contract is greater than the value of the underlying investment. Market risks arise due to movements in the underlying foreign exchange rates. Credit risk is managed by limiting derivative transactions to counterparties with short-term credit ratings of A1 or P1 or by trading on organized exchanges. Currency options can increase or decrease the Funds' exposure to foreign currencies.

Equity index futures were also used by the Funds to gain exposure to equity markets. Equity index futures are more efficient and cheaper than investing in all underlying equity securities. Equity index futures may pose market risk when the maximum potential loss on a particular contract is greater than the value of the underlying investment. Market risks arise due to movements in the equities markets underlying the contracts used by the Funds. The notional amounts of the contracts are not included in the derivatives holdings disclosed. Credit risk is managed by dealing with member firms of organized futures exchanges.

Liquid exchange-traded and over-the-counter bond futures and options were used by the Funds to gain exposure to fixed income markets more efficiently than purchasing the underlying bonds. Market risk for these derivatives may be larger or smaller than the risk of the underlying fixed income market itself. Credit risk is managed by limiting transactions to counterparties with investment-grade ratings or by trading with member firms of organized exchanges.

Warrants were used by the Funds to gain equity exposure and to enhance performance. Warrants are often distributed by issuers of common stocks and bonds and are held for the same fundamental reasons as the original common stock and/or bonds. Stock rights are a security that gives the holder the entitlement to purchase new shares issued by a corporation at a predetermined price in proportion to the number of shares already owned. Market risk for warrants and rights is limited to the purchase cost. Credit risk for warrants and rights is similar to the underlying equity and/or bond holdings. Again, all such risks are monitored and managed by the Funds' external investment managers, who have full discretion over such investment decisions within a contractual set of investment guidelines.

Notes to Financial Statements

NOTE 4: INVESTMENTS (continued)

Swaps represent an agreement between two or more parties to exchange a sequence of cash flows during a predetermined timeframe. The Funds utilize swaps for several different reasons: to manage interest rate fluctuations, to protect against a borrower default, and/or to gain market exposure without having to own the asset.

The Funds may manage credit exposure using credit default swaps. A credit default swap (CDS) is a contract whereby the credit risk associated with an investment is transferred by entering into an agreement with another party who, in exchange for periodic fees, agrees to make payments in the event of a default or other predetermined credit event. One of the main advantages of a CDS is that it allows for exposure to credit risk while limiting exposure to other risks such as interest rate and currency risk.

The Funds may hold derivative instruments directly via separately managed accounts or indirectly via pooled, commingled, or short-term funds. Information regarding risks associated with indirect holdings may not be disclosed. The following is a list of the Funds' derivatives exposure as reported by the Board's custodian bank as of September 30, 2021 and 2020.

Fair Value Measurements - DCRB categorizes its fair value measurements within the fair value hierarchy established by generally accepted accounting principles. The hierarchy is based on the valuation inputs used to measure the fair value of the asset and gives the highest priority to unadjusted quoted prices in active markets for identical assets (Level 1 measurements) and the lowest priority to unobservable inputs (Level 3 measurements).

Level 1 – Unadjusted quoted prices for identical instruments in active markets.

Level 2 – Quoted prices for similar instruments in active markets; quoted prices for identical or similar instruments in markets that are not active; and model-derived valuations in which all significant inputs are observable.

Level 3 – Valuations derived from valuation techniques in which significant inputs are unobservable.

Investments that are measured at fair value using the Net Asset Value (NAV) per share (or its equivalent) are not classified in the fair value hierarchy as they do not have a readily determinable fair value.

In instances where inputs used to measure fair value fall into different levels in the fair value hierarchy, fair value measurements in their entirety are categorized based on the lowest level input that is significant to the valuation. DCRB's assessment of the significance of particular inputs to these fair value measurements requires judgment and considers factors specific to each asset or liability.

The availability of observable market data is monitored to assess the appropriate classification of financial instruments within the fair value hierarchy. Changes in economic conditions or model-based valuation techniques may require the transfer of financial instruments from one fair value level to another. In such instances, the transfer is reported at the beginning of the reporting period.

Plan management evaluated the significance of transfers between levels based upon the nature of the investments and size of the transfer relative to total net assets available for benefits, investments in private funds have been placed under Level 3 based on management's reevaluation of its valuation methodology.

The tables on pages 41 and 42 show the fair value leveling of the investments for the Investment Pool.

Equity securities classified in Level 1 of the fair value hierarchy are valued at the last sale price or official close price as of the close of trading on the applicable exchange where the security principally trades.

Notes to Financial Statements

NOTE 4: INVESTMENTS (continued)

Equity and fixed income securities classified in Level 2 of the fair value hierarchy are valued at prices provided by independent pricing vendors. The vendors provide these prices after evaluating observable inputs including, but not limited to: quoted prices for similar securities, the mean between the last reported bid and ask prices (or the last bid price in the absence of an asked price), yield curves, yield spreads, credit ratings, deal terms, tranche level attributes, default rates, cash flows, prepayment speeds, broker/dealer quotations, inflation and reported trades.

Equity and fixed income securities classified in Level 3 are valued with last trade data having limited trading volume. Real assets classified in Level 3 are real asset investments generally valued using the income approach by internal manager reviews or independent external appraisers. The private equity program spans a range of underlying strategies including buyouts, growth equity/venture, private debt, secondaries, and fund-of-funds. The real asset program includes investments in a broad range of real estate strategies (i.e., core, value-added, opportunistic), infrastructure, and natural resources funds.

Investments measured at the Net Asset Value (NAV) – The unfunded commitment and redemption frequency and notice period for investments measured at the net asset value (NAV) per share (or its equivalent) is presented on the tables on pages 41 and 42.

Domestic and International Equities – DCRB has investments in 5 funds with a domestic focus and 4 funds with an international focus, in which the equity securities maintain some level of market exposure; however, the level of market exposure may vary through time.

Fixed income – DCRB has investments in 6 funds, including corporate bonds, and U.S. Treasury obligations, with redemption notifications not greater than 30 days.

Real Assets – DCRB has made commitments to purchase partnership interests in real assets funds as part of its long-term asset allocation plan for private markets. As shown in the table on page 41, it is fully funded as of September 30, 2021. This represents commingled public investments in 2 real asset funds.

Notes to Financial Statements

NOTE 4: INVESTMENTS (continued)

Investments Measured at Fair Value (Dollars in thousands)

	September 30, 2021	Quoted Prices in Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Investments by Fair Value Level				
Domestic Equity	\$ 364,556	\$ 352,395	\$ 4,828	\$ 7,333
International Equity	269,135	15,946	-	253,189
Fixed Income	689,418	-	304,004	385,414
Real Assets	674,001	-	-	674,001
Private Equity	943,089	-	-	943,089
Total Investments by Fair Value Level	<u>2,940,199</u>	<u>\$ 368,341</u>	<u>\$ 308,832</u>	<u>\$ 2,263,026</u>
Investment Measured at the Net Asset Value (NAV)				
Domestic Equity	2,283,825			
International Equity	2,940,463			
Fixed Income	2,383,950			
Real Assets	328,357			
Total Investments Measured at NAV	<u>7,936,595</u>			
Total Investments	<u>\$ 10,876,794</u>			

Additional information for investments measured at the net asset value (NAV) per share (or its equivalent) is presented in the table below:
(Dollars in thousands)

	September 30, 2021	Unfunded Commitments	Redemption Frequency	Redemption Notice
Domestic Equity	\$ 2,283,825	\$ -	Daily, Quarterly	0 - 5 days
International Equity	2,940,463	-	Daily, Monthly	1 - 10 days
Fixed Income	2,383,950	-	Daily, Monthly	0 - 5 days
Real Assets	328,357	-	Daily, Quarterly	0 - 45 days
	<u>\$ 7,936,595</u>	<u>\$ -</u>		

Investments derivative instruments (Dollars in thousands)

	Fair Value September 30, 2021
Forwards	\$ 63,187
Liabilities - Forwards	(59,009)
Rights/warrants	7,223
Swaps	38,829
Total	<u>\$ 50,230</u>

Notes to Financial Statements

NOTE 4: INVESTMENTS (continued)

Investments measured at Fair Value (Dollars in thousands)

	September 30, 2020	Quoted Prices in Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Investments by Fair Value Level				
Domestic Equity	\$ 336,694	\$ 328,224	\$ 1,128	\$ 7,342
International Equity	202,171	14,391	-	187,780
Fixed Income	664,833	-	322,853	341,980
Real Estate	393,376	-	-	393,376
Private Equity	595,339	-	-	595,339
Total Investments by Fair Value Level	<u>2,192,413</u>	<u>\$ 342,615</u>	<u>\$ 323,981</u>	<u>\$ 1,525,817</u>
Investment Measured at the Net Asset Value (NAV)				
Domestic Equity	2,023,232			
International Equity	2,219,832			
Fixed Income	2,247,201			
Real Estate	<u>304,140</u>			
Total Investments Measured at NAV	<u>6,794,405</u>			
Total Investments	<u>\$ 8,986,818</u>			

Additional information for investments measured at the net asset value (NAV) per share (or its equivalent) is presented in the table below:
(Dollars in thousands)

	September 30, 2020	Unfunded Commitments	Redemption Frequency	Redemption Notice
Domestic Equity	\$ 2,023,232	\$ -	Daily	None
International Equity	2,219,832	-	Monthly	2-5 days
Fixed Income	2,247,201	-	Daily, Monthly	3-30 days
Real Assets	<u>304,140</u>	-	None	N/A
	<u>\$ 6,794,405</u>	<u>\$ -</u>		

Investments derivative instruments (Dollars in thousands)

	Fair Value September 30, 2020
Forwards	\$ 92,236
Liabilities - Forwards	(90,897)
Liabilities - Swaps	(32,966)
Rights/warrants	9,417
Swaps	<u>19,215</u>
Total	<u>\$ (2,995)</u>

Notes to Financial Statements

NOTE 5: NET PENSION LIABILITY/(ASSET)

The components of the net pension liability (asset) of the District Retirement Funds at September 30, 2021 and 2020 were as follows:

(Dollars in thousands)

	2021		2020	
	TRF	POFRF	TRF	POFRF
Total Pension Liability	\$ 2,698,618	\$ 6,181,614	\$ 2,640,803	\$ 6,023,843
Plan Fiduciary Net Position	<u>2,944,884</u>	<u>7,991,994</u>	<u>2,411,390</u>	<u>6,620,190</u>
Net Pension Liability (Asset)	<u>\$ (246,266)</u>	<u>\$ (1,810,380)</u>	<u>\$ 229,413</u>	<u>\$ (596,347)</u>
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability/Asset	109.13%	129.29%	91.31%	109.90%

Actuarial Assumptions - The total pension liability was determined based on an actuarial valuation as of September 30, 2021 and 2020 using the following actuarial assumptions, applied to all periods included in the measurement:

Teachers' Retirement Fund		
	2021	2020
Actuarial cost method	Entry age normal	Entry age normal
Amortization method	Level dollar, closed	Level dollar, closed
Asset valuation method	5-year smoothed market	5-year smoothed market
Inflation	3.00%	3.50%
Salary increases	4.00% - 7.10%	5.50% - 8.63%; includes 4.25% wage inflation
Investment rate of return	6.25%, net of pension plan investment expense	6.50%, net of pension plan investment expense
Mortality (Healthy)	Pub-2010 General Employee and Healthy Retiree Mortality with generational projection using MP-2020 improvement scale	RPH-2014 Blue Collar Mortality with generational projection using Scale BB (1 year setback for males)
Mortality (Disabled)	Pub-2010 General Disabled Retiree Mortality with generational projection using MP-2020 improvement scale	RPH-2014 Disabled Mortality (6 year setback for males, set forward 7 years for females)
Cost of living adjustments	3.00% for members hired on or after November 1, 1996	3.00% for members hired on or after November 1, 1996

Notes to Financial Statements

NOTE 5: NET PENSION LIABILITY/(ASSET) (continued)

Police and Firefighters' Retirement Fund		
	2021	2020
Actuarial cost method	Entry age normal	Entry age normal
Amortization method	Level dollar, closed	Level dollar, closed
Asset valuation method	5-year smoothed market	5-year smoothed market
Inflation	3.0%	3.50%
Salary increases	6.15% - 7.25% for police, 4.25% - 6.05% for firefighters	5.50% - 8.63%; includes 4.25% wage inflation
Investment rate of return	6.25%, net of pension plan investment expense	6.50%, net of pension plan investment expense
Mortality (Healthy)	Pub-2010 Public Safety Employee and Healthy Retiree Mortality with males set forward 1 year, with generational projection using MP-2020 improvement scale	RPH-2014 Blue Collar Mortality with generational projection using Scale BB (1 year setback for males)
Mortality (Disabled)	Pub-2010 Public Safety Disabled Retiree Mortality with generational projection using MP-2020 improvement scale	RPH-2014 Disabled Mortality (6 year setback for males, set forward 7 years for females)
Cost of living adjustments	3.0% for members hired on or after November 1, 1996	3.0% for members hired on or after November 1, 1996

All assets and liabilities are computed as of September 30, 2021. Demographic information was collected as of June 30, 2021. The actuarial assumptions used were based on the results of the most recent actuarial experience investigation for the period October 1, 2015 to September 30, 2020, dated October 12, 2021 for the fiscal year 2021 and October 1, 2011 to September 30, 2015, dated July 18, 2017 for the fiscal year 2020.

The discount rates used to measure the total pension liability were 6.25% for 2021 and 6.50% for 2020. The projection of cash flows used to determine the discount rate assumed that plan member contributions will be made at the current contribution rate and that the District contributions will be made in accordance with the Board's funding policy adopted in 2012 and revised in 2017. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current plan members. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Notes to Financial Statements

NOTE 5: NET PENSION LIABILITY/(ASSET) (continued)

The long-term expected rate of return on pension plan investments was determined using a log-normal distribution analysis in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. Best estimates of geometric real rates of return for each major asset class included in the pension plan's target asset allocation as of September 30, 2021 and 2020 are summarized in the following table:

Asset Class	Target Allocation		Long-Term Expected Real Rate of Return	
	2021	2020	2021	2020
Domestic Equity	20.0 %	20.0 %	6.8 %	7.2 %
International Developed Equity	16.0	16.0	7.1	7.8
Emerging Market Equity	10.0	10.0	8.1	8.8
U.S. Core Fixed Income	7.0	11.0	1.8	2.1
U.S. Long Term Government Bonds	3.0	-	2.5	-
Treasury Inflation-Protected Securities	4.0	6.0	1.8	2.1
Bank Loans	2.0	3.0	4.0	4.5
Emerging Market Debt	4.0	4.0	3.7	4.3
High Yield Bonds	2.0	4.0	4.2	4.9
Foreign Bonds	2.0	2.0	1.7	2.3
Absolute Return	2.0	4.0	4.3	4.0
Private Equity	9.0	9.0	9.1	9.1
Private Credit	3.0	-	6.8	-
Real Estate	7.0	6.0	7.2	7.0
Infrastructure	6.0	3.0	7.0	6.4
Natural Resources	2.0	2.0	8.3	7.7
Cash	1.0	-	1.1	-
Total	<u>100.0 %</u>	<u>100.0 %</u>		

Disclosure of the sensitivity of the net pension liability to changes in the discount rate - The following presents the net pension liability of the Teachers' Retirement Fund and the Police Officers and Fire Fighters' Retirement Fund, calculated using the discount rate of 6.25% for 2021 and 6.5% for 2020, as well as what the Fund's net pension liability calculated using a discount rate that is one percentage point lower or one percentage point higher than the current rate:

Notes to Financial Statements

NOTE 5: NET PENSION LIABILITY/(ASSET) (continued)

(Dollars in thousands)

2021	1% Decrease (5.25%)	Current Discount Rate (6.25%)	1% Increase (7.25%)
Teachers' Retirement Fund Net Pension Liability/(Asset)	\$ 242,924	\$ (246,266)	\$ (632,285)
Police Officers and Firefighters' Retirement Fund Net Pension Asset	\$ (734,961)	\$ (1,810,380)	\$ (2,666,327)
2020	1% Decrease (5.50%)	Current Discount Rate (6.50%)	1% Increase (7.50%)
Teachers' Retirement Fund Net Pension Liability/(Asset)	\$ 697,957	\$ 229,413	\$ (140,586)
Police Officers and Firefighters' Retirement Fund Net Pension Liability/(Asset)	\$ 494,053	\$ (596,347)	\$ (1,457,860)

NOTE 6: CONTINGENCIES

DCRB is party to various legal proceedings, many of which occur in the normal course of its operations. These legal proceedings are not likely to have a material adverse impact on the Funds' financial position as of September 30, 2021 and 2020.

NOTE 7: SUBSEQUENT EVENTS

As a result of the incidence of COVID-19, economic uncertainties may negatively impact the financial position and results of operations of the Funds. The duration of these uncertainties and the ultimate financial effects cannot be reasonably estimated at this time. DCRB has evaluated events subsequent to September 30, 2021 and through December 17, 2021, the date the financial statements were available to be issued and determined that there have not been any events that have occurred that would require adjustments to the financial statements.

FINANCIAL SECTION - REQUIRED SUPPLEMENTARY INFORMATION

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Schedules of Changes in the Net Pension Liability (Asset) and Related Ratios

(Dollars in thousands)

Teachers' Retirement Fund	2021	2020	2019	2018	2017	2016	2015	2014
Total Pension Liability								
Service Cost	\$ 87,984	\$ 80,242	\$ 72,429	\$ 67,877	\$ 65,911	\$ 61,599	\$ 53,297	\$ 50,409
Interest	168,636	159,186	144,165	137,704	131,657	124,370	118,378	112,204
Difference Between Expected and Actual Experience	(16,580)	(2,364)	103,719	(19,505)	(37,230)	2,656	(7,246)	-
Changes in Assumptions	(89,404)	-	-	-	14,106	-	-	-
Benefit Payments	(89,404)	(85,679)	(81,471)	(78,430)	(72,069)	(69,093)	(64,076)	(59,832)
Refunds	(3,417)	(4,873)	(6,418)	(6,126)	(6,166)	(6,205)	(5,576)	(5,790)
Net Change in Total Pension Liability	57,815	146,512	232,424	101,520	96,209	113,327	94,777	96,991
Total Pension Liability - Beginning	2,640,803	2,494,291	2,261,867	2,160,347	2,064,138	1,950,811	1,856,034	1,759,043
Total Pension Liability - Ending (a)	2,698,618	2,640,803	2,494,291	2,261,867	2,160,347	2,064,138	1,950,811	1,856,034
Fund Fiduciary Net Position								
Contributions - District Government	70,478	58,888	53,343	59,046	56,781	44,469	39,513	31,636
Contributions - Plan Member	45,689	42,356	40,432	40,324	34,364	33,591	31,621	28,751
Net Investment Income (Loss)	513,322	138,924	85,047	94,129	239,554	152,262	(72,647)	132,086
Other Income	953	803	883	1,038	907	1,033	385	522
Benefit Payments	(89,404)	(85,679)	(81,471)	(78,430)	(72,069)	(69,093)	(64,076)	(59,832)
Administrative Expense	(4,127)	(3,511)	(3,440)	(4,474)	(4,721)	(4,746)	(4,543)	(3,787)
Refunds	(3,417)	(4,873)	(6,418)	(6,126)	(6,166)	(6,205)	(5,576)	(5,790)
Change in Fiduciary Net Position	533,494	146,908	88,376	105,507	248,650	151,311	(75,323)	123,586
Fund Fiduciary Net Position - Beginning	2,411,390	2,264,482	2,176,106	2,070,599	1,821,949	1,670,638	1,745,961	1,622,375
Fund Fiduciary Net Position - Ending (b)	2,944,884	2,411,390	2,264,482	2,176,106	2,070,599	1,821,949	1,670,638	1,745,961
Net Pension Liability (Asset) - Ending (a) - (b)	\$ (246,266)	\$ 229,413	\$ 229,809	\$ 85,761	\$ 89,748	\$ 242,189	\$ 280,173	\$ 110,073
Ratio of Fund Fiduciary Net Position to Total Pension Liability (Asset) - (b) / (a)	109.13%	91.31%	90.79%	96.21%	95.85%	88.27%	85.64%	94.07%
Covered Payroll	\$ 538,565	\$ 490,756	\$ 466,792	\$ 470,749	\$ 447,762	\$ 438,079	\$ 417,090	\$ 378,926
Net Pension Liability (Asset) as a Percentage of Covered Payroll	(45.73)%	46.75%	49.23%	18.22%	20.04%	55.28%	67.17%	29.05%

Note: Schedule is intended to show information for 10 years. Additional years will be displayed as they become available.

Schedules of Changes in the Net Pension Liability (Asset) and Related Ratios

(Dollars in thousands)

Police and Firefighters' Retirement Fund	2021	2020	2019	2018	2017	2016	2015	2014
Total Pension Liability								
Service Cost	\$ 217,495	\$ 209,411	\$ 180,928	\$ 182,641	\$ 196,629	\$ 198,020	\$ 192,114	\$ 176,102
Interest	386,386	359,706	338,288	318,719	300,626	282,285	257,943	235,097
Difference Between Expected and Actual Experience	(189,740)	(8,567)	(57,642)	(84,452)	(188,549)	(106,840)	(2,477)	-
Changes in Assumptions	(97,495)	-	-	-	67,256	-	-	-
Benefit Payments	(156,455)	(140,044)	(121,342)	(106,794)	(92,537)	(79,137)	(63,634)	(52,784)
Refunds	(2,420)	(1,236)	(1,533)	(1,580)	(1,647)	(2,179)	(1,396)	(1,637)
Net Change in Total Pension Liability	157,771	419,270	338,699	308,534	281,778	292,149	382,550	356,778
Total Pension Liability - Beginning	6,023,843	5,604,573	5,265,874	4,957,340	4,675,562	4,383,413	4,000,863	3,644,085
Total Pension Liability - Ending (a)	6,181,614	6,023,843	5,604,573	5,265,874	4,957,340	4,675,562	4,383,413	4,000,863
Fund Fiduciary Net Position								
Contributions - District Government	109,933	93,061	91,284	105,596	145,631	136,115	103,430	110,766
Contributions - Plan Member	37,433	37,880	38,243	34,478	33,424	32,785	33,679	32,821
Net Investment Income (Loss)	1,391,936	381,607	232,987	316,842	655,310	415,157	(187,283)	338,894
Other Income	2,585	2,207	2,435	2,356	2,468	2,810	1,012	1,342
Benefit Payments	(156,455)	(140,044)	(121,342)	(106,794)	(92,537)	(79,137)	(63,634)	(52,784)
Administrative Expense	(11,208)	(9,648)	(9,481)	(11,570)	(12,838)	(12,918)	(11,939)	(9,730)
Refunds	(2,420)	(1,236)	(1,533)	(1,580)	(1,647)	(2,179)	(1,396)	(1,637)
Change in Fiduciary Net Position	1,371,804	363,827	232,593	339,328	729,811	492,633	(126,131)	419,672
Fund Fiduciary Net Position - Beginning	6,620,190	6,256,363	6,023,770	5,684,442	4,954,631	4,461,998	4,588,129	4,168,457
Fund Fiduciary Net Position - Ending (b)	7,991,994	6,620,190	6,256,363	6,023,770	5,684,442	4,954,631	4,461,998	4,588,129
Net Pension Liability (Asset) - Ending (a) - (b)	\$(1,810,380)	\$ (596,347)	\$(651,790)	\$(757,896)	\$(727,102)	\$(279,069)	\$(78,585)	\$(587,266)
Ratio of Fund Fiduciary Net Position to Total Pension Liability (Asset) - (b) / (a)	129.29%	109.90%	111.63%	114.39%	114.67%	105.97%	101.79%	114.68%
Covered Payroll	\$ 516,881	\$ 473,513	\$ 460,686	\$ 454,209	\$ 441,904	\$ 438,114	\$ 446,201	\$ 426,135
Net Pension Liability (Asset) as a Percentage of Covered Payroll	(350.25)%	(125.94)%	(141.48)%	(166.86)%	(164.54)%	(63.70)%	(17.61)%	(137.81)%

Note: Schedule is intended to show information for 10 years. Additional years will be displayed as they become available.

Schedules of Employer Contributions

(Dollars in thousands)

Teachers' Retirement Fund					
Fiscal Year Ended September 30	Actuarially Determined Employer Contribution	Actual Employer Contribution	Contribution Deficiency (Excess)	Covered Payroll	Actual Contributions as a Percentage of Covered Payroll
2012	\$ -	\$ -	\$ -	\$ 381,235	0.00 %
2013	6,407	6,407	-	369,071	1.74
2014	31,636	31,636	-	378,926	8.35
2015	39,513	39,513	-	417,090	9.47
2016	44,469	44,469	-	438,079	10.15
2017	56,781	56,781	-	447,762	12.68
2018	59,046	59,046	-	470,749	12.54
2019	53,343	53,343	-	466,792	11.43
2020	58,888	58,888	-	490,756	12.00
2021	70,478	70,478	-	538,565	13.09

Notes to Schedule:

Valuation Date: For the fiscal year 2021 and prior, actuarially determined contribution amounts are calculated as of the beginning of the fiscal year. Actual contributions are based on valuations as of October 1, two years prior to the end of fiscal year in which contributions are reported. Actuarial valuations are performed every year. The assumptions shown below are from the currently approved assumptions and assumptions used to determine all contributions in the past may not have been the same.

Actuarial cost method	Entry age normal
Amortization method	Level dollar, closed
Remaining amortization period	Remaining amortization periods range from 12 to 20 years
Asset valuation method	5-year smoothed market
Inflation	3.50%
Salary increases	5.50% to 8.63%; includes wage inflation of 4.25%
Investment rate of return	6.50%, net of pension plan investment expense
Mortality	Pre-retirement and post-retirement mortality rates were based on the RPH 2014 Blue Collar Mortality Table projected generationally with Scale BB, set back 1 year for males. Post-disability mortality rates were based on the RPH-2014 Disabled Mortality Table set back 6 years for males and set forward 7 years for females.
Cost of living adjustments	Increases 3.0% per year for all members.

Schedules of Employer Contributions

(Dollar amounts in thousands)

Police Officers and Firefighters' Retirement Fund							
Fiscal Year Ended September 30	Actuarially Determined Employer Contribution	Actual Employer Contribution	Contribution Deficiency (Excess)	Covered Payroll	Actual Contributions as a Percentage of Covered Payroll		
2012	\$ 116,700	\$ 116,700	\$ -	\$ 414,877	28.13	%	
2013	96,314	96,314	-	413,380	23.30		
2014	110,766	110,766	-	426,135	25.99		
2015	103,430	103,430	-	446,201	23.18		
2016	136,115	136,115	-	438,114	31.07		
2017	145,631	145,631	-	441,904	32.96		
2018	105,596	105,596	-	454,209	23.25		
2019	91,284	91,284	-	460,686	19.81		
2020	93,061	93,061	-	473,513	19.65		
2021	109,933	109,933	-	516,881	21.27		

Notes to Schedule:

Valuation Date: For the fiscal year 2021 and prior, actuarially determined contribution amounts are calculated as of the beginning of the fiscal year. Actual contributions are based on valuations as of October 1, two years prior to the end of fiscal year in which contributions are reported. Actuarial valuations are performed every year. The assumptions shown below are from the currently approved assumptions and assumptions used to determine all contributions in the past may not have been the same.

Actuarial cost method	Entry age normal
Amortization method	Level dollar, closed
Remaining amortization period	Remaining amortization periods range from 12 to 20 years
Asset valuation method	5-year smoothed market
Inflation	3.50%
Salary increases	4.25% to 7.38%; includes wage inflation of 4.25%
Investment rate of return	6.50%, net of pension plan investment expense
Mortality	Pre-retirement and post-retirement mortality rates were based on the RPH 2014 Blue Collar Mortality Table projected generationally with Scale BB, set back 1 year for males. Post-disability mortality rates were based on the RPH-2014 Disabled Mortality Table set back 6 years for males and set forward 7 years for females.
Cost of living adjustments	Increases 3.0% per year for all members

Schedule of Investment Returns

Annual Money-Weighted Rates of Return, Net of Fees

	FY 2021	FY 2020	FY 2019	FY 2018	FY 2017	FY 2016	FY 2015	FY 2014
Total Portfolio	20.900 %	5.270 %	3.840 %	5.340 %	12.970 %	9.346 %	(4.006)%	8.178 %

Note: This schedule is intended to show information for 10 years. Additional years will be displayed as they become available.

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Schedules of Administrative Expenses

For the years ended September 30, 2021 and 2020

	2021	2020
Personal Services		
Salaries	\$ 7,199,346	\$ 6,130,728
Fringe Benefits	1,321,298	1,602,527
Total personal services	8,520,644	7,733,255
Nonpersonal Services		
Office Supplies	43,824	43,854
Telephone	20,382	89,202
Rent	1,907,757	1,695,053
Travel	47,955	110,525
Professional Fees	1,905,038	892,099
Postage	19,925	12,685
Printing	4,517	12,712
Insurance	178,871	130,474
Dues and Memberships	38,580	42,273
Audit Costs	(7,997)	(10,005)
Actuarial Fees	145,585	177,532
Legal Fees	881,944	366,248
Investment Fees	26,991,158	17,908,934
Contractual Services (STAR)	2,439,560	2,386,721
Equipment and Rental	52,024	88,838
Depreciation	21,618	11,688
Total non-personal services	34,690,741	23,958,833
Total administrative expenses	43,211,385	31,692,088
Investment expenses	(27,876,648)	(18,532,838)
Net administrative expenses	\$ 15,334,737	\$ 13,159,250

Schedules of Investment Expenses

For the years ended September 30, 2021 and 2020

	2021	2020
Investment Managers*	\$ 25,863,055	\$ 16,881,482
Investment Administrative Expense	885,492	582,237
Investment Consultants	710,000	596,133
Investment Custodian	<u>418,101</u>	<u>472,986</u>
Total Investment Expenses	<u>\$ 27,876,648</u>	<u>\$ 18,532,838</u>

*Investment managers' fees include mainly traditional managers' fees, as well as some non-traditional managers.

Schedules of Payments to Consultants

For the years ended September 30, 2021 and 2020

Professional/Consultant	Nature of Service	FY 2021	FY 2020
Administrative Consultants			
U.S. Treasury Office of D.C. Pensions	Benefit Payment Processing	\$ 2,439,560	\$ 2,386,721
Morgan, Lewis & Bockius	Legal Counsel	754,286	315,310
MVS Inc.	Information Technology Consulting	22,548	178,150
Software Information Resource Corp.	Information Technology Consulting	-	139,480
Softech & Associates, Inc.	Information Technology Consulting	-	132,503
Cavanaugh Macdonald Consulting	Actuarial Services	-	121,920
Bolton Partners, Inc.	Actuarial Services	159,403	115,404
Office of Contract and Procurement	Procurement Services	238,306	105,500
Polihire Strategy Corp.	Recruitment Consulting	86,282	78,960
McConnell & Jones LLP	Audit Costs	1,000	54,880
Equinix, Inc.	Information Technology Consulting	-	40,000
Mobomo, LLC	Information Technology Consulting	-	38,388
CliftonLarsonAllen LLC	Financial Audit	-	36,008
Convergence, Inc.	Investment Consulting	20,000	31,575
DC Net	Information Technology Consulting	-	27,057
ODGroup, Inc. dba Orion Development	Professional Services	-	26,599
NGEN LLC	IT Audit Costs	-	24,215
International Foundation of Employee	CAPPP Training for Trustees	-	22,743
Capitol Document Solutions	Information Technology Consulting	38,491	21,682
DLT Solutions, Inc.	Information Technology Consulting	12,618	21,217
Advent Software, Inc.	Investment Consulting	18,503	18,699
Diligent Corp	Information Technology Consulting	31,575	17,883
DC Office of the Secretary	Record Retention Project	-	12,831
XO Holdings	Information Technology Consulting	-	10,370
Election-America, Inc.	Trustee Elections	33,724	6,907
Kofax, Inc.	Information Technology Consulting	26,943	5,876
D.C. Office of the Chief Technology	Information Technology Consulting	416,321	5,000
eVestment Alliance	Online Investment Service	22,521	3,223
TW Telecom	Information Technology Consulting	-	2,574
vTech Solutions, Inc.	Benefits Staffing Services	-	1,938
SyDar of DC. LLC	Professional Services	-	1,450
Crowe LLP	Professional Services	404,600	-
Groom Law Group	Legal Counsel	102,750	-
Cradle Systems, Inc.	IT Software Maintenance	85,682	-
WatsonRice LLP	Audit Costs	79,968	-
DC Net	Information Technology Consulting	66,149	-
The Seaprompt Corporation	IT Software Maintenance	65,999	-
Globalscape, Inc.	IT Software Maintenance	9,335	-
Carahsoft Technology Corporation	IT Software Maintenance	8,460	-
ODGroup, Inc. dba Orion Dev Grp	Staff Training	8,085	-
Changing Technologies, Inc.	IT Software Maintenance	6,715	-
CJEN, Inc.	IT Software Purchase	5,031	-
HBP, Inc.	Graphic Design for Publications	3,917	-
Office of Finance and Resource Mgmt.	Information Technology Consulting	2,893	-
Money-Media, Inc.	Investment Consulting	2,160	-

(Continued on next page)

Professional/Consultant	Nature of Service	FY 2021	FY 2020
D.C. Department of Human Resources	Professional Services	56,220	-
Prism International, LLC	IT Software Maintenance	19,616	-
Techflairs, Inc.	Benefits Staffing Services	17,993	-
Kastle Systems, LLC	Office Security	14,223	-
George Mason University	Staff Training	12,750	-
Hartford Casualty Insurance Company	Insurance Consulting	12,128	-
Harris, Mackessy & Brennan, Inc.	IT Software Maintenance	11,877	-
Midtown Personnel, Inc.	Benefits Staffing Services	11,608	-
Institutional Shareholder Services, Inc.	Investment Consulting	11,125	-
Pitney Bowes, Inc. (Reserve Account)	Postage	10,000	-
RSM US LLP formerly RSM McGladrey	IT Software Maintenance	25,067	-
Cision US, Inc.	Advertising	1,329	-
Corporate Investigations	Professional Services	1,257	-
Phoenix Graphics, Inc.	Professional Services	1,000	-
Total Administrative Consultants		\$ 5,380,018	\$ 4,005,063
Investment Consulting			
Meketa Investment Group	Traditional investment consulting	700,000	596,133
Insightful Pension Consulting Group	Investment consultant	-	-
Abel Solutions	Traditional investment consulting	10,000	-
Total Investment Consultants		710,000	596,133
Total Payments to Consultants		\$ 6,090,018	\$ 4,601,196

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Introduction

The District of Columbia Retirement Board (the “Board”) is charged with the responsibility to prudently manage the assets of the District of Columbia Teachers’ Retirement Fund and the District of Columbia Police Officers and Fire Fighters’ Retirement Fund, underlying two defined benefit pension plans (collectively referred as to the “Fund”). The Board works with an independent investment consultant who possesses specialized experience and resources in asset allocation, investment manager due diligence, performance evaluation and risk management. The Board’s investment consultant and traditional investment managers acknowledge their fiduciary responsibility in writing. Investment managers are accorded discretion constrained by general and specific investment manager policy guidelines.

Investment Objectives and Policies

The Board targets investment returns that meet or exceed the actuarial investment return at a level of risk commensurate with the expected return level and consistent with prudent investment practices. The actuarial investment return target for the fiscal year 2021 was 6.5%, net of investment management fees and administrative expenses. In addition to meeting or exceeding the actuarial return target over the long-term, a secondary return objective is to exceed the annualized total return of the Board’s strategic asset allocation benchmarks, which include the “Long-Term Policy Benchmark” and the “Interim Policy Benchmark.”

As of September 30, 2021, the Long-Term Policy Benchmark and actual allocation weights were as follows:

Asset Class	Performance Benchmark	Target	Actual
Cash & Fixed Income	Fixed Income Benchmark ¹	25%	31%
U.S. Equities	Russell 3000 Index	20%	21%
Developed Int’l. Markets Equities	MSCI World Index ex-U.S. (net)	16%	17%
Emerging Markets Equities	MSCI Emerging Markets Index (net)	10%	11%
Private Equity	Private Equity Benchmark ²	9%	8%
Real Estate	FTSE EPRA NAREIT Global Index (net)	7%	7%
Infrastructure	Infrastructure Benchmark ³	6%	1%
Private Credit	BC US High Yield	3%	0%
Natural Resources	S&P Global Natural Resources Index	2%	2%
Absolute Return	ICE BofA/ML 90-day US T-Bills	2%	2%

As a long-term investor, the Board believes it can generate the highest risk-adjusted returns through a diversified portfolio with an emphasis on equity investments. Although equities are generally more volatile in the short-term than other asset classes, if properly diversified, they are expected to deliver higher total returns over the Fund’s multi-decade time horizon. In addition, while the Board generally believes in the value of active management, it utilizes lower-cost passive investment strategies (e.g., index funds) in more efficient markets where active managers have a lower likelihood of generating excess returns.

¹ The Fixed Income Benchmark is a composite of 4.0% ICE BofA/ML 90-day US T-Bills, 28.0% BC US Aggregate, 12.0% BC LT Gov’t Bonds, 16.0% BC US TIPS, 8.0% BC US High Yield, 8.0% CS Leveraged Loan, 8.0% BC Global ex-US Aggregate, and 16.0% of 50.0% JPM GBI-EM Global Diversified / 50.0% JPM EMBI Global Diversified.

² The Private Equity Benchmark is a composite of 67% Russell 3000, 22% MSCI World ex-US ND, and 11% MSCI Emerging Markets ND.

³ The Infrastructure Benchmark is a composite of 25% MSCI World ex-US ND, 25% FTSE EPRA NAREIT Global (net), 25% BC US Aggregate, and 25% BC US TIPS.

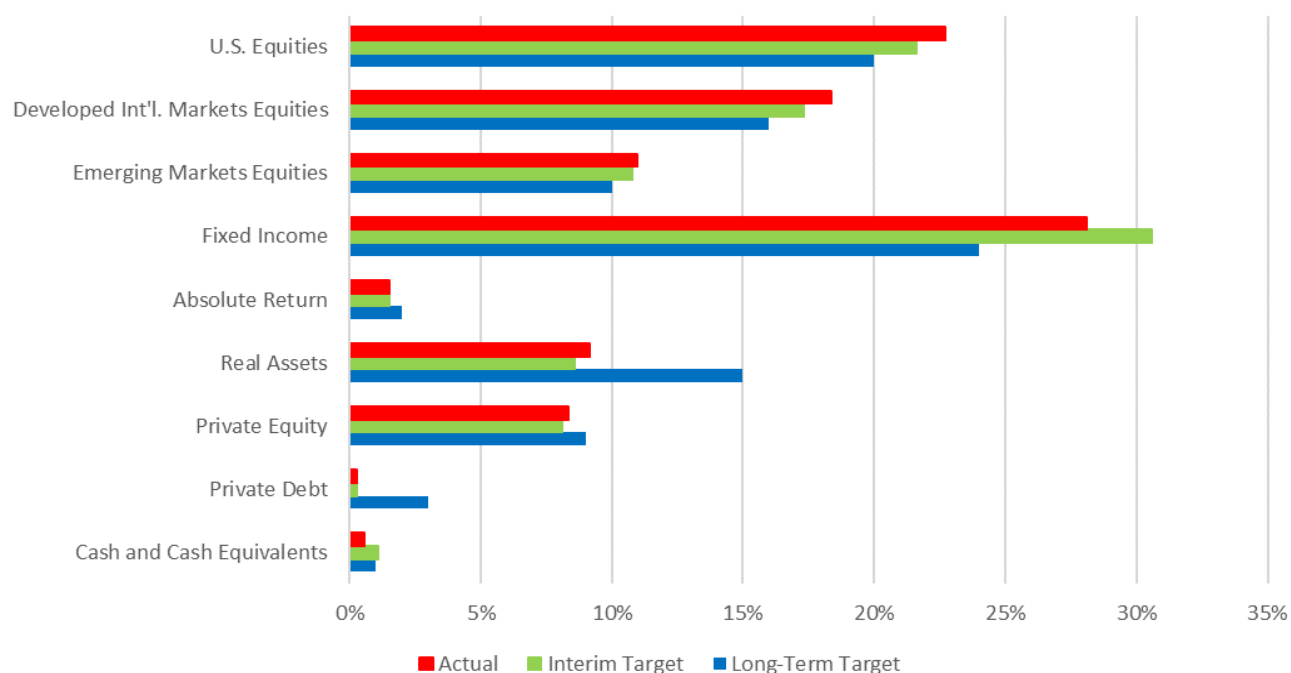
Report on Investment Activity

Asset Allocation

As of September 30, 2021, all the Fund's asset classes were within their respective target allocation ranges. The chart below shows the Fund's Actual, Interim, and Long-Term Asset Allocation targets. The Interim Policy target distributes the underweight to alternative investments (absolute return, private equity, and real assets) across traditional investments (fixed income and public equities) in line with the Fund's Long-Term Policy target.

Actual, Interim Target and Policy Asset Allocations

As of September 30, 2021



The underweight in private market investments is driven by a measured pace of commitments and a high volume of realizations from more mature funds over the last few years. Our allocation is expected to reach investment targets by 2025-2026, as new funds draw capital and mature funds reduce distributions. In the meantime, the Board is focused on a deliberate, prudent pace of new commitments, subject to the availability of compelling opportunities, strong fit with the existing investment program, due diligence on potential partners, and attractive market characteristics.

Report on Investment Activity

Fiscal Year 2021 Global Market Review

The fiscal year started with global equity markets making gains in Q4 2020 as several vaccine breakthroughs fostered hopes of a return to economic normality. The S&P 500 Index was up 12.2% during the 4th quarter while the MSCI EAFE and MSCI Emerging Markets Indices were up 11.4% and 16.0% respectively. Given a weaker US dollar, USD based investors fared even better as the MSCI EAFE and MSCI Emerging Markets Indices were up 16.1% and 19.7% in USD. Value stocks rebounded as cyclical segments of the market such as financials, energy, traditional retail, and airlines rallied while the “stay-at-home” pandemic winners lagged. Performance was particularly strong for smaller capitalization stocks in the U.S. Despite their Q4 rally, value indices still lagged growth indices by significant margins across geographic and market cap segments for the calendar year.

Global equities advanced in Q1 2021, supported by the roll-out of COVID-19 vaccines and news of further US fiscal stimulus. Lowly-valued parts of the market fared well, as did smaller companies. Money flowed out of mega-cap growth and stay-at-home stocks into long underappreciated value-oriented and small cap segments of the market. Broad market value indices meaningfully outperformed growth indices during the quarter and for the 6-months prior. Higher long-term rates, a steepening of the yield curve and vaccine rollout all seemed to provide a tailwind for value stocks at the expense of growth names. A massive US stimulus package which combined with the increasing supply of vaccines has led to rising optimism about the outlook for global growth. As a result, bond yields rose as the markets priced in higher future growth and inflation expectations.

Global equities continued to perform well in Q2 2021, supported by the accelerating roll-out of Covid-19 vaccines. Growth stocks outperformed more lowly valued parts of the market. June was the first negative month for value since the start of the value recovery in November as concerns about the spread of the COVID-19 delta variant and its potential impact on the pace of economic recovery may have weighed down value stocks during the month. 10-year Treasury yields fell by 30 bps which also provided a tailwind for growth stocks. Big Tech also got a boost at the end of the quarter when two antitrust cases that were brought against Facebook were dismissed. Year-to-date however, value stocks remained well ahead of growth stocks given their strong performance since the COVID-19 vaccine announcements in early November.

In the third quarter of 2021, U.S. equities posted their biggest monthly decline since the start of the pandemic as the S&P 500 Index was down 4.7% although it finished the quarter up 0.6% while the MSCI EAFE and MSCI Emerging Markets Indices were down -0.5% and -8.1% respectively. Globally, supply chain disruptions continued to impact company results and rising inflation eroded investor optimism. The constant stream of negative news from China during the quarter weighed heavily on large-cap emerging market equities which were down 1.3% year-to-date (small cap emerging market equities however were up 17.2%). From a style perspective, it was a mixed bag for value stocks as they outperformed across most small cap segments of the market but fared less well within large caps except for the emerging markets. On a positive note, equity markets proved reasonably resilient to the rapid spread of the Delta variant during the quarter as cases and hospitalizations continued to decline worldwide.

Report on Investment Activity

Fiscal Year 2021 Investment Results

As of September 30, 2021, total plan investments at fair value stood at \$10.9 billion, a \$1.9 billion increase from the end of the prior fiscal year. The Fund generated the following gross returns as of September 30, 2021¹:

- Fiscal Year: +20.9% per year, underperforming the Interim Policy Benchmark by 0.1%
- Last 5 Years: +9.5% per year, underperforming the Interim Policy Benchmark by 0.3%
- Last 10 Years: +8.6% per year, underperforming the Interim Policy Benchmark by 0.2%
- Since Inception²: +8.8% per year, underperforming the Long-Term Policy Benchmark by 1.0% and outperforming the current actuarial benchmark (6.5%) by 2.3%

While total portfolio returns underperformed the benchmark over the last fiscal year, they lagged only by a small margin. The underperformance was driven by several factors, including an underweight to private markets investments, specifically venture capital as well as selected active manager underperformance.

Exhibit 1 shows the gross returns for the Fund and each asset class over the one, three, five, and ten-year time periods ending September 30, 2021. The returns were calculated by the Board's custodial bank, The Northern Trust Company ("Northern Trust") and are time-weighted returns computed in compliance with the CFA Institute's Global Investment Performance Standards (GIPS). Benchmark returns for each asset class are presented for relative performance comparison purposes.

¹ The Interim Policy Benchmark is the best gauge for relative performance over time periods of up to ten years and the Long-Term Policy Benchmark for time periods exceeding ten years.

² The Fund's inception date is October 1, 1982.

Report on Investment Activity

Exhibit 1: Investment Performance (Gross of Fees)

As of September 30, 2021

Asset Class	1-Year	3-Year	5-Year	10-Year	20-Year	Inception to Date
Total Fund	20.9%	9.8%	9.5%	8.6%	6.8%	8.8%
<i>Interim Policy Benchmark</i> ¹	21.0%	10.5%	9.9%	8.8%	7.3%	9.8%
<i>Long-Term Policy Benchmark</i> ²	19.0%	10.5%	10.0%	9.0%	7.2%	9.7%
Cash and Cash Equivalents	0.0%	1.1%	1.2%	0.8%	1.6%	3.6%
<i>ICE BofAML US 3-Month Treasury Bill</i>	0.1%	1.2%	1.2%	0.6%	1.3%	2.9%
Fixed Income	3.5%	5.3%	3.8%	3.3%	4.7%	7.1%
<i>Fixed Income Benchmark</i> ³	2.9%	5.7%	3.7%	3.3%	4.4%	-
U.S. Equities	34.5%	16.4%	17.2%	16.8%	10.0%	11.4%
<i>Russell 3000 Index</i>	31.9%	16.0%	16.9%	16.6%	9.9%	12.2%
International Developed Markets Equities	25.9%	8.3%	9.3%	8.5%	7.1%	6.3%
<i>MSCI World Index ex U.S.(net)</i>	26.5%	7.9%	8.9%	7.9%	7.0%	5.7%
Emerging Markets Equities	22.7%	8.6%	9.2%	6.1%	-	4.4%
<i>MSCI Emerging Markets Index (net)</i>	18.2%	8.6%	9.2%	6.1%	-	4.4%
Absolute Return	10.9%	2.1%	3.8%	2.3%	-	5.2%
<i>HFR Fund-Weighted Composite</i>	21.8%	8.4%	7.3%	5.8%	-	4.9%
<i>ICE BofA 3-Month Treasury Bill</i> ⁴	2.6%	5.6%	6.0%	4.6%	-	3.8%
Private Equity	56.3%	21.9%	18.6%	13.3%	8.5%	9.3%
<i>Cambridge Associates Global PE & VC Index (quarter lag)</i> ⁵	61.2%	26.3%	22.6%	16.2%	12.0%	15.2%
<i>MSCI All Country World Index+3% (quarter lag)</i> ⁶	42.3%	17.7%	17.8%	13.1%	9.4%	12.8%
Private Real Estate	17.8%	8.1%	8.7%	10.4%	5.3%	3.6%
<i>Cambridge Associates Real Estate Index (quarter lag)</i>	20.7%	8.0%	9.6%	10.1%	8.8%	8.3%
Public Real Estate	27.0%	6.4%	5.4%	8.4%	-	6.1%
<i>FTSE EPRA/NAREIT Global Net</i>	26.1%	5.5%	4.4%	7.9%	-	6.5%
Natural Resources	43.7%	3.6%	9.8%	-	-	9.8%
<i>Cambridge Associates Energy & Royalties (quarter lag)</i>	28.2%	(3.6)%	2.6%	-	-	(3.6)%
Infrastructure	15.6%	13.4%	9.4%	9.3%	-	8.9%
<i>Cambridge Associates Infrastructure Index (quarter lag)</i>	16.8%	10.5%	11.2%	9.2%	-	7.2%

¹ As of 9/30/21, the Interim Policy Benchmark is a composite of 10.9% MSCI Emerging Markets ND; 2.2% BC Global Agg ex USD; 6.7% BC (LB) US TIPS; 3.5% BC US Corporate High Yield; 3.5% Credit Suisse Leveraged Loan; 7.4% DCRB CA Global PE & VC Index(1QLag); 3.4% DCRB CA Real Estate Index (1QLag); 2.9% Total Public Real Estate; 1.5% DCRB CA Energy & Royalties(1QL); 17.5% MSCI World ex USA ND; 1.5% HFR Fund Weighted Composite; 7.6% BC U.S. Aggregate; 4.3% 50% JPM GBI-EM Global Diversified / 50% JPMorgan EMBI Global Diversified; 21.9% Russell 3000; 0.6% DCRB CA Infra(1QLag); 3.2% BC U.S. Long Govt. Bond Index; 1.1% ICE BofA ML 90 Day T-Bills; 0.3% DCRB CA Private Debt (1QLag).

² As of 9/30/21, the Long-Term Policy Benchmark is a composite of 11% MSCI Emerging Markets ND; 5.5% Barclays US TIPS; 8.5% FTSE EPRA NAREIT Global Net; 2% S&P Global Natural Resources; 19.5% MSCI World ex USA ND; 8.5% BBG Barclays US Aggregate; 5% Barclays US Corporate HY; 3% ICE BofA 3 Month Treasury Bill; 26% Russell 3000; 2% CSFB Leveraged Loan; 2% Barclays Global Aggregate ex US; 2% JPM GBI-EM Global Diversified; 2% JPM EMBI Global Diversified; 3% Barclays US Long Treasury Bond.

³ As of 9/30/21, the Fixed Income Interim Benchmark is a composite of 24.4% Barclays US Aggregate Index, 21.6% Barclays US TIPS Index, 11.3% Barclays US High Yield Index, 11.3% CSFB Leveraged Loan Index, 7.0% Barclays Global Aggregate ex US Index, 13.9% 50% JPM GBI-EM Global Diversified / 50% JPMorgan EMBI Global Diversified; 10.5% BC U.S. Long Govt. Bond Index

⁴ Prior to 9/30/13, 3-month LIBOR. Prior to 3/31/21, 3-month LIBOR + 5%.

⁵ Prior to 12/31/07, Cambridge Associates U.S. Private Equity & Venture Capital Index.

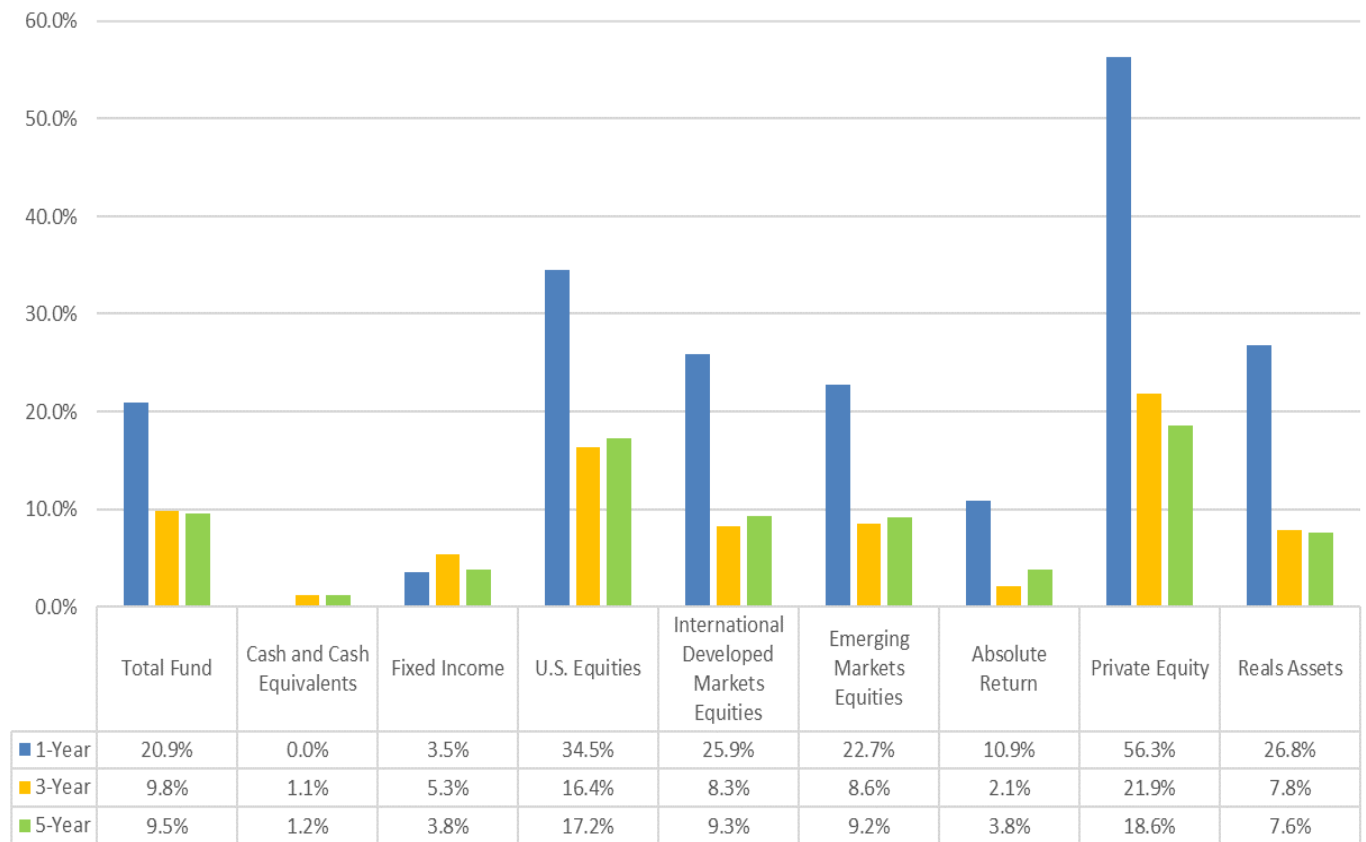
⁶ Prior to 12/31/07, Russell 3000 + 3%.

Note: All returns are time-weighted and gross of fees. Private Debt asset class returns not yet meaningful therefore not included.

Report on Investment Activity

Exhibit 2: Historical Investment Performance

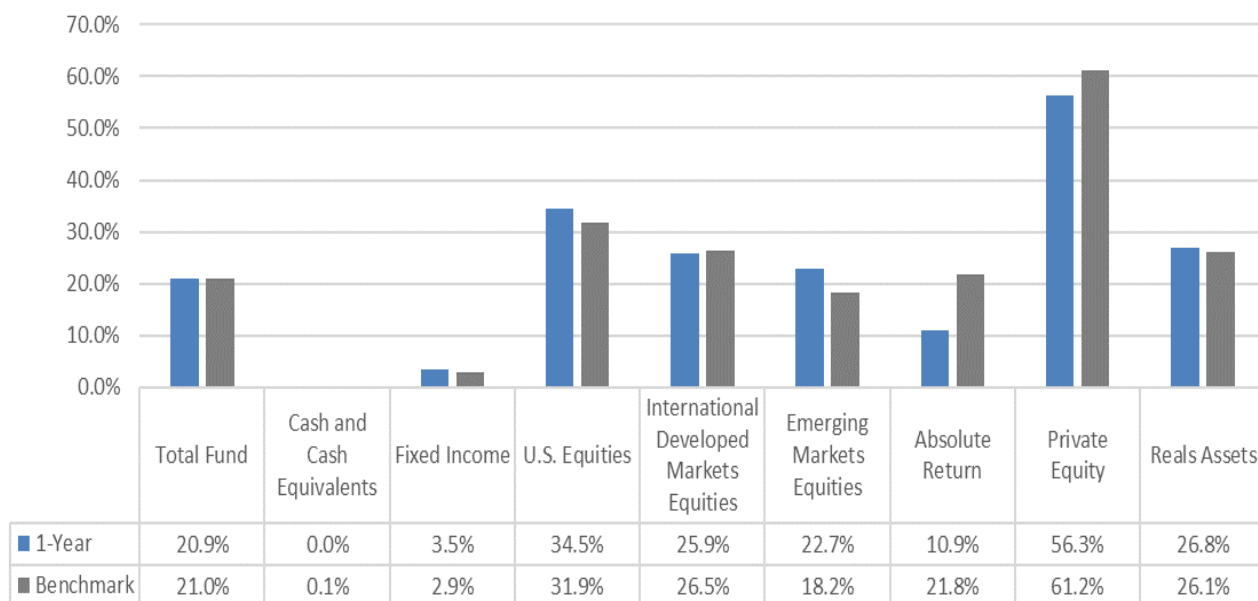
As of September 30, 2021



Report on Investment Activity

Exhibit 3: 1-Year Performance vs. Benchmark

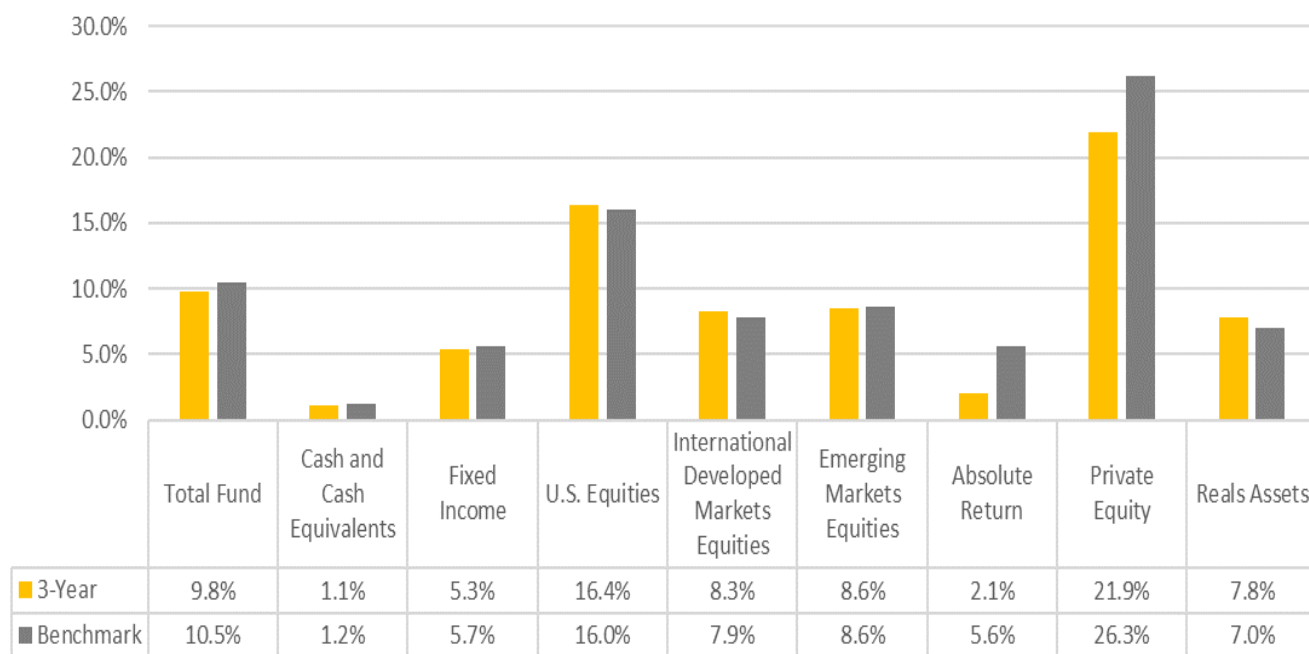
As of September 30, 2021



Report on Investment Activity

Exhibit 4: 3-Year Performance vs. Benchmark

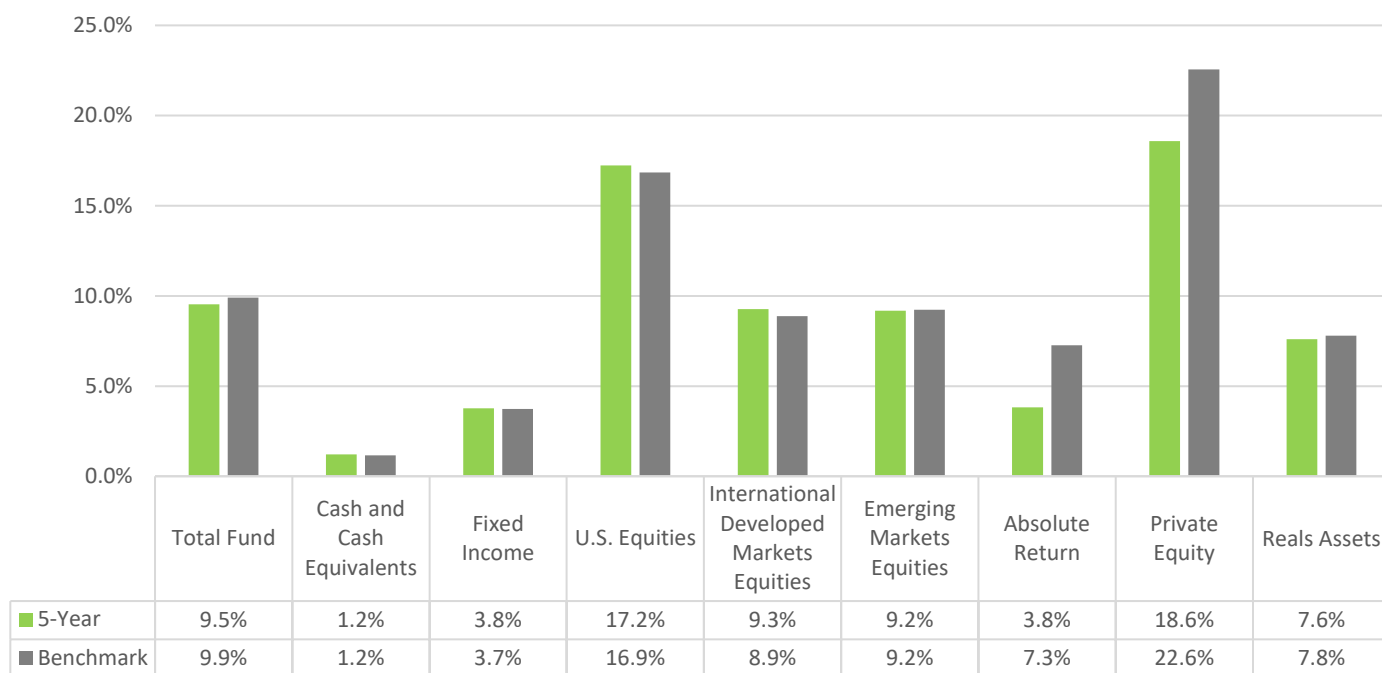
As of September 30, 2020



Report on Investment Activity

Exhibit 5: 5-Year Performance vs. Benchmark

As of September 30, 2021



Report on Investment

Investment Summary

As of September 30, 2021

(Dollars in thousands)

Asset Class	Fair Value	Percent of Fund
Domestic Equity	\$ 2,648,381	24.3 %
International Equity	3,209,598	29.5
Fixed Income	3,073,368	28.3
Real Assets	1,002,358	9.2
Private Equity	943,089	8.7
Total	<u>\$ 10,876,794</u>	<u>100.0 %</u>

Top 10 Public Equity Holdings (Dollars in thousands) ¹				
Rank	Security Name	Share/Par Value	Fair Value	
1	Apple Inc	\$ 685	\$ 96,944	
2	Microsoft Corp	329	92,719	
3	Alphabet Inc ²	25	67,749	
4	Amazon.com Inc	19	62,221	
5	Taiwan Semiconductor Manufacturing Co Ltd	2,669	55,568	
6	Tencent Holdings Ltd	624	37,009	
7	Facebook Inc	104	35,444	
8	Samsung Electronics Co Ltd	516	32,309	
9	Alibaba Group Holding Ltd	1,647	30,079	
10	ICE US mini MSCI EAFE Index Futures	13	29,262	

Top 10 Fixed Income Holdings (Dollars in thousands) ¹					
Rank	Security Name	Interest Rate (%)	Maturity Date	Share/Par Value	Fair Value
1	UNITED STATES TREAS BDS 2.25%	2.250	5/15/2041	\$ 59,023	\$ 61,394
2	UNITED STATES TREAS NTS 0.125% DUE 07-15-2030	0.133	7/15/2030	34,606	38,178
3	UNITED STATES TREAS NTS INFL IDX DTD 0.625%	0.718	1/15/2026	29,449	32,503
4	UNITED STATES OF AMER TREAS NOTES 0.125%	0.131	10/15/2025	29,211	31,608
5	UNITED STATES TREAS NTS TIPS	0.440	7/15/2023	28,257	29,768
6	UNITED STATES TREAS BDS TBOND FIXED 3%	3.000	2/15/2049	24,535	29,339
7	UNITED STATES TREAS INFL NTS 0.375% DTD	0.432	7/15/2025	25,821	28,170
8	UNITED STATES TREAS BDS 1.875%	1.875	2/15/2051	27,363	26,106
9	UNITED STATES TREAS BDS 3.75% DUE	3.750	11/15/2043	19,530	25,547
10	UNITED STATES TSY INFL IX TREAS BOND	0.731	1/15/2024	23,269	24,825

¹ A list of direct holdings in publicly traded securities is available on pages on 75 and 76.

² Includes different classes of securities.

Report on Investment

Schedule of Fees and Commissions

As of September 30, 2021

During fiscal year 2021, the Board paid the following fees and commissions:

Expense Category	Amount (Dollars in thousands)	Percent of Investments
Investment Managers ¹	\$ 25,863	0.238 %
Investment Administrative Expense	885	0.008
Investment Consultants	710	0.007
Investment Custodian	418	0.004
Brokerage Commissions ²	227	0.002
	<u>\$ 28,103</u>	<u>0.259 %</u>

Brokers	Brokerage Fees
JEFFERIES LLC	\$ 23,249
WILLIAMS CAPITAL GROUP L.P., THE	21,370
LOOP CAPITAL MARKETS LLC	20,444
CABRERA CAPITAL MARKETS LLC	13,936
JONESTRADING INSTITUTIONAL SERVICES, LLC.	13,161
KEYBANC CAPITAL MARKETS INC	12,726
RBC CAPITAL MARKETS, LLC	12,510
ROBERT W. BAIRD & CO. INCORPORATED	9,463
RAYMOND JAMES & ASSOCIATES, INC.	8,920
STIFEL, NICOLAUS & COMPANY, INCORPORATED	8,627
Others	82,457
	<u>\$ 226,863</u>

¹ Table includes fees paid to traditional investment managers and some non-traditional managers. Traditional investment managers are those that invest primarily in public equity, real assets, and fixed income securities. Fees for non-traditional, private market managers are often netted against investment income. As a result, those expenses, including performance-based fees, are not included.

² Includes separate account and commingled fund relationships.

Report on Investment

Other Updates

During fiscal year 2021, the Board reviewed and updated the long-term asset allocation. The primary changes included new dedicated allocations to Long-Term Government Bonds and Private Debt (each with a 3% long-term target) and an increase in the Private Infrastructure allocation (to a 6% long-term target).

The Investment Team (“Team”) and Meketa Investment Group (“Meketa”) also focused on monitoring and rebalancing the Fund’s asset allocation, completing 75 rebalancing transactions. In addition, the Team continued to work closely with Meketa to expand the private markets investment program, including four commitments to emerging and/or diverse managers (see “Private Markets Commitments” section below for more details). The Team and Meketa also spent a significant amount of time monitoring the Board’s 71 existing investment managers.

In fiscal year 2022, the Board expects to complete an active U.S. equity manager search, oversee an RFP process for investment consulting services, and build out its private market investment program, particularly in Infrastructure and Private Debt, among other activities.

Beginning with fiscal year 2020, this report is required by the *Diverse Emerging Fund Managers and Reporting Requirements Amendment Act of 2020* (D.C. Law 23-161) to include reporting on Sudan and Iran investments and the Board’s methods for hiring and utilizing diverse emerging fund managers.

Environmental, Social, and Governance (ESG)

The DCRB Investment team and Meketa continued the incorporation of the Board’s ESG policy, adopted in November 2013, into the investment and operational due diligence processes. This area continues to be a focus when evaluating prospective and existing investment managers. This information is included in the following pages.

Private Market Commitments

Within the private market investment program, the Board committed a total of approximately \$800 million to 11 private equity, private debt, and real assets limited partnerships during fiscal year 2021. In private equity, this included funds focused on buyouts and growth equity. In private debt, the Board committed to a fund targeting distressed debt in the US and Western Europe. In real assets, the Board committed to two infrastructure funds and four real estate funds.

Investment Service Providers

During fiscal year 2021, there were no investment-related service provider changes.

Report on Investment

Exhibit 6: Diverse Emerging Fund Managers

Introduction

As part of the Board's prospective and monitoring of current investment managers, the Board is devoting more time and attention to its commitment and willingness to embrace diversity and inclusion in its hiring decisions, investment decision-making process, and ownership structure.

The following tables provide a detailed look at the Board's exposure to diverse and emerging investment managers as of the end of the fiscal year. For purposes of this report, the Diverse Emerging Fund Managers and Reporting Requirements Amendment Act of 2020 (D.C. Law 23-161) defines a "diverse emerging fund manager" to mean an asset management firm with (i) total assets under management that do not exceed \$2 billion (subject to annual adjustment based on inflation and industry growth rates); and (ii) substantial diversity among its senior leadership or firm ownership, as determined by the Board¹. Diverse managers are defined by the Board as firms having substantial ownership and/or senior leadership participation from minorities, women, disabled individuals, and/or veterans.

Methods

The Board has supported diverse and emerging investment managers for nearly two decades. Past initiatives include funding a dedicated diverse manager program and direct emerging and diverse manager relationships sourced through investment consultants and industry relationships. These efforts have resulted in moderate exposure to diverse and emerging managers across the public and private markets asset classes. At the same time, given the Fund's increasing assets and growing manager roster, particularly on the private markets side, there's potential to do more.

For example, there's a significant opportunity to engage with our existing investment managers to discuss and document their diversity and inclusion efforts. The results from our investment consultant's inaugural diversity and inclusion survey, which we received in mid-2021, have been useful in better understanding our existing investment managers' current team diversity and related initiatives. With the next survey, which we expect in mid-2022, we will have a comparison point to evaluate their ability to influence diversity and inclusion in their hiring and investment decisions as well as firm ownership.

Results

Diverse Emerging Fund Managers: Firm Ownership; Gender and Racial Diversity (Senior Leadership) (Dollars in thousands)

Firm Name	Diverse Firm Ownership ²	Gender Diversity ³ (Senior Leadership)	Racial Diversity ⁴ (Senior Leadership)
Private Equity Firm A	67 %	25 %	60 %
Private Equity Firm B	80	33	0
Private Natural Resources Firm C	50	17	17

Diverse Emerging Fund Managers: Racial Diversity¹ Breakdown (Senior Leadership)

Firm Name	American Indian/Alaskan Native	Asian	Black/African American	Hawaiian/ Pacific Islander	Hispanic /Latino	Multi-Racial
Private Equity Firm A	0 %	0 %	33 %	0 %	67 %	0 %
Private Equity Firm B	0	0	0	0	0	0
Private Natural Resources Firm C	0	0	0	0	100	0

¹ See D.C. Code § 1-901.02(2B).s

² Diverse ownership includes firm ownership by employees identifying as Female or non-White (i.e., American Indian / Alaskan Native, Asian, Black / African American, Hawaiian / Pacific Islander, Hispanic / Latino, or Multi-Racial).

³ Gender diversity based on % of Senior Leadership Identifying as Female.

⁴ Racial diversity based on % of Senior Leadership identifying as American Indian/Alaskan Native, Asian, Black/African American, Hawaiian/Pacific Islander, Hispanic/Latino, or Multi-Racial.

Report on Investment

Results - Continued

Supplementary Data (Dollars in thousands)

Total Active Manager Public Market Investments	Fair Value	Diverse Firm Ownership ¹	Gender Diversity ² (Total Firm)	Gender Diversity ² (Senior Leadership)	Racial Diversity ³ (Total Firm)	Racial Diversity ³ (Senior Leadership)
As of 9/30/2020	\$ 2,235,636	36 %	36 %	NA	22 %	NA
As of 9/30/2021	2,513,707	41	35	16 %	28	22 %
Change	278,071	5	(1)		6	

Exhibit 7: Sudan Divestment

During fiscal year 2021, the Board did not hold or acquire any direct investments with companies doing business with Sudan.

The “Prohibition of the Investment of Public Funds in Certain Companies Doing Business with the Government of Sudan Act of 2007” (the “Act”), which became District of Columbia law on February 2, 2008. Specifically, Section 1-335.04(b) of the Act requires that the District of Columbia Retirement Board (the “Board”) report as part of the annual report required under section 142(b)(13) of the Police Officers, Fire Fighters, and Teachers Retirement Benefit Replacement Plan Act of 1998, effective September 18, 1998 (D.C. Law 12-152; D.C. Official Code § 1-909.02(b)(13)) the following:

(1) All investments sold, redeemed, divested, or withdrawn in compliance with Section 1-335.03(a).

The Board did not have any direct holdings of securities of companies on the Scrutinized Companies List during the last year that needed to be sold, redeemed, divested, or withdrawn from any investments in order to comply with Section 1-335.03(a) of the Act.

(2) All prohibited investments under Section 1-335.03(b).

The Board did not directly acquire any securities of companies on the Scrutinized Companies List during the last year.

In accordance with Section 1-335.03(d), the Board submitted letters to the managers of actively-managed investment funds with indirect holdings of securities of companies on the Scrutinized Companies List requesting that they consider either removing such securities from the fund or creating a similar actively-managed fund with indirect holdings devoid of such securities. Despite the Board's requests, the managers of these funds have neither removed those securities from the funds nor created similar actively managed funds absent such securities.

(4) A list of any investments held by the Public Fund that would have been divested under Section 1-335.03 but for Section 1-335.03(e), including a statement of reasons why a sale or transfer of the investments is inconsistent with the fiduciary responsibilities of the District of Columbia Retirement Board and the circumstances under which the District of Columbia Retirement Board anticipates that it will sell, transfer, or reduce the investment.

The Board does not hold any investments that would have been divested under Section 1-335.03, but for Section 1-335.03(e).

¹ Diverse ownership includes firm ownership by employees identifying as Female or non-White (i.e., American Indian / Alaskan Native, Asian, Black / African American, Hawaiian / Pacific Islander, Hispanic / Latino, or Multi-Racial).

² Gender diversity based on % of Senior Leadership Identifying as Female.

³ Racial diversity based on % of Senior Leadership identifying as American Indian/Alaskan Native, Asian, Black/African American, Hawaiian/Pacific Islander, Hispanic/Latino, or Multi-Racial.

Report on Investment

Exhibit 8: Iran Divestment

During fiscal year 2021, the Board did not hold or acquire any direct investments with companies doing business with Iran.

The “*Prohibition of the Investment of Public Funds in Certain Companies Doing Business with the Government of Iran and Sudan Divestment Conformity Act of 2008*” (the “Act” DC Law 17-337 codified at DC Official Code §§1-336.01 -1-336.06), which became District of Columbia law on March 21, 2009. Specifically, Section 1-336.04(b) of the Act requires that the District of Columbia Retirement Board (the “Board”) report as part of the annual report required under section 142(b)(14) of the Police Officers, Fire Fighters, and Teachers Retirement Benefit Replacement Plan Act of 1998, effective September 18, 1998 (D.C. Law 12-152; D.C. Official Code § 1-909.02(b)(14)), the following:

(1) Any prohibited investments sold, redeemed, divested, or withdrawn in compliance with Section 1-336.03(a).

The Board did not have any direct holdings of securities of companies on the Scrutinized Companies List during the last year that needed to be sold, redeemed, divested, or withdrawn from any investments in order to comply with Section 1-336.03(a).

(2) Any prohibited investments acquired under Section 1-336.03(b).

The Board did not directly acquire any securities of companies on the Scrutinized Companies List during the last year.

(3) Any progress made under Section 1-336.03 [c] regarding indirect exposure.

In accordance with Section 1-336.03[c], the Board submitted letters to the managers of actively-managed investment funds with indirect holdings of securities of companies on the Scrutinized Companies List requesting that they consider either removing such securities from the fund or creating a similar actively-managed fund with indirect holdings devoid of such securities. Despite the Board’s requests, the managers of these funds have neither removed those securities from the funds nor created similar actively managed funds absent such securities.

(4) A list of all publicly traded securities held directly by the public fund.

A current listing of the Board’s direct holdings in publicly traded securities is shown on pages 75 through 76.

(5) A list of any investments held by the Public Fund that would have been divested under Section 1-336.03(a), but for Section 1-336.03(d), including a statement of reasons why a sale or transfer of the investments is inconsistent with the fiduciary responsibilities of the District of Columbia Retirement Board and the circumstances under which the District of Columbia Retirement Board anticipates that it will sell, transfer, or reduce the investment.

The Board did not hold any direct investments that would have been divested under Section 1-336.03(a) but for Section 1-336.03(d).

Report on Investment

List of Direct Holdings in Publicly Traded Securities

As of September 30, 2020

CUSIP	SECURITY NAME	CUSIP	SECURITY NAME
14282LAG8	#REORG/ CARLSON TRAVEL PLAN OF REORG CWT	22002T108	CORPORATE OFFICE PPTYS TR COM
76169B102	#REORG/ REXNORD CORPORATION MANDATORY EX	22160N109	COSTAR GROUP INC COM
12739A100	#REORG/CADENCE STOCK MERGER CADENCE BK C	LX1975460	CP IRIS HOLDCO I, INC. TERM LOAN 09-15-
14282LAF0	#REORG/DEFAULTED CARLSON TRAVEL PLAN OF	7YU999ED6	CTII HOLDINGS INC
81141R100	ADR SEA LTD ADR	237266101	DARLING INGREDIENTS INC COMSTK
009066101	AIRBNB INC CL A COM USD0.0001 CL A	362393AA8	DEFAULTED GTT COMMUNICATIONS INC 7.875%
016255101	ALIGN TECHNOLOGY INC COM	66727WAA0	DEFAULTED NORTHWEST ACQUISITIONS 0.0%
01741RAH5	ALLEGHENY TECHNOLOGIES INC 5.875% DUE	14282LAE3	DEFAULTED PVTPL CARLSON TRAVEL INC 8.5%
01741R102	ALLEGHENY TECHNOLOGIES INC COM	24701PAC0	DELIVER BUYER INC (AKA MHS HOLDINGS INC)
01741RAF9	ALLEGHENY TECHNOLOGIES INC SR STEP UP	24701PAD8	DELIVER BUYER INC TLB LIEN1 DUE 05-01-20
01748X102	ALLEGIANTRAVEL CO COM	252131107	DEXCOM INC COM
023135106	AMAZON COM INC COM	25809K105	DOORDASH INC CL A COM USD0.00001 CLASS A
03021BAE4	AMERICAN TIRE DISTRIBUTORS INC TERM LOAN	LX1664601	DRAGON MERGER SUB, LLC TERM LOAN (SECOND
03021BAJ3	AMERICAN TIRE DISTRIBUTORS, INC. TERM	28176E108	EDWARDS LIFESCIENCES CORP COM
001744101	AMN HEALTHCARE SVCS INC COM	26658NAQ2	ENGINEERED MACHINERY HOLDINGS INC INCREM
03539PAE8	ANKURA CONSULTING GROUP, LLC FLTGT RT TBL	26658NAN9	ENGINEERED MACHINERY HOLDINGS, INC TL 0
6LP999ZZ9	ARCTIC CANADIAN DIAMOND COMPANY COMMON S	429ESCAA4	ESC CB144A HIGH RIDGE D03/22/17 08.875%
LX1927008	ARCTIC CANADIAN DIAMOND COMPANY LTD TERM	302081104	EXLSERVICE COM INC COM STK
LX1925622	ARCTIC CANADIAN DIAMOND COMPANY LTD TERM	M4R82T106	FIVERR INTERNATIONAL LTD COM
04316A108	ARTISAN PARTNERS ASSET MGMT INC CL A CL	339750101	FLOOR & DECOR HLDGS INC CL A CL A
04317JAF5	ARUBA INVESTMENTS, INC.(AKA ANGUS	345370CA6	FORD MTR CO DEL 7.45% DUE 07-16-2031 BEO
043436104	ASBURY AUTOMOTIVE GROUP INC COM	345370CX6	FORD MTR CO DEL 9.625% DUE
51809EAE5	ASP LS ACQUISITION CORP TERM LOAN (SECO	346375108	FORMFACTOR INC COM STK
04624VAA7	ASSUREDPARTNERS INC 7.0% DUE	34984VAC4	FORUM ENERGY TECHNOLOGIES INC SR SECD NT
04649VAX8	ASURION LLC TERM LOAN B8 DUE 12-23-2026	374689107	GIBRALTAR INDS INC COM
04649VAY6	ASURION, LLC FLTGT RT TBL	389375106	GRAY TELEVISION INC COM CL B
04649VBA7	ASURION, LLC (FKA ASURION CORPORATION) T	415864107	HARSCO CORP., COMMON STOCK, \$1.25 PAR
04683P100	ATD NEW HLDGS INC COM	09071FAK7	HC GROUP HOLDINGS II INC TERM LOAN SEN
00216HAB8	ATI HOLDINGS LLC ATI PHYSICAL THERAPY	431571108	HILLENBRAND INC COM STK
G06242104	ATLISSIAN CORPORATION PLC COM USD0.1 CL	440327104	HORACE MANN EDUCATORS CORP COMMON STOC
05351X101	AVAYA HLDGS CORP COM	44332PAD3	HUB INTL LTD 7.0% DUE
05368V106	AVIENT CORPORATION	45174AAA0	IEA ENERGY SVCS LLC 6.625% DUE
06652V208	BANNER CORP COM NEW COM NEW	91823JAE2	ILLUMINATE MERGER SUB CORP. TERM LOAN
852234103	BLOCK INC	453836108	INDEPENDENT BK CORP MASS COM COM STK US
103304101	BOYD GAMING CORP COM	45674KAF2	INFINITE ELECTRONICS 2/21 2ND LIEN COV-L
10524MAN7	BRAND ENERGY & INFRASTRUCTURE SERVICES,	45826H109	INTEGER HLDGS CORP COM
109696104	BRINKS CO COM	45827MAA5	INTELLIGENT PACKAGING LTD FINCO INC /
127203107	CACTUS INC CL A CL A	461202103	INTUIT COM
13781HAB6	CANO HEALTH, LLC FLTGT RT TBL	LX1718506	IVORY MERGER SUB, INC TL DUE 03-06-2026 B
146869102	CARVANA CO CL A CL A	47010LAA0	JAGUAR HLDG CO II / PPD DEV L P 5.0% DUE
16119P108	CHARTER COMMUNICATIONS INC NEW CL A CL A	489170100	KENAMETAL INC. CAPITAL STOCK
LX1808992	CIRCA RESORT & CASINO TERM BANK LOAN 07	48254EAE1	KKR APPLE BIDCO LLC 2ND LIEN TL SR SEC T
LX1963698	CLOUDERA INC LIEN2 TL DUE 08-10-2029 BEO	48244EAJ3	KUEHG CORP (FKA KC MERGERSUB, INC.) TLB
18915M107	CLOUDFLARE INC COM	50118YAB5	KUEHG CORP. TERM LOAN (SECOND LIEN) SE
12571T100	CMC MATLS INC COM	52201CAF8	LEARNING CARE GROUP (US) NO 2 INC INCREM
7299963T3	CNT HOLDINGS I CORP	52201CAC5	LEARNING CARE GROUP, INC.- TERM LOAN B
LX1913651	COMMERCEHUB, INC. INITIAL TERM LOAN	52201CAE1	LEARNING CARE GROUP, INC. TERM LOAN
20752TAA2	CONNECT FINCO SARL/CONNECT US FINCO L	55826T102	MADISON SQUARE GARDEN ENTMTT CORP CL A CL

Report on Investment

Investment Appendix: List of Direct Holdings in Publicly Traded Securities (Continued)

CUSIP	SECURITY NAME	CUSIP	SECURITY NAME
564563104	MANTECH INTL CORP CL A CL A	88047PAA2	PVTPL TEAM HEALTH HOLDINGS INC 144A
57164Y107	MARRIOTT VACATIONS WORLDWIDE CORP COM	88033GDA5	PVTPL TENET HEALTHCARE CORP 5.125%
57475YAB7	MASERGY COMMUNICATIONS, INC. TERM LOAN	88827AAA1	PVTPL TITAN CO-BORROWE SR NT 7.75%
57667L107	MATCH GROUP INC NEW COM	89616RAB5	PVTPL TRIDENT TPI HLDGS INC SR NT 144A
57776J100	MAXLINEAR INC COMMON STOCK	LX1740260	RA ACQUISITION PURCHASER LLC PIK TOGGLE
589889104	MERIT MED SYS INC COM	749999249	REAALL CMN STOCK
30303M102	META PLATFORMS INC	LX1959894	RLG HOLDINGS INC DELAYED DRAW TERM LOAN
55303BAD5	MH SUB I, LLC FLTG RT TBL	LX1959886	RLG HOLDINGS, INC TERM LOAN
553498106	MSA SAFETY INC COM	LX1959910	RLG HOLDINGS, INC. TERM LOAN (SECOND
64110L106	NETFLIX INC COM STK	803607100	SAREPTA THERAPEUTICS INC COM
644274AH5	NEW ENTERPRISE STONE & LIME CO INC SR	81762P102	SERVICENOW INC COM USD0.001
670704105	NUVASIVE INC COM	82509L107	SHOPIFY INC CL A SHOPIFY INC
P73684113	ONESPACORLD HLDGS LTD	83066P200	SKILLSOFT CORP CL A
69478X105	PACIFIC PREMIER BANCORP COM	LX1895999	SKILLSOFT CORPORATION TERM LOAN DUE 12-1
71943U104	PHYSICIANS RLTY TR COM	LX1945828	SKOPIMA MERGER SUB INC 2ND LIEN SR TL
693656100	PVH CORP COM USD1	LX1937080	SM WELLNESS HOLDINGS, INC. TERM LOAN
25830JAA9	PVPTL DORNOCH DEBT MERGER SUB INC 6.625%	833445109	SNOWFLAKE INC CL A CL A
056623AA9	PVTPL BAFFINLAND IRON MINES CORP/BAFFINL	784635104	SPX CORP COM
071734AJ6	PVTPL BAUSCH HEALTH COS INC 5.25%	78469X107	SPX FLOW INC COM
08949LAB6	PVTPL BIG RIV STL LLC/BRF FIN CORP	860630102	STIFEL FINL CORP COM
103304BV2	PVTPL BOYD GAMING CORP 4.75% DUE	86881WAD4	SURGERY CTR HLDGS INC 10.0% DUE
143905AP2	PVTPL CARRIAGE SVCS INC 4.25% DUE	87161C501	SYNOVUS FINL CORP COM NEW COM NEW
156431AN8	PVTPL CENTURY ALUMINUM COMPANY 7.5%	LX1686844	TEN-X, LLC TERM LOAN SENIOR SECURED
18453HAD8	PVTPL CLEAR CHANNEL OUTDOOR HOLDINGS INC	893647BQ9	TRANSDIGM INC 4.875% DUE 05-01-2029 REG
18453HAC0	PVTPL CLEAR CHANNEL WORLDWIDE	893647BB2	TRANSDIGM INC 6.375% DUE
185899AG6	PVTPL CLEVELAND-CLIFFS INC NEW 6.75% DUE	89469A104	TREEHOUSE FOODS INC COM
29373TAA2	PVTPL ENTERPRISE MERGER SUB INC SR NT	89616RAA7	TRIDENT TPI HLDGS INC 6.625% DUE
40060QAA3	PVTPL GTCR AP FIN INC 8% DUE 05-15-2027	90138F102	TWILIO INC CL A CL A
48088LAB3	PVTPL JOSEPH T RYERSON & SON INC 144A	90353T100	UBER TECHNOLOGIES INC COM USD0.00001
48128TAA0	PVTPL JPW INDS HLDG CORP SR SECD NT	LX1913511	UTEX INDUSTRIES INC COMMON EQUITY
53627NAE1	PVTPL LIONS GATE CAP HLDGS LLC SR NT 5.	9J1999U74	UTEX INDUSTRIES INC WARRANT 12-31-2049
553283AD4	PVTPL MPH ACQUISITION HLDGS LLC SR SECD	91759UAU9	UTEX INDUSTRIES, INC. SECOND OUT LOAN 12
64199ALJ1	PVTPL NEW STAR METALS INC SR SECURED	92552VAN0	VIASAT INC 6.5% DUE
62999AVK3	PVTPL NEW STAR METALS INC. SENIOR	92826C839	VISA INC COM CL A STK
65342RAD2	PVTPL NFP CORP 6.875% DUE 08-15-2028	934550203	WARNER MUSIC GROUP CORP CL A CL A
65342RAE0	PVTPL NFP CORP SR SECD NT 4.875%	96289WAA7	WHEEL PROS ESCROW ISSUER CORP 6.5% DUE
727610AN7	PVTPL PLASTIPAK HLDGS INC BNDS 6.25% DUE	96350RAA2	WHITE CAP BUYER LLC 6.875% DUE
72815LAA5	PVTPL PLAYTIKA HLDG CORP 4.25% DUE	98954M200	ZILLOW GROUP INC COM USD0.0001 CLASS C
75602BAA7	PVTPL REAL HERO MERGER SUB 2 INC 6.25%	98978V103	ZOETIS INC COM USD0.01 CL 'A'
81105DAB1	PVTPL SCRIPPS ESCROW II INC 5.375% DUE		
82873MAA1	PVTPL SIMMONS FOOD INC 4.625% DUE 03-01-		
84611WAB0	PVTPL SP FINCO LLC SR 6.75%		
84749AAA5	PVTPL SPECIALTY BLDG PRODS HLDGS LLC/SBP		
784999617	PVTPL SPECIALTY STEEL HOLDCO INC COMSTK		
84752HAC0	PVTPL SPECIALTY STL HOLDCO INC FLTG DUE		
852234AM5	PVTPL SQUARE INC SR NT 3.5%		
78471RAB2	PVTPL SRS DISTRIBUTION INC 4.625% DUE		
85999ABY6	PVTPL STERLING ENTERTAINMENT		

ACTUARIAL SECTION

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December 28, 2021

Board Members
District of Columbia Retirement Board
900 7th Street NW, Suite 200
Washington, DC 20001

RE: Actuarial Certification of October 1, 2021 Valuation for D.C. Retirement Board

Dear Board Members:

Bolton Partners, Inc., under contract with the District of Columbia Retirement Board (DCRB), performed actuarial valuations of the District of Columbia (D.C.) Police Officers and Firefighters' Retirement Plan and the D.C. Teachers' Retirement Plan as of October 1, 2021. The date of the most recent valuation prior to this was October 1, 2020. Valuations are conducted annually for DCRB. In this study, membership data as of July 1, 2021, and market value of assets as of October 1, 2021 were provided by or at the direction of the District of Columbia Retirement Board. While we have reviewed this data for consistency and completeness, we have not audited this data.

Actuarial funding of the Plans is based on the Entry Age Normal Cost method. Under this method, the District must contribute the level percent of pay that – combined with the actuarial value of assets, expected investment earnings, and future employee contributions – will pay for the benefits of the current participants by the time the current workforce leaves employment as well as a payment to amortize any unfunded accrued liability.

The funding policy adopted by the Board in 2012 and revised in 2017 and 2021 has two main goals:

- To maintain an increasing or stable ratio of Plan assets to accrued liabilities and reach a 100 percent minimum funded ratio;
- To develop a pattern of stable or declining contribution rates when expressed as a percentage of member payroll as measured by valuations prepared in accordance with the principles of practice prescribed by the Actuarial Standards Board, with a minimum employer contribution equal to the lesser of the normal cost determined under the Entry Age Normal cost method and the current active member contribution rate.

The funding policy not only states the overall funding goals and benchmarks for the Plan, but also sets the methods and assumptions. In 2021 the funding policy was revised to state:

- In years where there is a surplus, eliminate existing amortization layers and amortize that surplus over an open 30-year period

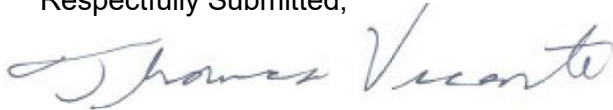
The amortization of the unfunded accrued liability uses the level dollar approach.

For actuarial valuation purposes, Plan assets are determined at Actuarial Value, recognizing 20% of the difference between the expected market value and the actual end of year market value of assets. The purpose of this is to smooth contributions, allowing investment gains and losses to offset each other over time.

We provided most of the information used in the supporting schedules in the Actuarial Valuation report. We certify that the valuation was performed in accordance with generally accepted actuarial principles and practices.

The undersigned are members of the American Academy of Actuaries and meet the Qualification Standards of the American Academy of Actuaries to render the actuarial opinion contained in the subject valuation report.

Respectfully Submitted,



Tom Vicente, FSA, EA, MAAA
Senior Consulting Actuary



Ann M. Sturner, FSA, EA, MAAA
Senior Consulting Actuary



Required Actuarial Certification

Under District of Columbia Code §1-907 for Fiscal Year 2023

Certification	Code Section	Teachers	Police	Fire	Police/Fire Combined	Total District
FY2023 Employer Normal Cost Rate	N/A	7.20%	33.21%	32.58%	32.99%	18.83%
FY2023 Unfunded Accrued Liability Cost Rate	N/A	(0.17)%	(14.81)%	(17.53)%	(15.76)%	(7.20)%
Estimated FY2023 Covered Payroll	N/A	\$624,500,000	\$333,307,000	\$179,191,000	\$512,498,000	\$1,136,998,000
FY2023 Employer Normal Cost	1-907.03(a)(3)(A)	\$44,964,000	\$110,691,000	\$58,381,000	\$169,072,000	\$214,036,000
FY2023 Unfunded Accrued Liability Payment	1-907.03(a)(3)(C)	\$(1,051,000)	\$(49,353,000)	\$(31,410,000)	\$(80,763,000)	\$(81,814,000)
FY2023 District Payment before 1-907.02 (c)	N/A	\$43,913,000	\$61,338,000	\$26,971,000	\$88,309,000	\$132,222,000
FY2021 Shortfall/Overpayment	1-907.02(c)	\$3,922,000	\$(7,429,000)	\$(3,372,000)	\$(10,801,000)	\$(6,879,000)
FY2023 District Payment	N/A	\$47,835,000	\$53,909,000	\$23,599,000	\$77,508,000	\$125,343,000
Present Value of Future Benefits	1-907.03(a)(3)(B)	\$3,423,988,000	\$5,689,189,000	\$2,638,880,000	\$8,328,069,000	\$11,752,057,000
Current Value of Assets	1-907.03(a)(3)(D)	\$2,934,307,000	\$5,478,977,000	\$2,484,300,000	\$7,963,277,000	\$10,897,584,000
Actuarial Value of Assets	1-907.03(a)(3)(E)	\$2,684,368,000	\$5,015,377,000	\$2,274,795,000	\$7,290,173,000	\$9,974,541,000

Actuarial Assumptions

The actuarial assumptions used for the valuation represent the actuary's best estimates of the future experience for the plans.



Tom Vicente, FSA, EA, MAAA
December 28, 2021



Outline of Actuarial Assumptions and Methods

The economic and demographic assumptions were adopted by the Board on October 12, 2021. The assumptions were reviewed and concluded that they were generally valid and reasonable.

Valuation date: All assets and liabilities are computed as of October 1, 2021. Demographic information was collected as of June 30, 2021. For valuation purposes (e.g., age, service), all members are treated as if remaining in the System as of October 1, 2021.

Investment rate of return: 6.25% per annum, compounded annually (net of investment expenses).

Inflation assumption: 3.00% per annum.

Payroll growth assumption: 4.00% per annum.

Percent married: 65% of Teachers, Police Officers and Firefighters are assumed to be married, with a wife 3 years younger than a husband. Active members are assumed to have one dependent child aged 10.

Actuarial method: The valuation is completed on the entry age normal cost method calculated on an individual basis with level percentage of pay normal cost.

Amortization of Unfunded Actuarial Accrued Liability: The unfunded actuarial accrued liability (UAAL) is amortized on a level dollar basis based on the following funding policy adopted by the Board in 2012 and amended in 2017:

- Amortize the legacy UAAL as of October 1, 2017 over a closed 15-year period.
- Amortize the assumption and method changes and experience gains for October 1, 2017 valuation over a closed 20-year period from the valuation date.
- Amortize all subsequent benefit changes, assumption and method changes and experience gains and losses over a closed 20-year period from the date established.
- If a surplus exists, amortize over open 30 years and eliminated all prior amortization bases.

Assets: The method of valuing assets is intended to recognize a “smoothed” fair value of assets. Under this method, the difference between actual return on fair value from investment experience and the expected return on fair value is recognized over a five-year period. The actuarial value of assets is constrained to an 80% to 120% corridor around fair value of assets. In addition, there is an adjustment made for the effect of the adjustment pursuant to D.C. Code §1- 907.02(c).

Withdrawal assumption: 20% of the vested members who terminate elect to withdraw their contributions for Teachers, Police Officers, and Firefighters, while the remaining 80% are assumed to leave their contributions in the Plan in order to be eligible for a benefit at their deferred retirement date.

Other assumptions: To value the post-retirement death benefit for Police Officers and Firefighters, the benefit form for all retirements (normal or disabled) is assumed to be a 50% Joint and Survivor annuity for all participants. One-fifth of all Police Officers and Firefighter active deaths are assumed to occur in the line of duty.

Cost-of-living adjustment (COLA): The cost of living, as measured by the Consumer Price Index (CPI), will increase at a rate of 3.0% per year for all members.

Credited service and date of entry: Service is credited as elapsed time from date of hire. The entry date for participation is date of service.

Outline of Actuarial Assumptions and Methods (Continued)

Military service: Teachers are assumed to have 0.25 years of combined unused sick leave and military service credit at retirement. All Police and Fire members are assumed to have 1 year of combined unused sick leave and military service at retirement.

Administrative expenses: For Teachers, budgeted administrative expenses of 1.2% of payroll are added to the normal cost rate. For Police Officers and Firefighters, budgeted administrative expenses of 2.1% of payroll are added to the normal cost rate.

Mortality:

Healthy Retiree and Actives

- Teachers: Pub-2010 General Employee and Healthy Retiree Mortality Table
- Police and Firefighters: Pub-2010 Safety Employees and Healthy Retiree Mortality Table with male ages set forward 1 year

Disabled Retirees

- Teachers: Pub-2010 General Disabled Retiree Mortality Table
- Police and Firefighters: Pub-2010 Safety Disabled Retiree Mortality Table

Contingent Beneficiaries

- Teachers: Pub-2010 General Contingent Survivor Mortality Table
- Police and Firefighters: Pub-2010 Safety Contingent Survivor Mortality Table

Mortality Improvement Scale

- Improvement scale MP-2020 is applied on a generational basis. The improvement scale will be updated annually with any subsequent updates available on the valuation date.

Liability for terminated non-vested participants: The Inactive with Deferred Benefits liability includes a liability for terminated non-vested participants who are due a refund of their contributions. The liability is equal to the refund amount as of the valuation date.

Outline of Actuarial Assumptions and Methods

Teachers

Salary Increases: Representative values of the assumed annual rates of future salary increases are as follows:

Years of Service	Total Increase (Next Year)
5	7.10 %
10	4.65
15	4.00
20 and over	4.00

Termination: The assumed annual rates are in the following tables:

Years of Service	Rate of Termination	
	Male	Female
0	25.0 %	23.0 %
1	26.0	22.0
2	22.0	22.0
3	20.0	19.0
4	14.7	13.4
5	14.7	13.4
6	13.0	11.2
7	13.0	11.2
8	13.0	11.2
9	13.0	11.2
10 and over	9.4	5.8

Retirement: The assumed annual rates are in the following tables:

Age	Years of Service						
	5	6 - 19	20	21 - 24	25 - 29	30	31 and over
50 and below	0 %	0 %	0 %	0 %	5 %	20 %	15 %
50 - 59	0	0	5	5	5	20	15
60 - 61	0	0	20	15	15	20	15
62	20	20	20	15	15	20	15
63 - 74	20	15	15	15	15	20	15
75 and over	100	100	100	100	100	100	100

Age	Rate of Disability	
	Proposed Rates	
30	0.010 %	
40	0.035	
50	0.010	
60	0.015	

Outline of Actuarial Assumptions and Methods

Police Officers

Salary Increases: Police Officers are assumed to receive longevity increases applied to individual base pay at certain years of service. Representative values of the assumed annual rates of future salary increase are as follows:

Years of Service	Total Increase (Next Year)
5	6.25 %
10	5.20
15	6.15
19	8.15
20	6.00
24	7.80
25	5.15
29	7.65
30 and over	7.25

Termination: The assumed annual rates are in the following tables:

Years of Service	Rate of Termination	
	Male	Female
0	9.0 %	10.0 %
1	9.0	7.0
2	8.0	7.0
3	8.0	5.0
4	8.0	3.8
5	6.2	3.8
6	4.1	2.7
7	4.1	2.7
8	2.7	2.7
9	2.7	2.7
10 and over	2.0	2.0

Retirement: The assumed annual rates are in the following tables:

Age	Years of Service						
	24 and below	25	26	27	28	29	30 and over
62 and below	0 %	50 %	25 %	25 %	30 %	35 %	30 %
62 and over	100	100	100	100	100	100	100

Disability: Representative values of assumed disability rates are in the following tables:

Age	Rate of Disability
	Proposed Rates
30	0.083 %
40	0.173
50	0.315
60	0.383

Outline of Actuarial Assumptions and Methods

Firefighters

Salary Increases: Firefighters are assumed to receive longevity increases applied to individual base pay certain years of service. Representative values of the assumed annual rates of future salary increases are as follows:

Years of Service	Total Increase (Next Year)
5	6.05 %
10	6.05
14	7.30
15	4.85
19	6.30
20	4.25
24	5.20
25	4.80
29	6.00
30 and over	4.50

Termination: The assumed annual rates are in the following tables:

Years of Service	Rate of Termination	
	Male	Female
0	9.0 %	16.0 %
1	7.0	12.0
2	4.2	2.1
3	4.2	2.1
4	3.4	2.1
5	3.4	1.8
6	3.4	2.3
7	1.7	2.3
8	1.7	2.3
9	1.7	2.3
10 and over	1.0	0.5

Retirement: The assumed annual rates are in the following tables:

Age	Years of Service						
	24 and below	25	26	27	28	29	30 and over
62 and below	0 %	15 %	15 %	15 %	25 %	25 %	40 %
62 and over	100	100	100	100	100	100	100

Disability: Representative values of assumed disability rates are in the following tables:

Rate of Disability	
Age	Proposed Rates
30	0.135 %
40	0.225
50	0.300
60	0.375

Provisions as Interpreted for Valuation Purposes

Teachers' Retirement Plan

Effective Date

Established on September 18, 1998, the Plan applies to benefit payments based on service accrued after June 30, 1997. The U.S. Department of the Treasury is responsible for paying all benefits accrued before this date.

Definitions

Affiliated Employers

District of Columbia Public Schools

Covered Members

Teachers and other educational employees in a salary class position ET 1-15 under the District of Columbia Public Schools (DCPS) system become members automatically on their date of employment. Covered members who leave the DCPS system to work for a D.C. public charter school may elect to remain in the Plan. Substitute teachers and rehired retirees are not covered.

Service Credit

One year of teaching service is given for each year of employment with DCPS. Service credit may also include purchased prior civilian government service and outside teaching service. For purposes of retirement eligibility and benefit accrual, creditable Federal and District service is aggregated in determining total creditable service.

Average Salary

Highest 36 consecutive months of pay, divided by three.

Vested

Members who accrue five or more years of creditable DCPS teaching service are vested for benefits. If a vested member leaves service, they may leave their Member Contributions with the Plan for a future deferred vested benefit when reaching eligibility for retirement (deferred vested in this report).

Contributions

Member Contributions

Members hired before November 1, 1996 are required to contribute 7% of annual pay. Members hired on or after November 1, 1996 contribute 8% of annual pay. Interest is not credited to each Member's accumulated contributions.

Refund of Member Contributions

In the event a member leaves service prior to retirement, vested members may leave their contributions in the Plan or request a refund. Nonvested members must take a refund. No interest is accrued on contribution.

Provisions as Interpreted for Valuation Purposes

Teachers' Retirement Plan (Continued)

Service Retirement

Eligibility

The Age and Service Credit requirements to be eligible for a full Service Retirement are listed below:

Members Hired Before November 1, 1996	
Age	Service Credit
55	30 years, including 5 years DCPS service
60	20 years, including 5 years DCPS service
62	5 years DCPS service

Members Hired On and After November 1, 1996	
Age	Service Credit
Any Age	30 years, including 5 years DCPS service
60	20 years, including 5 years DCPS service
62	5 years DCPS service

Benefit

For members hired before November 1, 1996:

- 1.5% of Average Salary times service through 5 years, plus
- 1.75% of Average Salary times service from 6 through 10 years, plus
- 2.0% of Average Salary times service over 10 years.

For members hired on or after November 1, 1996:

- 2.0% of Average Salary times service.

All members receive a minimum benefit of 1.0% of Average Salary plus \$25 for each year of service.

Involuntary Service Retirement

Eligibility

The Age and Service Credit requirements to be eligible for an Involuntary Service Retirement are listed below:

All Members, Regardless of Date of Hire	
Age	Service Credit
Any Age	25 years, including 5 years DCPS service
50	20 years, including 5 years DCPS service

Benefit

Service Retirement Benefit is reduced by 1/6% per month (or 2% per year) that the date of retirement precedes age 55.

Provisions as Interpreted for Valuation Purposes

Teachers' Retirement Plan (Continued)

Disability Retirement

Eligibility

Active members with five or more years of school service credit are eligible (vested) for disability retirement. To be eligible, the member must be found to be incapable of satisfactorily performing the duties of his/her position.

Benefit

Equal to Service Retirement benefit. Minimum benefit is the lesser of a) or b):

- a) 40% of Average Salary
- b) Calculated benefit amount projecting service to age 60

Survivor Benefits

Lump Sum

Eligibility

Death before completion of 18 months of school service or death without an eligible spouse, domestic partner, dependent child, or parent.

Benefit

Refund of member contributions.

Spouse or Domestic Partner Only

Eligibility

Death before retirement and married/recognized domestic partner for at least two years or have a child by the marriage or partnership.

Benefit

55% of Service Retirement benefit. Minimum benefit is the lesser of a) or b):

- a) 55% of 40% of Average Salary
- b) 55% of the calculated benefit amount projecting service to age 60.

Spouse or Domestic Partner & Dependent Children

Eligibility

Death before retirement and married/registered domestic partnership for at least two years, or have a child by the marriage or registered domestic partnership. Children must be unmarried and not in a domestic partnership and under age 18, 22 if full-time student, or any dependent child incapable of self-support due to a disability incurred before age 18. Death does not have to occur before retirement for the children's benefit.

Spouse/Domestic Partner Benefit

55% of Service Retirement benefit. Minimum benefit is the lesser of a) or b):

- a) 55% of 40% of Average Salary
- b) 55% of the calculated benefit amount projecting service to age 60.

Provisions as Interpreted for Valuation Purposes

Teachers' Retirement Plan (Continued)

Survivor Benefits (Continued)

Child Benefit

A benefit per child is equal to the smallest of a) or b) or c):

- a) 60% of Average Salary divided by the number of eligible children
- b) \$7,488* (if hired before 1/1/1980), \$7,212* (if hired between 1/1/1980 and 10/31/1996), or \$7,044* (if hired on or after 11/1/1996) per child
- c) \$22,464* (if hired before 1/1/1980), \$21,636* (if hired between 1/1/1980 and 10/31/1996), or \$21,132* (if hired on or after 11/1/1996) divided by the number of children.

Dependent Children Only

Eligibility

Children must be unmarried and under age 18, or 22 if a full-time student; also, any dependent child with a disability incurred before age 18. Death does not have to occur before retirement for the children's benefit.

Benefit

A benefit per child equal to the smallest of a) or b) or c):

- a) 60% of Average Salary divided by the number of eligible children
- b) \$9,156* (if hired before 1/1/1980), \$8,808* (if hired between 1/1/1980 and 10/31/1996), or \$8,532* (if hired on or after 11/1/1996) per child
- c) \$27,468* (if hired before 1/1/1980), \$26,424* (if hired between 1/1/1980 and 10/31/1996), or \$25,596* (if hired on or after 11/1/1996) divided by the number of children.

Parents Only

Eligibility

Death before retirement and no eligible spouse/domestic partner or children, and parents must have received at least one-half of their total income from the member immediately before the member's death.

Benefit

55% of Service Retirement benefit. Minimum benefit is the lesser of a) or b):

- a) 55% of 40% of Average Salary
- b) 55% of the calculated benefit amount projecting service to age 60.

Deferred Vested Retirement

Eligibility

Active members with five or more years of DCPS service credit.

Benefit

Benefit is calculated in the same manner as Service Retirement benefit and may be collected starting at age 62.

*Survivor benefit amounts are as of March 1, 2021 and are subject to annual inflation adjustments.

Provisions as Interpreted for Valuation Purposes

Teachers' Retirement Plan (Continued)

Retirement Options

Retirement and disability benefits are payable for the life of the retired member. Optional reduced benefits may be elected at the time of retirement to provide for continuation of a reduced benefit amount to a designated beneficiary. Optional forms include:

a) Unreduced Annuity

Full benefit is paid to the member, with no survivor benefit.

b) Reduced Annuity with a Maximum Survivor Annuity (to Spouse or Recognized Domestic Partner)

Reduced benefit paid to the member so that upon the member's death, the spouse or domestic partner will receive 55% of the unreduced normal life annuity. Member's benefit is reduced by 2.5% of retirement benefit, up to \$3,600, plus 10% of any retirement benefit over \$3,600.

c) Reduced Annuity with a Partial Survivor Annuity (to Spouse or Recognized Domestic Partner)

Reduced benefit paid to member so that upon the member's death, the spouse or domestic partner will receive a partial annuity that can range from \$1 up to less than 55% of the unreduced normal life annuity amount. The member's benefit is reduced by the same amount as option b, multiplied by the ratio of the chosen benefit percent to the maximum benefit percent (55%).

d) Reduced Annuity with a Life Insurance Benefit

Member elects a life insurance amount, payable in a lump sum to designated beneficiary upon member's death. The unreduced annuity is reduced by the amount required to pay for the life insurance premium.

e) Reduced Annuity with a Survivor Annuity to a Person with an Insurable Interest

A 55% Joint and Survivor Annuity where the original benefit is reduced by 10% plus an additional 5% for each full 5 years, up to 25 years, that the designated beneficiary is younger than the member. Maximum reduction is 40% for any beneficiary who is 25 or more years younger than the member.

Cost-of-Living Adjustments (COLA)

Each year on March 1st, benefits which have been paid for at least twelve months preceding March 1st may be increased. The increase is equal to the change in the CPI-W for the prior calendar year. COLAs are included in benefit payments on and after April 1st. If a member's retirement is effective March 1 of the preceding year, the COLA amount will be prorated.

For members hired on or after November 1, 1996, the cost-of-living increase is limited to no more than 3% per year.

Provisions as Interpreted for Valuation Purposes

Police Officers and Firefighters' Retirement Plan

Effective Date

Established on September 18, 1998, the Plan applies to benefit payments based on service accrued after June 30, 1997. The U.S. Department of the Treasury is responsible for paying all benefits accrued before this date.

Definitions

Affiliated Employers

The District of Columbia Metropolitan Police Department (MPD) and the District of Columbia Department of Fire and Emergency Medical Services (FEMS).

Covered Members

Sworn Police Officers and Firefighters become members on their first day of active duty (cadets are not eligible). Membership is not automatic for uniformed EMT Firefighters. EMTs must be cross-trained in fire suppression, go through the fire academy, and considered sworn Firefighters.

Service Credit

One year of service is given for each year of employment with MPD or FEMS. Service Credit may also include approved purchased lateral transferred service, prior civilian government service and prior military service. For purposes of retirement eligibility and benefit accrual, creditable Federal and District service is aggregated in determining total creditable service.

Average Salary

For members hired before February 15, 1980, the highest 12 consecutive months of pay. For members hired on or after February 15, 1980, the highest 36 consecutive months of pay, divided by 3. Base pay does not include overtime, holiday, or military. Longevity pay is included in Firefighters' base pay and in Police Officers' base pay once the member has completed 25 years of service.

Vested

Members who accrue five or more years of Service Credit are vested for benefits. If these members leave service, they may leave their Member Contribution Accounts with the Plan for a future benefit when reaching eligibility for retirement.

Contributions

Member Contributions

Members hired before November 10, 1996, contribute 7.0% of salary. Members hired on or after November 10, 1996, contribute 8.0% of salary. Member contributions, together with any purchased service credit payments, are credited to individual Member Contribution Accounts. No interest is accrued on contributions.

Refund of Member Contributions

In the event a member leaves service for a reason other than death or retirement, member contribution accounts are refunded upon request. Nonvested members must take a refund. No interest is accrued on contributions.

Provisions as Interpreted for Valuation Purposes

Police Officers and Firefighters' Retirement Plan (Continued)

Service Retirement

Eligibility

The Age and Service Credit requirements to be eligible for a full Service Retirement are listed below:

Members Hired Before November 10, 1996	
Age	Service Credit
Any Age	20 years departmental service (only if hired before 2/15/1980)
50	25 years departmental service
60	5 years departmental service

Members Hired On and After November 10, 1996	
Age	Service Credit
Any Age	25 years departmental service
60	5 years departmental service

Benefit

For members hired before November 10, 1996:

- 2.5% of Average Salary times departmental service up to 25 years (20 years if hired before 2/15/1980), plus
- 3.0% of Average Salary times departmental service over 25 years (or 20 years if hired before 2/15/1980), plus
- 2.5% of Average Salary times purchased or credited service.

For members hired on or after November 10, 1996:

- 2.5% of Average Salary times total service.

All members are subject to a maximum benefit of 80% of Average Salary.

Service-Related Disability Retirement

Eligibility

Disabled as a result of an injury or disease that permanently disables him/her for the performance of duty.

Benefit

For members hired before February 15, 1980:

2.5% of Average Salary times total years of service, subject to a minimum of 66-2/3% of Average Salary and a maximum of 70% of Average Salary.

For members hired on or after February 15, 1980:

70% of final pay times percentage of disability, subject to a minimum of 40% of final pay.

Provisions as Interpreted for Valuation Purposes

Police Officers and Firefighters' Retirement Plan (Continued)

Nonservice-Related Disability Retirement

Eligibility

Active members with five or more years of departmental service are eligible (vested) for disability retirement. The member is eligible if found that the disability precludes further service with his/her department.

Benefit

For members hired before February 15, 1980:

2.0% of Average Salary times total years of service, subject to a minimum of 40% of Average Salary and a maximum of 70% of Average Salary.

For members hired on or after February 15, 1980:

70% of final pay times percentage of disability, subject to a minimum of 30% of final pay.

Survivor Benefits

Lump Sum

Eligibility

Death before retirement without an eligible spouse or child.

Benefit

Refund of member contributions according to Plan's order of precedence.

Lump Sum – Death in Line of Duty

Eligibility

Death occurring in the line of duty, not resulting from willful misconduct.

Benefit

\$50,000

Spouse Only – Death in Line of Duty

Eligibility

Member killed in line of duty, after December 29, 1993.

Benefit

100% of final pay.

Spouse Only – Death Not in Line of Duty

Eligibility

Member death, not in line of duty, after December 29, 1993. If retired, must be married for at least one year or have a child by the marriage.

Benefit

40% of the greater of a) or b):

- a) Average Salary
- b) Salary for step 6 salary class 1 of the DC Police and Fireman's Salary Act in effect, adjusted for cost-of-living increases if death occurs after retirement.

Benefit cannot be higher than rate of pay at death (or retirement if death occurs after retirement).

Provisions as Interpreted for Valuation Purposes

Police Officers and Firefighters' Retirement Plan (Continued)

Survivor Benefits (Continued)

Spouse or Domestic Partner & Dependent Children

Eligibility

Member death, not in line of duty, after December 29, 1993. If retired, must be married or in a domestic partnership for at least one year or have a child by the marriage or domestic partnership. Children must be unmarried, not in a domestic partnership and under age 18, or 22 if full-time student. Also, any dependent child because of a disability incurred before age 18. Death does not have to occur before retirement for the children's benefit.

Spouse Benefit

40% of the greater of a) or b):

- a) Average Salary
- b) Salary for step 6 salary class 1 of the DC Police and Fireman's Salary Act in effect, adjusted for cost-of-living increases if death occurs after retirement.

Benefit cannot be higher than rate of pay at death (or retirement if death occurs after retirement).

Child Benefit

A benefit per child is equal to the smallest of a) or b) or c):

- a) 60% of Average Salary divided by the number of eligible children
- b) \$4,404* (if hired before 11/10/1996) or \$4,308* (if hired on or after 11/10/1996) per child
- c) \$13,212* (if hired before 11/10/1996) or \$12,924* (if hired on or after 11/10/1996) divided by the number of children.

*Survivor benefit amounts are as of March 1, 2021 and are subject to annual inflation adjustments.

Dependent Children Only

Eligibility

Children must be unmarried and not in a domestic partnership and under age 18, 22 if fulltime student, or any dependent child incapable of self-support due to a disability incurred before age 18. Death does not have to occur before retirement for the children's benefit.

Benefit

75% of Average Salary divided by the number of eligible children, adjusted for cost-of-living increases.

Deferred Vested Retirement

Eligibility

Active members with five or more years of departmental service.

Benefit

Benefit is calculated in the same manner as Service Retirement benefit and may be collected starting at age 55.

Provisions as Interpreted for Valuation Purposes

Police Officers and Firefighters' Retirement Plan (Continued)

Retirement Options

Retirement and disability benefits are payable for the life of the retired member. This includes an unreduced Joint and Survivor Annuity as defined above in the "Survivor Benefits – Spouse and Dependent Children" section.

An optional reduced benefit may be elected at the time of retirement to provide for an additional survivor benefit to a designated beneficiary. Member's original annuity is reduced by 10% and that amount is added to the survivor's benefit. If the designated beneficiary is more than five years younger than the member, the additional amount will be reduced by 5% for each full five years that the beneficiary is younger than the member, subject to a maximum of 40%.

Cost-of-Living Adjustments (COLA)

Each year on March 1st, benefits which have been paid for at least twelve months preceding March 1st may be increased. The increase is equal to the annual Consumer Price Index (CPI-W Washington/Baltimore area). COLAs are included in benefit payments on and after April 1st. If a member's retirement is effective after March 1 of the preceding year, the COLA amount will be prorated.

For members hired on or after November 10, 1996, the cost-of-living increase is limited to 3% per year. Members hired before February 15, 1980, receive equalization pay, which is defined as the percentage increase of active employees' salary increases. Equalization increases are not paid to survivors.

Schedule of Active Member Valuation Data

(Dollars in thousands)

Teachers' Plan					
Valuation Date	Number	Annual Payroll	Annual Average Pay	% increase in Average Pay	
September 30, 2021	6,050	\$ 600,481	\$ 99.3	(0.52) %	
September 30, 2020	5,531	551,835	99.8	0.93	
September 30, 2019	5,226	516,609	98.9	6.38	
September 30, 2018	5,066	470,749	92.9	7.89	
September 30, 2017	5,199	447,762	86.1	1.07	
September 30, 2016	5,141	438,079	85.2	(0.59)	
September 30, 2015	4,866	417,090	85.7	1.77	
September 30, 2014	4,499	378,926	84.2	(0.07)	
September 30, 2013	4,379	369,071	84.3	(0.63)	
September 30, 2012	4,495	381,235	84.8	19.34	

Police Officers' Plan					
Valuation Date	Number	Annual Payroll	Annual Average Pay	% increase in Average Pay	
September 30, 2021	3,366	\$ 320,487	\$ 95.2	0.28 %	
September 30, 2020	3,544	336,479	94.9	3.31	
September 30, 2019	3,566	327,734	91.9	10.27	
September 30, 2018	3,567	297,283	83.3	(0.31)	
September 30, 2017	3,583	299,535	83.6	2.27	
September 30, 2016	3,651	298,442	81.7	1.83	
September 30, 2015	3,829	307,373	80.3	2.44	
September 30, 2014	3,902	305,765	78.4	3.04	
September 30, 2013	3,846	292,494	76.1	(0.69)	
September 30, 2012	3,810	291,780	76.6	(1.26)	

Firefighters' Plan					
Valuation Date	Number	Annual Payroll	Annual Average Pay	% increase in Average Pay	
September 30, 2021	1,876	\$ 172,299	\$ 91.8	(1.47) %	
September 30, 2020	1,833	170,869	93.2	2.05	
September 30, 2019	1,840	168,076	91.3	3.73	
September 30, 2018	1,782	156,926	88.1	6.95	
September 30, 2017	1,729	142,370	82.3	0.69	
September 30, 2016	1,708	139,672	81.8	0.61	
September 30, 2015	1,708	138,828	81.3	1.04	
September 30, 2014	1,649	132,650	80.4	10.73	
September 30, 2013	1,664	120,886	72.6	0.33	
September 30, 2012	1,700	123,097	72.4	0.69	

Schedule of Retirees Added-to and Removed-from District Benefit Payrolls (Dollars in thousands)

District Benefit (Dollars in thousands)											
Fiscal Year Ended	Plan	Added		Removed		Increase due to Plan Amendments	Payrolls at End of Year		Percentage Increase in Annual Allowances	Average Annual Allowances	
		Number	Annual Allowances	Number	Annual Allowances		Number	Annual Allowances			
9/30/2021	Teachers	96	\$ 3,642	95	\$ 1,524	\$ 1,124	4,072	\$ 88,610	3.80 %	\$ 22	
	Police/Fire	264	15,650	78	1,692	1,632	4,115	162,182	10.63	39	
9/30/2020	Teachers	98	3,471	86	1,767	1,824	4,071	85,368	4.31	21	
	Police/Fire	274	15,268	44	1,308	3,719	3,929	146,592	13.71	37	
9/30/2019	Teachers	141	4,693	72	1,278	1,890	4,059	81,840	6.93	20	
	Police/Fire	301	15,917	43	821	1,993	3,699	128,913	15.28	35	
9/30/2018	Teachers	160	4,892	69	977	1,419	3,990	76,535	7.49	19	
	Police/Fire	271	13,179	45	909	1,868	3,441	111,824	14.47	32	
9/30/2017	Teachers	96	2,599	79	1,211	1,023	3,899	71,201	3.50	18	
	Police/Fire	252	11,287	40	678	1,339	3,215	97,686	13.94	30	
9/30/2016	Teachers	222	6,844	58	1,021	68	3,882	68,790	9.37	18	
	Police/Fire	441	18,205	47	1,022	-1,659	3,003	85,738	22.11	29	
9/30/2015	Teachers	183	4,950	66	822	84	3,718	62,899	7.18	17	
	Police/Fire	284	12,818	39	424	-630	2,610	70,214	20.13	27	
9/30/2014	Teachers	218	6,079	65	955	597	3,601	58,687	10.80	16	
	Police/Fire	237	9,465	55	895	350	2,365	58,450	18.01	25	
9/30/2013	Teachers	202	5,289	39	436	706	3,448	52,966	11.73	15	
	Police/Fire	174	6,054	30	298	344	2,183	49,530	14.05	23	
9/30/2012	Teachers	204	4,807	49	594	1,198	3,285	47,407	12.88	14	
	Police/Fire	234	8,034	51	557	423	2,039	43,430	22.23	21	

Analysis of Financial Experience

(Dollars in millions)

Teachers' Retirement Plan

Gains & Losses in Accrued Liabilities Resulting from Difference Between Assumed Experience & Actual Experience

Experience Gain / (Loss)	Gain (or Loss)	
	2021	2020
Age & Service Retirements		
If members retire at older ages, there is a gain; if younger ages, a loss.	\$ (0.5)	\$ 1.4
Disability Retirements		
If disability claims are less than assumed, there is a gain; if more claims, a loss.	1.0	0.0
Death-in Service Benefits		
If survivor claims are less than assumed, there is a gain; if more claims, there is a loss.	2.9	(0.7)
Withdrawal from Employment		
If more liabilities are released by withdrawals than assumed, there is a gain; if smaller releases, a loss.	(59.0)	(19.2)
Pay Increases		
If there are smaller pay increases than assumed, there is a gain; if greater increases, a loss.	67.0	50.8
New Members		
Additional unfunded actuarial accrued liability will produce a loss.	(34.5)	(49.4)
Investment Income		
If there is greater investment income than assumed, there is a gain; if less income, a loss.	75.4	4.9
Death after Retirement		
If retirees live longer than assumed, there is a loss; if not as long, a gain.	(3.7)	8.5
COLA/CPI		
If inflation is different than expected, gains or losses can occur.	22.4	12.0
Other		
Miscellaneous gains and losses resulting from data adjustments, timing of financial transactions, etc.	21.1	(1.0)
Gain/(Loss) During Year from Experience	92.1	7.3
Non-Recurring Items		
Adjustments for plan amendments, assumption changes, method changes or audit changes.	89.4	0.0
Composite Gain/(Loss) During Year	<u>\$ 181.5</u>	<u>\$ 7.3</u>

Analysis of Financial Experience

(Dollars in millions)

Police Officers and Firefighters' Retirement Plan

Gains & Losses in Accrued Liabilities Resulting from Difference Between Assumed Experience & Actual Experience

Experience Gain / (Loss)	Gain (or Loss)	
	2021	2020
Age & Service Retirements		
If members retire at older ages, there is a gain; if younger ages, a loss.	\$ (19.9)	\$ (19.1)
Disability Retirements		
If disability claims are less than assumed, there is a gain; if more claims, a loss.	4.7	4.1
Death-in Service Benefits		
If survivor claims are less than assumed, there is a gain; if more claims, there is a loss.	6.2	(3.6)
Withdrawal from Employment		
If more liabilities are released by withdrawals than assumed, there is a gain; if smaller releases, a loss.	(5.8)	3.1
Pay Increases		
If there are smaller pay increases than assumed, there is a gain; if greater increases, a loss.	134.8	34.2
New Members		
Additional unfunded actuarial accrued liability will produce a loss.	(12.6)	(11.0)
Investment Income		
If there is greater investment income than assumed, there is a gain; if less income, a loss.	203.7	19.5
Death after Retirement		
If retirees live longer than assumed, there is a loss; if not as long, a gain.	(8.3)	(12.1)
COLA/CPI		
If inflation is different than expected, gains or losses can occur.	62.8	10.0
Other		
Miscellaneous gains and losses resulting from data adjustments, timing of financial transactions, etc.	27.9	3.0
Gain/(Loss) During Year from Experience	393.5	28.1
Non-Recurring Items		
Adjustments for plan amendments, assumption changes, method changes or audit changes.	97.5	0.0
Composite Gain/(Loss) During Year	<u>\$ 491.0</u>	<u>\$ 28.1</u>

Valuation Balance Sheet
Teachers' Retirement Plan
(Dollars in thousands)

As of October 1, 2021

Present and Prospective Assets	
Actuarial Value of Present Assets	\$ 2,684,368
Present Value of Future Members' Contributions	412,884
Present Value of Future Employer Contributions	
Normal contributions	312,486
Unfunded accrued liability contributions	<u>14,250</u>
Total Present and Prospective Assets	<u>\$ 3,423,988</u>

Actuarial Liabilities	
Present Value of benefits payable on account of retired members and survivors of deceased members now drawing retirement benefits	\$ 1,132,341
Present Value of prospective benefits payable on account of inactive members	203,955
Present Value of prospective benefits payable on account of present active members	
Service retirement benefits	1,664,715
Disability retirement benefits	29,740
Survivor benefits	17,060
Separation benefits	<u>376,176</u>
Total Actuarial Liabilities	<u>\$ 3,423,987</u>

Valuation Balance Sheet**Police Officers and Firefighters' Retirement Plan**
(Dollars in thousands)**As of October 1, 2020**

Present and Prospective Assets	
Actuarial Value of Present Assets	\$ 7,290,172
Present Value of Future Members' Contributions	426,697
Present Value of Future Employer Contributions	
Normal contributions	1,719,758
Unfunded accrued liability contributions	<u>(1,108,558)</u>
Total Present and Prospective Assets	<u>\$ 8,328,069</u>

Actuarial Liabilities	
Present Value of benefits payable on account of retired members and survivors of deceased members now drawing retirement benefits	\$ 3,021,846
Present Value of prospective benefits payable on account of inactive members	84,513
Present Value of prospective benefits payable on account of present active members	
Service retirement benefits	4,679,130
Disability retirement benefits	205,279
Survivor benefits	49,261
Separation benefits	<u>288,039</u>
Total Actuarial Liabilities	<u>\$ 8,328,068</u>

Valuation Solvency Test

(Dollars in thousands)

Valuation Date	Aggregate Accrued Liabilities				Reported Assets	Portion of Accrued Liabilities Covered by Reported Asset					
	(1)	(2)	(3)	(1)		(2)	(3)				
	Active Member Contributions	Retirees, Survivors and Inactive Members	Members (Employer Financed Portion)								
Teachers' Retirement Plan											
10/1/2012	\$	137,698	\$	819,842	\$	723,008	\$	1,503,346	100 %	100 %	75.5 %
10/1/2013		141,792		883,495		733,756		1,622,376	100	100	81.4
10/1/2014		141,943		968,446		738,841		1,746,030	100	100	86.0
10/1/2015		144,927		1,053,078		755,300		1,670,976	100	100	62.6
10/1/2016		152,459		1,108,032		769,149		1,822,113	100	100	73.0
10/1/2017		156,263		1,154,696		831,532		2,051,006	100	100	89.0
10/1/2018		165,629		1,234,796		900,889		2,193,598	100	100	88.0
10/1/2019		228,893		1,263,613		1,001,785		2,264,428	100	100	77.1
10/1/2020		302,072		1,304,905		1,033,826		2,411,390	100	100	77.8
10/1/2021		333,512		1,336,297		1,028,810		2,934,307	100	100	100.0

Police Officers and Firefighters' Retirement Plan											
10/1/2012	\$	235,924	\$	849,982	\$	2,371,070	\$	3,681,526	100	100	100 %
10/1/2013		247,202		966,862		2,430,021		4,168,457	100	100	100
10/1/2014		255,735		1,149,515		2,593,287		4,588,319	100	100	100
10/1/2015		262,674		1,388,908		2,631,511		4,462,228	100	100	100
10/1/2016		260,786		1,650,195		2,587,532		4,954,464	100	100	100
10/1/2017		261,428		1,990,699		2,626,132		5,629,911	100	100	100
10/1/2018		267,845		2,258,695		2,697,220		6,015,953	100	100	100
10/1/2019		338,775		2,547,138		2,828,542		6,256,213	100	100	100
10/1/2020		352,281		2,903,981		2,817,790		6,620,190	100	100	100
10/1/2021		357,729		3,106,359		2,741,743		7,963,277	100	100	100

Schedule of Funding Progress

(Dollars in thousands)

	(1)	(2)	(3)	(4)	(5)	(6)
Valuation Date	Actuarial Value of Assets	Actuarial Accrued Liability (AAL)	Percentage Funded (1) / (2)	Unfunded AAL (UAAL) (2) - (1)	Annual Covered Payroll	UAAL as a Percentage of Covered Payroll (4) / (5)
Teachers' Retirement Plan						
10/1/2012	\$ 1,585,626	\$ 1,680,548	94.4 %	\$ 94,922	\$ 381,235	24.9 %
10/1/2013	1,585,775	1,759,043	90.1	173,268	369,071	46.9
10/1/2014	1,638,583	1,849,230	88.6	210,647	378,926	55.6
10/1/2015	1,732,017	1,953,305	88.7	221,288	417,090	53.1
10/1/2016	1,845,476	2,029,640	90.9	184,164	438,079	42.0
10/1/2017	1,982,019	2,142,491	92.5	160,472	447,762	35.8
10/1/2018	2,139,911	2,301,314	93.0	161,403	470,749	34.3
10/1/2019	2,271,160	2,494,291	91.1	223,131	516,609	43.2
10/1/2020	2,431,075	2,640,803	92.1	209,728	551,835	38.0
10/1/2021	2,684,368	2,698,618	99.5	14,250	600,481	2.4
Police Officers and Firefighters' Retirement Plan						
10/1/2012	\$ 3,804,853	\$ 3,456,976	110.1 %	\$ (347,877)	\$ 414,877	(83.9) %
10/1/2013	4,013,534	3,644,085	110.1	(369,449)	413,380	(89.4)
10/1/2014	4,288,727	3,998,537	107.3	(290,190)	438,415	(66.2)
10/1/2015	4,607,300	4,283,093	107.6	(324,207)	446,201	(72.7)
10/1/2016	4,985,051	4,498,513	110.8	(486,538)	438,114	(111.1)
10/1/2017	5,406,366	4,878,260	110.8	(528,106)	441,905	(119.5)
10/1/2018	5,848,576	5,223,760	112.0	(624,816)	454,209	(137.6)
10/1/2019	6,269,628	5,604,573	111.9	(665,055)	495,809	(134.1)
10/1/2020	6,676,013	6,023,843	110.8	(652,170)	507,348	(128.5)
10/1/2021	7,290,173	6,181,614	117.9	(1,108,559)	492,787	(225.0)
Total						
10/1/2012	\$ 5,390,479	\$ 5,137,524	104.9 %	\$ (252,955)	\$ 796,112	(31.8) %
10/1/2013	5,599,309	5,403,128	103.6	(196,181)	782,451	(25.1)
10/1/2014	5,927,310	5,847,767	101.4	(79,543)	817,341	(9.7)
10/1/2015	6,339,317	6,236,398	101.7	(102,919)	863,291	(11.9)
10/1/2016	6,830,527	6,528,153	104.6	(302,374)	876,193	(34.5)
10/1/2017	7,388,385	7,020,751	105.2	(367,634)	889,667	(41.3)
10/1/2018	7,988,487	7,525,074	106.2	(463,413)	924,958	(50.1)
10/1/2019	8,540,788	8,098,864	105.5	(441,924)	1,012,418	(43.7)
10/1/2020	9,107,088	8,664,646	105.1	(442,442)	1,059,183	(41.8)
10/1/2021	9,974,541	8,880,232	112.3	(1,094,309)	1,093,268	(100.1)

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STATISTICAL SECTION

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Summary

Introduction

The objective of the *Statistical Section* is to provide information to assist readers in understanding and assessing DCRB's overall financial condition when viewing the Financial Statements, Notes to the Financial Statements, the Required Supplementary Information, and the Supplementary Information. The data presented throughout this section incorporates information from prior ACFRs and is useful in evaluating how the financial condition of the Plans has changed over time.

Financial Trends

The financial trend schedules show financial information about the growth of DCRB's assets and provide a context for how DCRB's financial position has changed over the past 10 years. The financial trend schedules presented are:

- Changes in Net Pension
- Administrative Expenses
- Investment Expenses

Operating Information

The following schedules provide data of the environment in which DCRB operates. The schedules presented include:

- Annual Salaries and Benefits
- Participant Data
- Average Benefit by Type
- Schedule of Retired Members by Benefit Type and Option Selected

Schedules of Fiduciary Net Position

(Dollars in thousands)

Teachers' Retirement Fund	2021	2020	2019	2018	2017
Assets					
Cash and Short-Term Investments	\$ 23,513	\$ 8,814	\$ 20,298	\$ 15,735	\$ 23,675
Receivables	4,004	15,780	3,918	4,038	19,504
Prepaid Expenses	79	42	41	-	-
Investments at Fair Value	2,927,401	2,397,395	2,244,990	2,159,823	2,046,711
Collateral from Securities Lending Transactions at Fair Value	-	-	-	-	-
Net Capital Assets	20	20	-	-	-
Total Assets	2,955,017	2,422,051	2,269,247	2,179,596	2,089,890
Liabilities					
Retirement Benefits Payable to U.S. Treasury	-	-	-	-	459
Accounts Payable and Other	2,654	1,859	1,704	2,170	866
Due to Federal Government	168	320	144	159	301
Due to District of Columbia Government	-	46	-	-	80
Investment Payables	7,311	8,436	2,917	1,161	17,585
Obligations Under Securities Lending	-	-	-	-	-
Total Liabilities	10,133	10,661	4,765	3,490	19,291
Net Position Restricted for Pensions	\$ 2,944,884	\$ 2,411,390	\$ 2,264,482	\$ 2,176,106	\$ 2,070,599

Teachers' Retirement Fund	2016	2015	2014	2013	2012
Assets					
Cash and Short-Term Investments	\$ 13,993	\$ 18,352	\$ 7,236	\$ 26,826	\$ 19,628
Receivables	5,002	4,872	43,404	28,853	43,975
Prepaid Expenses	3	13	54	-	-
Investments at Fair Value	1,807,998	1,650,974	1,729,571	1,630,294	1,498,968
Collateral from Securities Lending Transactions at Fair Value	-	-	6,885	23,566	28,050
Net Capital Assets	-	-	-	-	1
Total Assets	1,826,996	1,674,211	1,787,150	1,709,539	1,590,622
Liabilities					
Retirement Benefits Payable to U.S. Treasury	459	-	-	21,503	-
Accounts Payable and Other	1,377	735	1,163	556	616
Due to Federal Government	56	20	204	78	153
Due to District of Columbia Government	501	401	414	112	616
Investment Payables	2,654	2,417	32,426	41,162	57,369
Obligations Under Securities Lending	-	-	6,982	23,753	28,382
Total Liabilities	5,047	3,573	41,189	87,164	87,136
Net Position Restricted for Pensions	\$ 1,821,949	\$ 1,670,638	\$ 1,745,961	\$ 1,622,375	\$ 1,503,486

Schedules of Fiduciary Net Position

(Dollars in thousands)

Police Officers and Fire Fighters' Retirement Fund	2021	2020	2019	2018	2017
Assets					
Cash and Short-Term Investments	\$ 63,818	\$ 24,227	\$ 56,136	\$ 43,599	\$ 64,541
Receivables	6,083	35,715	4,702	4,619	44,180
Prepaid Expenses	215	115	110	-	-
Investments at Fair Value	7,949,393	6,589,423	6,208,612	5,984,412	5,628,706
Collateral from Securities Lending Transactions at Fair Value	-	-	-	-	-
Net Capital Assets	55	55	-	-	-
Total Assets	8,019,564	6,649,535	6,269,560	6,032,630	5,737,427
Liabilities					
Retirement Benefits Payable to U.S. Treasury	-	-	-	-	217
Accounts Payable and Other	7,262	5,152	4,733	5,348	3,379
Due to Federal Government	456	878	396	296	819
Due to District of Columbia Government	-	128	-	-	216
Investment Payables	19,852	23,187	8,068	3,216	48,354
Obligations Under Securities Lending	-	-	-	-	-
Total Liabilities	27,570	29,345	13,197	8,860	52,985
Net Position Restricted for Pensions	\$ 7,991,994	\$ 6,620,190	\$ 6,256,363	\$ 6,023,770	\$ 5,684,442

Police Officers and Fire Fighters' Retirement Fund	2016	2015	2014	2013	2012
Assets					
Cash and Short-Term Investments	\$ 37,487	\$ 57,140	\$ 20,164	\$ 69,232	\$ 54,888
Receivables	9,233	9,205	111,745	70,820	105,313
Prepaid Expenses	7	34	140	-	-
Investments at Fair Value	4,920,614	4,405,127	4,546,197	4,144,784	3,666,044
Collateral from Securities Lending Transactions at Fair Value	-	-	18,097	59,912	68,602
Net Capital Assets	-	-	-	-	2
Total Assets	4,967,341	4,471,506	4,696,343	4,344,748	3,894,849
Liabilities					
Retirement Benefits Payable to U.S. Treasury	217	-	-	9,391	-
Accounts Payable and Other	3,751	1,950	3,038	1,397	1,479
Due to Federal Government	154	53	523	190	356
Due to District of Columbia Government	1,364	1,055	1,062	275	1,438
Investment Payables	7,224	6,450	85,237	104,649	140,307
Obligations Under Securities Lending	-	-	18,354	60,389	69,415
Total Liabilities	12,710	9,508	108,214	176,291	212,995
Net Position Restricted for Pensions	\$ 4,954,631	\$ 4,461,998	\$ 4,588,129	\$ 4,168,457	\$ 3,681,854

Schedules of Changes in Fiduciary Net Position

(Dollars in thousands)

Teachers' Retirement Fund	2021	2020	2019	2018	2017
Additions					
Contributions:					
District Government	\$ 70,478	\$ 58,888	\$ 53,343	\$ 59,046	\$ 56,781
Plan Members	45,689	42,356	40,432	40,324	34,364
Total Contributions	116,167	101,244	93,775	99,370	91,145
Net Investment Income	513,322	138,936	85,047	94,129	239,554
Other income	953	803	883	1,038	907
Total Additions	630,442	240,983	179,705	194,537	331,606
Deductions					
Benefit Payments	89,404	85,679	81,471	78,430	72,069
Retirement Benefits Payable to U.S. Treasury	-	-	-	-	-
Refunds	3,417	4,873	6,418	6,126	6,166
Administrative Expenses	4,127	3,511	3,440	4,474	4,721
Total Deductions	96,948	94,063	91,329	89,030	82,956
Changes in Fiduciary Net Position	\$ 533,494	\$ 146,920	\$ 88,376	\$ 105,507	\$ 248,650

Teachers' Retirement Fund	2016	2015	2014	2013	2012
Additions					
Contributions:					
District Government	\$ 44,469	\$ 39,513	\$ 31,636	\$ 6,407	\$ -
Plan Members	33,591	31,621	28,751	28,129	28,639
Total Contributions	78,060	71,134	60,387	34,536	28,639
Net Investment Income	152,262	(72,647)	132,086	168,117	190,002
Other income	1,033	385	522	796	672
Total Additions	231,355	(1,128)	192,995	203,449	219,313
Deductions					
Benefit Payments	68,634	64,076	59,832	54,180	48,145
Retirement Benefits Payable to U.S. Treasury	459	-	-	21,503	-
Refunds	6,205	5,576	5,790	5,250	5,514
Administrative Expenses	4,746	4,543	3,787	3,627	2,880
Total Deductions	80,044	74,195	69,409	84,560	56,539
Changes in Fiduciary Net Position	\$ 151,311	\$ (75,323)	\$ 123,586	\$ 118,889	\$ 162,774

Schedules of Changes in Fiduciary Net Position

(Dollars in thousands)

Police Officers and Fire Fighters' Retirement Fund	2021	2020	2019	2018	2017
Additions					
Contributions:					
District Government	\$ 109,933	\$ 93,061	\$ 91,284	\$ 105,596	\$ 145,631
Plan Members	37,433	37,880	38,243	34,478	33,424
Total Contributions	147,366	130,941	129,527	140,074	179,055
Net Investment Income	1,391,936	381,595	232,987	316,842	655,310
Other income	2,585	2,207	2,435	2,356	2,468
Total Additions	1,541,887	514,743	364,949	459,272	836,833
Deductions					
Benefit Payments	156,455	140,044	121,342	106,794	92,537
Retirement Benefits Payable to U.S. Treasury	-	-	-	-	-
Refunds	2,420	1,236	1,533	1,580	1,647
Administrative Expenses	11,208	9,648	9,481	11,570	12,838
Total Deductions	170,083	150,928	132,356	119,944	107,022
Changes in Fiduciary Net Position	\$ 1,371,804	\$ 363,815	\$ 232,593	\$ 339,328	\$ 729,811

Police Officers and Fire Fighters' Retirement Fund	2016	2015	2014	2013	2012
Additions					
Contributions:					
District Government	\$ 136,115	\$ 103,430	\$ 110,766	\$ 96,314	\$ 116,700
Plan Members	32,785	33,679	32,821	30,581	30,398
Total Contributions	168,900	137,109	143,587	126,895	147,098
Net Investment Income	415,157	(187,283)	338,894	423,581	452,881
Other income	2,810	1,012	1,342	2,047	1,584
Total Additions	586,867	(49,162)	483,823	552,523	601,563
Deductions					
Benefit Payments	78,920	63,634	52,784	45,656	38,924
Retirement Benefits Payable to U.S. Treasury	217	-	-	9,391	-
Refunds	2,179	1,396	1,637	1,960	1,534
Administrative Expenses	12,918	11,939	9,730	8,913	6,718
Total Deductions	94,234	76,969	64,151	65,920	47,176
Changes in Fiduciary Net Position	\$ 492,633	\$ (126,131)	\$ 419,672	\$ 486,603	\$ 554,387

Schedules of Administrative Expenses

(Dollars in thousands)

	2021	2020	2019	2018	2017	2016	2015	2014	2013	2012
Personal services										
Salaries	\$ 7,199	\$ 6,131	\$ 6,058	\$ 6,420	\$ 6,513	\$ 6,181	\$ 4,760	\$ 4,401	\$ 3,955	\$ 4,114
Fringe benefits	1,321	1,602	1,481	1,832	1,613	1,318	1,301	1,244	1,135	954
Total personal services	8,520	7,733	7,539	8,252	8,126	7,499	6,061	5,645	5,090	5,068
Non-personal services										
Office supplies	44	44	70	94	107	99	126	115	187	157
Telephone	20	89	46	96	107	91	71	56	50	49
Rent	1,908	1,695	1,968	1,824	1,800	1,754	1,634	1,554	1,513	1,465
Office support	-	-	-	-	-	-	-	-	-	1
Travel	48	110	183	194	218	209	206	181	177	148
Professional fees	1,905	892	1,149	3,666	5,263	6,379	6,225	4,292	3,790	3,069
Postage	20	13	14	66	60	27	29	25	138	29
Insurance	4	13	9	78	15	53	14	15	91	33
Printing	179	130	117	149	149	151	150	121	114	121
memberships	39	42	41	40	42	41	32	34	28	26
Audit costs	(8)	(10)	291	191	72	63	85	49	76	71
Actuarial fees	146	178	138	170	138	180	153	66	146	153
Legal fees	882	366	323	532	590	337	524	365	529	292
Investment fees	26,991	17,909	16,807	13,076	15,037	12,862	11,377	12,788	6,587	7,753
Contractual services (STAR)*	2,439	2,387	1,968	1,808	1,866	1,697	1,077	872	941	-
Equipment and rental	52	89	59	199	261	376	966	995	619	179
Depreciation	22	12	-	-	-	-	-	-	3	6
Total non-personal Services	34,691	23,959	23,182	22,182	25,726	24,320	22,676	21,528	14,989	13,552
Total Administrative Expenses	\$43,211	\$31,692	\$30,721	\$30,435	\$33,852	\$31,819	\$28,738	\$27,173	\$20,079	\$18,620

* Contractual services (STAR) were included in Professional fees prior to fiscal year 2013.

Schedules of Investment Expenses

(Dollars in thousands)

Fiscal Year	Investment Managers*	Investment Administrative Expense	Investment Consultants	Investment Custodian	Total Investment Expenses
2021	\$ 25,863	\$ 885	\$ 710	\$ 418	\$ 27,876
2020	16,882	582	596	473	18,533
2019	15,766	879	752	403	17,800
2018	12,418	753	882	338	14,391
2017	14,361	785	910	237	16,293
2016	11,811	1,051	1,017	275	14,154
2015	10,118	879	1,030	229	12,256
2014	11,400	868	1,019	369	13,656
2013	5,499	934	975	131	7,539
2012	7,116	1,011	686	210	9,023

* Investment managers' fees include mainly traditional managers' fees as well as some non-traditional managers.

Schedule of Benefits and Refunds

(Dollars in thousands)

As of September 30, 2021

	Teachers' Retirement Fund	Police Officers and Fire Fighters' Retirement Fund	Total
Benefits			
Regular Retiree	\$ 85,622	\$ 139,612	\$ 225,234
Disability	2,451	12,903	15,354
Survivor	1,331	3,940	5,271
Total Benefits	89,404	156,455	245,859
Refunds of Member Contributions	3,417	2,420	5,837
Total Benefits and Refunds	\$ 92,821	\$ 158,875	\$ 251,696

Schedule of Annual Salaries and Benefits

(Dollars in millions)

Annual Salaries of Active Members				Annual Retirement Benefits for Retirees & Beneficiaries		
Fiscal Year	Teachers	Police Officers and Firefighters	Total	Teachers	Police Officers and Firefighters	Total
2021	\$538	\$517	\$1,055	\$89	\$162	\$251
2020	491	474	965	85	147	232
2019	467	461	928	82	129	211
2018	471	454	925	77	112	189
2017	448	442	890	71	98	169
2016	438	438	876	69	86	155
2015	417	446	863	63	70	133
2014	379	438	817	59	58	117
2013	369	413	782	53	50	103
2012	381	415	796	47	43	90

Schedule of Participant Data

(Dollars in thousands)

Fiscal Year	Active			Retired Members, Beneficiaries, Disabled			
	Teachers	Police Officers and Firefighters	Subtotal	Teachers	Police Officers and Firefighters	Subtotal	Total
2021	6,050	5,242	11,292	4,072	4,115	8,187	19,479
2020	5,531	5,377	10,908	4,071	3,929	8,000	18,908
2019	5,226	5,406	10,632	4,059	3,699	7,758	18,390
2018	5,066	5,349	10,415	3,990	3,441	7,431	17,846
2017	5,199	5,312	10,511	3,899	3,215	7,114	17,625
2016	5,141	5,359	10,500	3,882	3,003	6,885	17,385
2015	4,866	5,537	10,403	3,718	2,609	6,327	16,730
2014	4,499	5,551	10,050	3,601	2,365	5,966	16,016
2013	4,379	5,510	9,889	3,448	2,183	5,631	15,520
2012	4,495	5,510	10,005	3,285	2,039	5,324	15,329

Schedule of Average Benefit by Type

Teachers' Retirement Plan						
Retirement Effective Dates	Years of Credited Service					
	5-9	10-14	15-19	20-24	25-29	30+
Average Monthly Benefit	\$1,083	\$1,957	\$3,189	\$3,798	\$5,178	\$6,072
2021 Average Final Average Salary	\$96,281	\$91,510	\$109,703	\$109,516	\$116,081	\$114,747
Number of Active Recipients	9	5	8	11	7	23
Average Monthly Benefit	\$1,009	\$2,258	\$2,933	\$3,836	\$4,810	\$5,810
2020 Average Final Average Salary	\$101,961	\$99,134	\$100,749	\$108,761	\$113,518	\$111,979
Number of Active Recipients	5	13	12	19	10	31
Average Monthly Benefit	\$1,423	\$1,886	\$2,722	\$3,569	\$4,604	\$6,021
2019 Average Final Average Salary	\$88,477	\$88,300	\$89,069	\$99,236	\$99,339	\$102,848
Number of Active Recipients	40	18	13	26	30	41
Average Monthly Benefit	\$959	\$2,152	\$2,727	\$3,444	\$4,619	\$5,832
2018 Average Final Average Salary	\$92,306	\$91,506	\$95,038	\$97,624	\$102,000	\$103,292
Number of Active Recipients	5	16	22	26	35	30
Average Monthly Benefit	\$938	\$2,112	\$2,685	\$3,371	\$4,520	\$5,707
2017 Average Final Average Salary	\$92,306	\$91,910	\$95,233	\$97,440	\$102,000	\$103,292
Number of Active Recipients	5	15	22	28	35	35
Average Monthly Benefit	\$920	\$2,192	\$2,695	\$3,37	\$4,431	\$5,595
2016 Average Final Average Salary	\$92,306	\$92,608	\$96,609	\$97,857	\$102,000	\$103,292
Number of Active Recipients	5	12	21	23	35	35
Average Monthly Benefit	\$1,050	\$2,140	\$2,774	\$3,338	\$4,387	\$5,805
2015 Average Final Average Salary	\$82,018	\$95,786	\$97,605	\$97,032	\$100,959	\$103,420
Number of Active Recipients	15	20	8	26	22	43
Average Monthly Benefit	\$899	\$1,950	\$2,375	\$3,551	\$4,153	\$5,669
2014 Average Final Average Salary	\$79,848	\$89,912	\$88,883	\$100,082	\$98,560	\$102,092
Number of Active Recipients	16	21	18	26	47	56
Average Monthly Benefit	\$1,205	\$1,741	\$2,499	\$3,441	\$4,035	\$5,427
2013 Average Final Average Salary	\$82,567	\$84,521	\$90,461	\$94,689	\$94,689	\$97,032
Number of Active Recipients	17	18	10	44	36	64
Average Monthly Benefit	\$951	\$1,637	\$2,631	\$3,333	\$4,025	\$5,406
2012 Average Final Average Salary	\$76,185	\$82,578	\$90,729	\$93,622	\$94,547	\$96,692
Number of Active Recipients	19	17	8	47	33	62

Schedule of Average Benefit by Type

Police Officers and Firefighter's Retirement Plan						
Retirement Effective Dates	Years of Credited Service					
	5-9	10-14	15-19	20-24	25-29	30+
Average Monthly Benefit	\$0	\$4,297	\$3,674	\$4,303	\$6,599	\$7,772
2021 Average Final Average Salary	\$0	\$80,403	\$81,375	\$96,102	\$110,669	\$119,628
Number of Active Recipients	0	4	6	12	98	99
Average Monthly Benefit	\$2,589	\$2,715	\$3,437	\$3,928	\$6,500	\$7,689
2020 Average Final Average Salary	\$36,605	\$69,402	\$79,082	\$100,016	\$107,689	\$115,540
Number of Active Recipients	8	4	8	8	136	80
Average Monthly Benefit	\$3,804	\$3,030	\$2,654	\$4,319	\$5,662	\$7,092
2019 Average Final Average Salary	\$54,568	\$69,463	\$71,425	\$85,435	\$94,780	\$100,784
Number of Active Recipients	10	7	5	5	251	10
Average Monthly Benefit	\$3,596	\$2,918	\$2,469	\$4,070	\$5,451	\$6,811
2018 Average Final Average Salary	\$54,499	\$69,691	\$71,425	\$86,720	\$94,770	\$100,699
Number of Active Recipients	10	6	5	4	251	54
Average Monthly Benefit	\$3,701	\$2,862	\$2,707	\$3,987	\$5,347	\$6,677
2017 Average Final Average Salary	\$54,499	\$69,463	\$72,552	\$83,882	\$94,800	\$100,699
Number of Active Recipients	10	7	6	6	254	54
Average Monthly Benefit	\$2,363	\$3,407	\$3,471	\$3,860	\$5,526	\$6,922
2016 Average Final Average Salary	\$54,240	\$69,463	\$72,901	\$83,882	\$94,768	\$100,699
Number of Active Recipients	10	7	7	6	253	54
Average Monthly Benefit	\$2,343	\$4,168	\$1,950	\$3,776	\$5,241	\$6,403
2015 Average Final Average Salary	\$45,567	\$66,727	\$70,827	\$76,421	\$96,104	\$104,521
Number of Active Recipients	6	7	5	6	182	62
Average Monthly Benefit	\$2,773	\$2,333	-	\$2,561	\$5,439	\$6,906
2014 Average Final Average Salary	\$54,678	\$65,126	\$73,476	\$80,064	\$92,091	\$95,990
Number of Active Recipients	6	1	1	6	143	29
Average Monthly Benefit	\$1,795	\$2,686	\$4,404	\$3,622	\$5,409	\$6,504
2013 Average Final Average Salary	\$40,134	\$64,784	-	\$77,175	\$94,464	\$103,254
Number of Active Recipients	4	4	-	4	97	48
Average Monthly Benefit	\$2,195	\$25,164	\$3,048	\$3,090	\$5,600	\$6,679
2012 Average Final Average Salary	\$46,574	\$65,588	\$74,368	\$78,462	\$92,618	\$96,968
Number of Active Recipients	3	2	3	4	96	38

Schedule of Retired Members by Type of Benefit and Option Selected

Teachers' Retirement Plan												
Monthly Benefit Payment	Number of Members by Retirement Type						Number of Members by Option Selected					
	A	B	D	E	F	G	Grand Total	1	2	3	4	Grand Total
\$1-250	6			23	1	1	31	11	20			31
\$251-500	35			19	2	2	58	39	18	1		58
\$501-750	55	2	1	14	11	1	84	62	20	1	1	84
\$751-1,000	82	3	1	18	4	1	109	80	23	3	3	109
\$1,001-1,250	60	7	3	12	12	3	97	66	27	2	2	97
\$1,251-1,500	65	3	3	20	20	2	113	59	38	3	13	113
\$1,501-1,750	64	6	9	29	13	1	122	70	43	2	7	122
\$1,751-2,000	67	11	12	27	9		126	78	41	1	6	126
\$2,001-3,000	398	38	113	113	14	2	678	474	196	5	3	678
\$3,001-4,000	831	93	75	38	4		1041	760	274	5	2	1041
\$4,001-5,000	1537	103	10	3			1653	1284	364	4	1	1653
\$5,001-6,000	891	50	4				945	740	201	4		945
\$6,001-7,000	298	17	1				316	238	78			316
\$7,001-8,000	105	7					112	96	15	1		112
\$8,001-9,000	47	2					49	42	7			49
\$9,001-10,000	18						18	13	5			18
over \$10,000	5	1					6	5	1			6
Grand Total	4564	343	232	316	90	13	5558	4117	1371	32	38	5558

Type of Retirement:

- A - Retired from Affiliate or Resignation
- B - Termination - Early Involuntary
- C - Partial Total Disability
- D - Disabled not in the Line of Duty
- E - Survivor of a Retired Teacher
- F - Survivor of an Active Teacher
- G - Qualified Domestic Relations Order

Option Selected:

- 1 - Unreduced Annuity
- 2 - Reduced Annuity with Survivor Option
- 3 - Reduced Annuity with Life Insurance Benefit
- 4 - Reduced Annuity with Insurable Interest

Schedule of Retired Members by Type of Benefit and Option Selected

Police and Firefighters' Retirement Plan							
Number of Members by Retirement Type							
Monthly Benefit Payment	A	C	D	E	F	G	Grand Total
\$1-250	0			0		3	3
\$251-500	1			26	24	4	55
\$501-750	10			4		24	38
\$751-1,000	3			4		34	41
\$1,001-1,250	6		1	4	3	22	36
\$1,251-1,500	2			8		34	44
\$1,501-1,750	7	1	5	3		34	50
\$1,751-2,000	6	16	11	7	2	19	61
\$2,001-3,000	70	134	122	1107	24	78	1535
\$3,001-4,000	651	154	41	468	16	21	1351
\$4,001-5,000	932	376	42	66	1	7	1424
\$5,001-6,000	1268	135	18	24	2	3	1450
\$6,001-7,000	1076	32	2	8			1118
\$7,001-8,000	582	17	2	2	4		607
\$8,001-9,000	337	5	1	2			345
\$9,001-10,000	140	2		0	1		143
over \$10,000	208	3		0			211
Grand Total	5299	875	245	1733	77	283	8512

Type of Retirement

A - Retired from Affiliate or Resignation

B - Termination - Early Involuntary

C - Partial Total Disability

D - Disabled not in the Line of Duty

E - Survivor of a Retired Police Officer or Firefighter

F - Survivor of an Active Police Officer or Firefighter

G - Qualified Domestic Relations Order

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ADDITIONAL DISCLOSURES

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Schedules of Transactions - Board of Trustees

Trustee Name	Expenditures	
	FY 2021	FY 2020
Janice Adams	\$ -	\$ -
Lyle Blanchard	14,984	9,940
Joseph Bress	12,689	8,341
Joseph Clark	14,984	9,964
Mary Collins	13,995	9,964
Denise Daniels	-	9,983
Geoffrey Grambo	8,285	-
Danny Gregg	9,498	-
Gary Hankins	3,732	9,940
Tracy Harris	13,808	9,932
Greggory Pemberton	12,166	9,709
Nathan Saunders	14,984	-
Edward Smith	-	-
Thomas Tippet	-	4,083
	\$ 119,125	\$ 81,858

Names and Addresses of the Board of Trustees

Janice Adams

District of Columbia Retirement Board
900 7th Street, NW, Second Floor
Washington, D.C. 20001

Lyle Blanchard

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Joseph Bress

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Joseph Clark

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Mary Collins

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Geoffrey Grambo

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Danny Gregg

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Tracy Harris

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Edward Smith

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Vacant

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Carmen Pigler

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Schedule of Trustee Sponsored Activities

No members of the DCRB Board of Trustees attended events sponsored by outside entities in either FY 2020 or FY 2021.

Acknowledgments and Credits

On the Cover:

Fire Hazmat unit, photo by DCRB staff

DC Public School Classroom: Photograph by John McDonnell, courtesy, The Washington Post

Police officers, courtesy Metropolitan Police Department

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Teacher and students, courtesy DC Public Schools

Metropolitan Police Department Recruit graduation – 2016, Courtesy, Metropolitan Police

Department Assistant Fire Chief - Professional Development Edward Smith, outside The John

Wilson Building, photo by DCRB staff

Page 15, Financial Section:

Fire engines near the U.S. Capitol: Courtesy, Fire and EMS Department

Police vehicles, photo by DCRB staff

Roosevelt High School building: Courtesy, DC Public Schools

Page 59, Investment Section:

DC Firefighter in response, courtesy Fire and EMS Department

Police officers, photo by Metropolitan Police Department

Dunbar High School student hall, courtesy DC Public Schools

Page 81, Actuarial Section:

Fire Hazmat unit, courtesy fire and EMS Department

DC Police Logo, courtesy Metropolitan Police Department

Interior of Luke Moore High School: Photograph by Nikki Khan; courtesy, The Washington Post

Police vehicles, photo by DCRB staff

Page 109, Statistical Section:

Fire house and fire engine, photo by DCRB staff

Police motorcycle motorcade, courtesy Metropolitan Police Department

Student at Randle Highlands Elementary, courtesy DC Public Schools



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